



**Management Board Report
on the activity of the Dino Polska
S.A. and Dino Polska S.A. Capital
Group in 2016**

Dino Polska Spółka Akcyjna

Joint stock company with its registered office Krotoszyn at ul. Ostrowska 122, 63-700 Krotoszyn, entered in the register of businesses of the National Court Register under file number 0000408273. NIP number: 6211766191, REGON number: 300820828. As at 31 December 2016, the Company's share capital was PLN 9,804,000.00 and consisted of 98,040,000 shares with a nominal value of PLN 0.10 each ("Shares").

This document comprises the Report of the Management Board of Dino Polska S.A. ("Dino", "Company", "Parent Company") on the Activity of the Dino Polska S.A. Capital Group ("Capital Group", "Group", "Dino Group") in 2016 and the Management Board report on the activity of the parent company. The Dino Group is the source of data in this Report, unless otherwise stated. The preparation date of this report ("Report Date") is 2 May 2017.

Whenever the term Consolidated Financial Statements is used in this document, it means the Financial Statements for the years ended 31 December 2016, 31 December 2015 and 31 December 2014 prepared in accordance with the international financial reporting standards approved for use in the EU.

Whenever the term Company's Financial Statements is used in this document, it means the Financial Statements for the year ended 31 December 2016.

Unofficial translation. Only the original Polish text is binding.

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1. LETTER FROM THE PRESIDENT OF THE MANAGEMENT BOARD OF DINO POLSKA

Dear Stakeholders,

In 2016, the Dino store network opened 117 new stores and, as at 31 December 2016 its total number of stores was 628. It was another year in which we sped up our development and confirmed Dino's ability to expand quickly by building its own stores. The record-breaking expansion of the selling area from 192 thousand sqm at the end of 2015 to 238 thousand sqm in 2016 was



accompanied by double-digit improvement in the standalone and consolidated financial results. The Dino Group's sales revenues rose by 30.1% to PLN 3.37 billion, which was accompanied by robust 11.3% like-for-like sales growth. The growing economies of scale and operating leverage contribute to constant profitability growth.

Through such rapid network expansion and above-market growth in like-for-like sales, consolidated EBITDA was PLN 288 million (after adjustments for non-recurring events), signifying 37% growth compared to 2015. This was also driven by our rigorous cost management discipline; even though our costs rise as the overall Group expands, they are climbing more slowly than our sales revenues.

In 2016, we opened our third distribution center in Jastrowie, which helps us optimize logistics processes and supports Dino's growth in northern Poland. We continue to invest in the development of our transport base, modernize the stores in our network and ramp up the production capacity of our Agro-Rydzyna meat processing plant.

The growth of our network and of the overall retail grocery market in Poland is the outcome of the conducive macroeconomic environment, rising disposable income and therefore higher consumer spending. The government's 500+ program, declining unemployment and continual growth in the minimum salary support retail consumption in Poland. We have recorded an increasing number of clients spending more in our stores and additionally, since the end of 2016, the consumer price growth rate is contributing to higher like-for-like sales revenues.

We expect the positive macroeconomic trends to be maintained in 2017. Rising inflation, the higher minimum salary as of January of this year and continuation of the 500+ program should exert a positive influence on the retail grocery market. In 2017, we will continue to implement our strategy. We are working on maintaining fast like-for-like sales growth. As we continue to extend the scale of

our business and strive to raise our operational efficiency, we will position ourselves well to improve the profitability of our business. The key element of Dino's strategy is to expand its store network. We have ambitious plans to increase the current density of our store network in western Poland where we already have our footprint, as well expanding to northern and eastern Poland. The goal we intend to achieve is to have more than 1,200 stores at the end of 2020. At the same time, we assume that we will have additional capital expenditures to support the opening of new stores, associated mainly with distribution centers and the meat processing plant run by Agro-Rydzyna.

In 2016, together with our shareholders at that time, we decided that the current stage of development is the right moment to take Dino public on the Warsaw Stock Exchange. The crowning moment of nearly a year of preparations to fill a new role as a public company as the first listing on the Warsaw Stock Exchange on 19 April 2017. In our IPO, the Enterprise Investors private equity fund, which supported our development for almost 7 years, divested its entire 49% equity stake in Dino's share capital.

Dino's initial public offering proved to be a great success, both in terms of the offering size (roughly PLN 1.65 billion) and the enormous interest, that caused the pricing of the institutional investor tranche above the maximum price. We are pleased with the high demand for the Company's shares from both reputable Polish and international financial institutions as well as retail investors in Poland. The trust shown by investors gives us an additional incentive to continue intensive work to implement Dino's strategy and maintain its rapid pace of growth.

Respectfully,

Szymon Piduch

President of the Management Board of Dino Polska S.A.

2. GROUP'S FINANCIAL HIGHLIGHTS

	<i>Year ended 31 December</i>		<i>Year ended 31 December</i>	
	<i>2016</i>	<i>2015</i>	<i>2016</i>	<i>2015</i>
under IFRS, audited	<i>PLN '000</i>		<i>EUR '000*</i>	
Sales	3,369,517	2,589,576	772,382	618,938
Operating profit	215,589	160,054	49,419	38,255
Profit before tax	186,455	135,231	42,740	32,322
Net profit for the year	151,210	122,172	34,661	29,201
Basic / Diluted earnings per share (PLN, EUR)	1.54	1.25	0.35	0.30
Net cash flows from operating activities	324,323	245,394	74,343	58,652
Net cash flows from investing activities	-310,180	-242,502	-71,101	-57,961
Net cash flows from financing activities	18,365	7,289	4,210	1,742
Net increase/(decrease) in cash and cash equivalents	32,508	10,181	7,452	2,433

*Based on average annual EUR/PLN exchange rate published by the National Bank of Poland (1 EUR = 4.3625 PLN in 2016 and 1 EUR = 4.1839 PLN in 2015)

	<i>As at 31 December</i>		<i>As at 31 December</i>	
	<i>2016</i>	<i>2015</i>	<i>2016</i>	<i>2015</i>
under IFRS, audited	<i>PLN '000</i>		<i>EUR '000**</i>	
Total assets	1,856,840	1,439,363	419,720	337,760
Total non-current assets	1,457,146	1,150,763	329,373	270,037
Total current assets	399,694	288,600	90,347	67,723
Total equity	683,476	532,235	154,493	124,894
Share capital	9,804	9,804	2,216	2,301
Total long-term liabilities	459,378	363,193	103,838	85,227
Total current liabilities	713,986	543,935	161,389	127,639

**Based on the average EUR/PLN exchange rate of the National Bank of Poland as at 31.12.2015 (1 EUR = 4.4240 PLN) and 31.12.2015 (1 EUR = 4.2615 PLN)

3. DINO POLSKA S.A.'S FINANCIAL HIGHLIGHTS

	<i>Year ended 31 December</i>		<i>Year ended 31 December</i>	
	<i>2016</i>	<i>2015</i>	<i>2016</i>	<i>2015</i>
under PFRS, audited	<i>PLN '000</i>		<i>EUR '000*</i>	
Sales	3,357,936	2,578,237	769,727	616,228
Operating profit	102,337	71,141	23,458	17,004
Profit before tax	296,030	40,025	67,858	9,566
Net profit for the year	279,448	34,427	64,057	8,228
Basic / Diluted earnings per share (PLN, EUR)	2.85	0.35	0.65	0.08
Net cash flows from operating activities	264,788	202,373	60,696	48,369
Net cash flows from investing activities	-189,760	-92,007	-43,498	-21,991
Net cash flows from financing activities	-46,653	-106,707	-10,694	-25,504
Net increase/(decrease) in cash and cash equivalents	28,375	3,659	6,504	875

*Based on average annual EUR/PLN exchange rate published by the National Bank of Poland (1 EUR = 4.3625 PLN in 2016 and 1 EUR = 4.1839 PLN in 2015)

	<i>As at 31 December</i>		<i>As at 31 December</i>	
	<i>2016</i>	<i>2015</i>	<i>2016</i>	<i>2015</i>
under PFRS, audited	<i>PLN '000</i>		<i>EUR '000**</i>	
Total assets	1,722,477	1,185,214	389,348	278,121
Total non-current assets	1,237,533	848,301	279,732	199,062
Total current assets	484,944	336,913	109,617	79,060
Total equity	558,154	278,706	126,165	65,401
Share capital	9,804	9,804	2,216	2,301
Total long-term liabilities	377,622	345,461	85,358	81,066
Total current liabilities	755,462	543,704	170,764	127,585

**Based on the average EUR/PLN exchange rate of the National Bank of Poland as at 31.12.2015 (1 EUR = 4.4240 PLN) and 31.12.2015 (1 EUR = 4.2615 PLN)

4. ACTIVITY OF DINO AND DINO GROUP

4.1. Business profile

Dino is a leading player in the attractive and growing segment of proximity supermarkets in Poland. Dino is the fastest-growing chain of proximity supermarkets in Poland (in terms of the average annual rate of growth in the number of stores) and one of the fastest-growing store chain in the entire food-retail market in Poland (in terms of sales and the number of stores).

Group's business model combines the advantages of the proximity format (i.e. medium-sized stores in convenient locations, usually close to residential areas or areas with dense traffic), its fast roll-out capabilities, and attractive product mix focused on branded and fresh products offered at competitive prices.

As at 31 December 2016, the Dino Group operated 628 stores located mainly throughout Western Poland with a total of 238,416 square meters of selling space. The Dino Group has many years of experience and strong roll-out capabilities based on its own real estate. As a result, it was able to increase the number of stores by 304 between January 2013 and 31 December 2016. The network expansion was accompanied by LFL sales growth of 11.3% in 2016 compared to 2015. The Dino Group is continuing to rapidly develop its chain of stores, constantly looking for new locations. In accordance with the strategy adopted by the Dino Group, the Management Board plans to have more than 1,200 stores by the end of 2020.

Dino stores have a uniform format. The majority of the Dino Group's stores have selling space of approximately 400 square meters and are located mainly in villages, small and medium-sized towns and in the suburbs of large cities. The Dino Group's operating strategy is based on a standard store concept offering parking spaces for customers and fresh products delivered every day except Sundays. Due to the fact that the Dino Group mostly builds its own stores on freehold land, it has been able to implement a uniform store format facilitating fast and flexible roll-out in places with limited availability of space for rent.

Each store offers its clients approximately 5,000 stock keeping units (SKUs), which comprise mostly branded and fresh products. The Dino Group offers its key products at competitive prices. One of the key differentiators from discount chains is maintaining a serviced meat counter in every store.

The Dino Group's business model is highly scalable with centralized management supported by appropriate IT systems, a logistics network based on three distribution centres and a Dino Group-managed transport network. The Dino Group sources most products directly from producers or their main representatives. Due to large and constantly growing order volumes, the Dino Group benefits from economies of scale and is able to purchase goods at favourable terms, which are expected to further improve in line with the further development of the retail chain. These factors lead to the consistent improvement in the Dino Group's profitability.

In 2016, the Dino Group achieved sales of PLN 3,370 million.

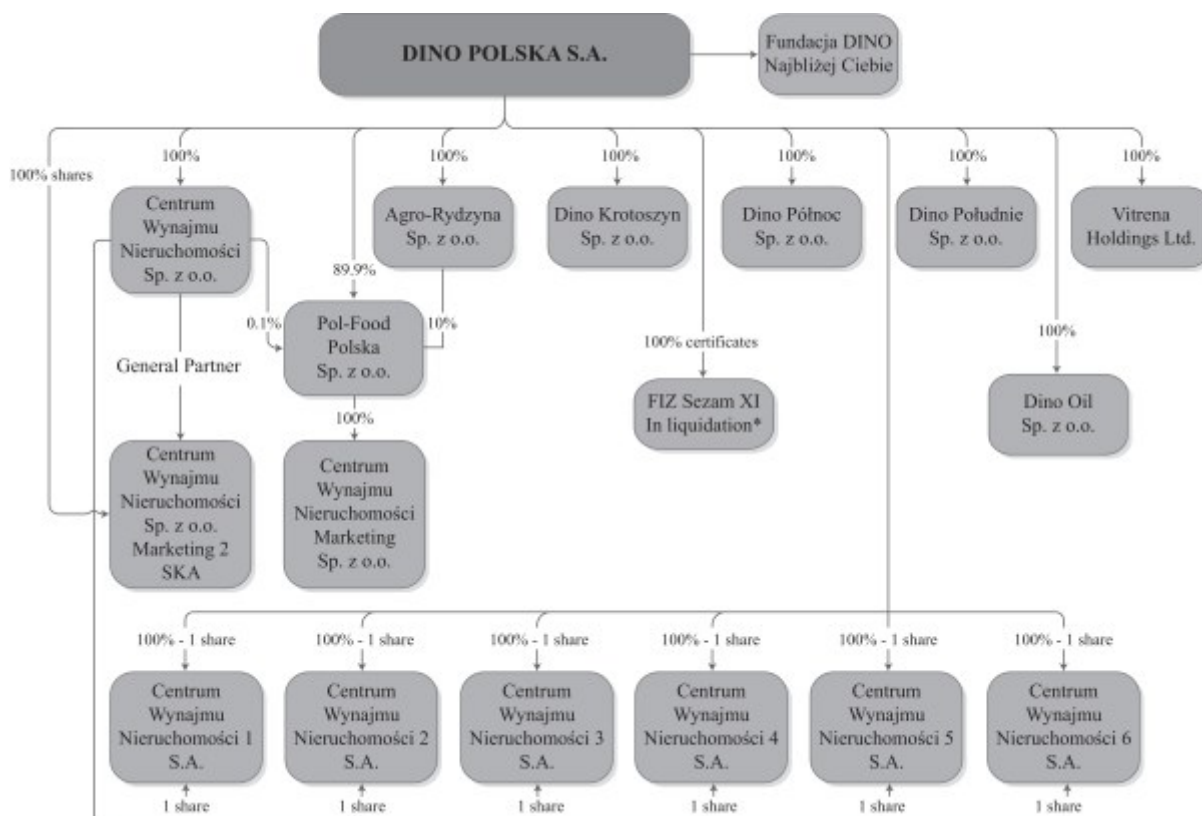
4.2. Opis Grupy Kapitałowej

The Company is the parent entity of the Dino Group. The Company conducts operations comprising the management of the Dino stores with the support of an experienced management team and specialised procurement, logistics, IT, HR, accounting and investment project implementation departments. The Company manages, *inter alia*, the logistics of store supplies, sales, selecting the assortment of products offered in the stores, supports other Dino Group Companies in the performance of the investment processes related to the choice and purchase of land on which new stores will be constructed, and manages the process of the construction of new stores. The Company is also the owner of the real properties on which the stores are constructed and rents developments housing stores from the other Dino Group Companies which are owners of the real properties.

A large number of companies in the Dino Group conduct business of leasing real properties. The operation of companies involved in buying and leasing real properties is related with the Dino Group's business model. The

Dino Group made a strategic decision to acquire the real properties on which its stores are situated, *inter alia*, in order to ensure constant and fast organic growth of the number of stores, a uniform store format at all locations, development of the “Dino” brand image as perceived by customers and greater costs efficiency.

The chart below presents the structure of the Dino Group.



Neither the Company nor any Subsidiary holds any shares in any entities other than those specified above, which may have a material effect on its operations, the assessment of its assets and liabilities, financial position and income statement.

Neither the Company nor any Subsidiary made any equity investments outside of the Group.

The Company's major investments involve the purchase of property, plant and equipment (in particular land for the stores) associated with the expansion of Dino Group stores. They are effected in the territory of Poland only and financed with own resources earned on operations and from external sources, such as interest-bearing bank loans and financial leases.

Subsidiaries

Basic information about the Companies in the Dino Group, i.e. the Company's direct or indirect subsidiaries, is presented below.

Centrum Wynajmu Nieruchomości sp. z o.o.

The Company holds 100% of the shares in the share capital of CWN, which gives it the right to exercise 100% of the votes at the Shareholders' Meeting of CWN. CWN is one of the Dino Group companies which is responsible for the Dino Group's investments comprising purchase of real properties on which Dino stores are subsequently constructed. Once the relevant buildings are constructed on the plots CWN rents retail space to the Company for the purposes of operating the stores. CWN executes investments only and does not conduct

any operations related with store management. Analogous businesses are conducted by the following Dino Group Companies: CWN 1, CWN 2, CWN 3, CWN 4, CWN 5 and CWN 6.

Name and legal form: Centrum Wynajmu Nieruchomości sp. z o.o.
 Registered office and address: ul. Ostrowska 122, 63-700 Krotoszyn
 Core business activities: rental and management of own or leased real estate
 Share capital: PLN 50,000

Agro-Rydzyna sp. z o.o.

The Company holds 100% of the shares in the share capital of Agro-Rydzyna, which gives it the right to exercise 100% of the votes at the Shareholders' Meeting of Agro-Rydzyna.

Name and legal form: Agro-Rydzyna sp. z o.o.
 Registered office and address: ul. Kolejowa 7k, 64-130, Kłoda
 Core business activities: processing and preserving of meat, except poultry meat
 Share capital: PLN 818,800

Dino Krotoszyn sp. z o.o.

The Company holds 100% of the shares in the share capital of Dino Krotoszyn, which gives it the right to exercise 100% of the votes at the Shareholders' Meeting of Dino Krotoszyn. In the Dino Group, Dino Krotoszyn is the owner of the warehousing space used by the Dino Group and renders warehousing services to the Dino Group.

Name and legal form: Dino Krotoszyn sp. z o.o.
 Registered office and address: ul. Ostrowska 122, 63-700 Krotoszyn
 Core business activities: warehousing and storage of goods, processing and preserving of meat, except poultry meat
 Share capital: PLN 55,000

Dino Północ sp. z o.o.

The Company holds 100% of the shares in the share capital of Dino Północ, which gives it the right to exercise 100% of the votes at the Shareholders' Meeting of Dino Północ. As at the Date of the Report, Dino Północ does not conduct any operating activities.

Name and legal form:Dino Północ sp. z o.o.

Registered office and address:ul. Ostrowska 122, 63-700 Krotoszyn

Core business activities:.....retail sale in non-specialized stores with food, beverages or tobacco
predominating

Share capital:PLN 5.000

Dino Południe sp. z o.o.

The Company holds 100% of the shares in the share capital of Dino Południe, which gives it the right to exercise 100% of the votes at the Shareholders' Meeting of Dino Południe. As at the Date of the Report, Dino Południe does not conduct any operating activities.

Name and legal form:Dino Południe sp. z o.o.

Registered office and address:ul. Ostrowska 122, 63-700 Krotoszyn

Core business activities:.....retail sale in non-specialized stores with food, beverages or tobacco
predominating

Share capital:PLN 5,000

Dino Oil sp. z o.o.

The Company holds 100% of the shares in the share capital of Dino Oil, which gives it the right to exercise 100% of the votes at the Shareholders' Meeting of Dino Oil. As at the Date of the Report, Dino Oil does not conduct any operating activities.

Name and legal form:Dino Oil sp. z o.o.

Registered office and address:ul. Ostrowska 122, 63-700 Krotoszyn

Core business activities:.....manufacture and processing of refined petroleum products, retail sale
of fuels for motor vehicles at filling stations

Share capital:PLN 5,000

Vitrena Holdings Limited

The Company holds 100% of the shares in the share capital of Vitrena Holdings, which gives it the right to exercise 100% of the votes at the Shareholders' Meeting of Vitrena Holdings. As at the Date of the Report, Vitrena Holdings does not conduct any operating activities and the Company took action to liquidate Vitrena Holdings.

Name and legal form: Vitrena Holdings Limited
 Registered office and address: 58 Agiou Athanasiou, El Greco Building 2nd Floor Office 201 4102
 Limassol, Cyprus
 Core business activities: investments in real estate, shares, commercial papers, bonds, provision of
 financial services of any kind

FIZ Sezam in liquidation

The Company holds 100% of the certificates in FIZ Sezam in liquidation, which gives it the right to exercise 100% of the votes at the Investors' Meeting of FIZ Sezam in liquidation. On 7 November 2016, the Investors' Meeting adopted a resolution on amending the Articles of Association of FIZ Sezam in liquidation with regards to setting the date for opening the liquidation of FIZ Sezam in liquidation. The liquidation of FIZ Sezam in liquidation was opened on 10 November 2016.

Name and legal form: Fundusz Inwestycyjny Zamknięty Aktywów Niepublicznych
 Sezam XI in liquidation (*Non-Public Assets Closed-End Investment Fund*)
 Skarbiec TFI S.A.
 Name of IMC:
 Registered office and address: ul. Nowogrodzka 47A, 00-695 Warsaw
 of IMC:
 Core business activities: investing cash raised by way of non-public offering of purchase of investment
 certificates in the securities, money market instruments, and other property
 rights specified in the Act on Investment Funds and the Articles of Association

Centrum Wynajmu Nieruchomości 1 S.A.

The shareholders of CWN 1 are CWN and the Company, CWN holds 1 share in the share capital of CWN 1, and the Company holds all of the other shares (i.e. 100% – 1 share), which gives them the right to exercise, respectively, 1 vote and the other votes (i.e. 100% of the votes – 1 vote) at the General Meeting of CWN 1.

Name and legal form: Centrum Wynajmu Nieruchomości 1 S.A.
 Registered office and address: ul. Ostrowska 122, 63-700 Krotoszyn
 Core business activities: buying and selling of real estate for own account, rental and management
 of own real estate, other financial service activities, activities of holding
 companies
 Share capital: PLN 214,300

Centrum Wynajmu Nieruchomości 2 S.A.

The shareholders of CWN 2 are CWN and the Company, CWN holds 1 share in the share capital of CWN 2, and the Company holds all of the other shares (i.e. 100% – 1 share), which gives them the right to exercise, respectively, 1 vote and the other votes (i.e. 100% of the votes – 1 vote) at the General Meeting of CWN 2.

Name and legal form: Centrum Wynajmu Nieruchomości 2 S.A.
 Registered office and address: ul. Ostrowska 122, 63-700 Krotoszyn
 Core business activities: buying and selling of real estate for own account, rental and management
 of own real estate, other financial service activities, activities of holding
 companies
 Share capital: PLN 175,400

Centrum Wynajmu Nieruchomości 3 S.A.

The shareholders of CWN 3 are CWN and the Company, CWN holds 1 share in the share capital of CWN 3, and the Company holds all of the other shares (i.e. 100% – 1 share), which gives them the right to exercise, respectively, 1 vote and the other votes (i.e. 100% of the votes – 1 vote) at the General Meeting of CWN 3.

Name and legal form: Centrum Wynajmu Nieruchomości 3 S.A.
 Registered office and address: ul. Ostrowska 122, 63-700 Krotoszyn
 Core business activities: buying and selling of real estate for own account, rental and management
 of own real estate, other financial service activities, activities of holding
 companies
 Share capital: PLN 173,400

Centrum Wynajmu Nieruchomości 4 S.A.

The shareholders of CWN 4 are CWN and the Company, CWN holds 1 share in the share capital of CWN 4, and the Company holds all of the other shares (i.e. 100% – 1 share) in the share capital of CWN 4, which gives them the right to exercise, respectively, 1 vote and the other votes (i.e. 100% of the votes – 1 vote) at the General Meeting of CWN 4.

Name and legal form: Centrum Wynajmu Nieruchomości 4 S.A.
 Registered office and address: ul. Ostrowska 122, 63-700 Krotoszyn
 Core business activities: buying and selling of real estate for own account, rental and management
 of own real estate, other financial service activities, activities of holding
 companies
 Share capital: PLN 184,400

Centrum Wynajmu Nieruchomości 5 S.A.

The shareholders of CWN 5 are CWN and the Company, CWN holds 1 share in the share capital of CWN 5, and the Company holds all of the other shares (i.e. 100% – 1 share), which gives them the right to exercise, respectively, 1 vote and the other votes (i.e. 100% of the votes – 1 vote) at the General Meeting of CWN 5.

Name and legal form: Centrum Wynajmu Nieruchomości 5 S.A.
 Registered office and address: ul. Ostrowska 122, 63-700 Krotoszyn
 Core business activities: buying and selling of real estate for own account, rental and management
 of own real estate, other financial service activities, activities of holding
 companies
 Share capital: PLN 183,800

Pol-Food Polska sp. z o.o.

The shareholders of Pol-Food are the Company, Agro-Rydzyna and CWN, which hold, respectively, 89.9%, 10.0% and 0.1% of the shares in the share capital of Pol-Food, which gives them the right to exercise, respectively, 89.9%, 10.0% and 0.1% of the votes at the Shareholders' Meeting of Pol-Food.

Name and legal form: Pol-Food Polska sp. z o.o.
 Registered office and address: ul. Ostrowska 122, 63-700 Krotoszyn
 Core business activities: leasing of intellectual property and similar products, except
 copyrighted works
 Share capital: PLN 245,540,000

Centrum Wynajmu Nieruchomości 6 S.A.

The shareholders of CWN 6 are CWN and the Company, CWN holds 1 share in the share capital of CWN 6, and the Company holds all of the other shares (i.e. 100% – 1 share), which gives them the right to exercise, respectively, 1 vote and the other votes (i.e. 100% of the votes – 1 vote) at the General Meeting of CWN 6.

Name and legal form: Centrum Wynajmu Nieruchomości 6 S.A.
 Registered office and address: ul. Ostrowska 122, 63-700 Krotoszyn
 Core business activities: buying and selling of real estate for own account, rental and management
 of own real estate, other financial service activities, activities of holding
 companies
 Share capital: PLN 176,500

Indirect subsidiaries of the Company

Centrum Wynajmu Nieruchomości Marketing sp. z o.o.

Pol-Food holds 100% of the shares in the share capital of CWN Marketing, which gives it the right to exercise 100% of the votes at the Shareholders' Meeting of CWN Marketing. As at the Date of the Report, CWN Marketing does not conduct any operating activities.

Name and legal form: Centrum Wynajmu Nieruchomości Marketing sp. z o.o.
 Registered office and address: ul. Ostrowska 122, 63-700 Krotoszyn
 Core business activities: buying and selling of real estate for own account, rental and management of own real estate, other financial service activities, activities of holding companies
 Share capital: PLN 5.000

Centrum Wynajmu Nieruchomości sp. z o.o. Marketing 2 SKA in liquidation

CWN is the general partner in CWN Marketing 2, whereas the Company is a shareholder which holds 100% of the shares in the share capital of CWN Marketing 2, which gives it the right to exercise 100% of the votes at the Shareholders' Meeting of CWN Marketing 2. As at the Date of the Report, CWN Marketing 2 does not conduct any operating activities. On 22 December 2016, the extraordinary General Meeting of CWN Marketing 2 adopted a resolution on dissolution of CWN Marketing 2. On 18 January 2017, a motion was submitted to the registry court for the liquidation of CWN Marketing 2.

Name and legal form: Centrum Wynajmu Nieruchomości sp. z o.o. Marketing 2 SKA in liquidation
 Registered office and address: ul. Ostrowska 122, 63-700 Krotoszyn
 Core business activities: buying and selling of real estate for own account, rental and management of own real estate, other financial service activities, activities of holding companies
 Share capital: PLN 50,000

Other information about the Group

In connection with reorganization of the Group aimed at sorting out its structure, the process of liquidation of Vitrena Holdings Ltd. and Sezam XI Fundusz Inwestycyjny Zamknięty Aktywów Niepublicznych was launched in 2016.

The Parent Company did not engage in purchasing any treasury stock. Pol – Food Polska Sp. z o.o. purchased its treasury stock for retirement. The total value of shares was PLN 40,406,000.00 and the company's share capital was reduced by such an amount (by way of the resolution adopted by the Shareholder Meeting on 2 February 2016). On 19 May 2016, the Extraordinary Shareholder Meeting of Centrum Wynajmu Nieruchomości Marketing sp. z o.o. adopted a resolution to retire the company's shares and reduce its share capital from PLN 169,200.00 to PLN 5,000.00.

4.3. Operations of the Dino Group

The Dino Group operates in the proximity supermarket segment in Poland. As at 31 December 2016, the Dino Group operated 628 stores located mainly throughout Western Poland with a total of 238,416 square metres of selling space.

The following table presents the number of Dino stores and the total selling space at the end of each year (since 2008) in the periods indicated in the table.

As at 31 December

	2016	2015	2014	2013	2012	2011	2010	2009	2008
Total number of stores	628	511	410	324	234	154	111	90	81
Selling space ('000 square meters)	238,4	192	151	119	81	50	32	25	20

Products

The Dino Group offers its customers a range of approximately 5,000 SKUs, including mainly branded products and fresh products. In 2016, fresh products represented 36% of sales. The Management Board believes that the offer of quality fresh products, especially meat, is viewed by the Dino Group's customers as an essential element of their everyday shopping, which helps drive regular visits to the Dino Group's stores.

The Dino Group focuses on offering its customers branded products at competitive prices. In 2016, branded products accounted for a major part of sales (not counting fresh products, including Agro-Rydzyna products).

Product categories

The Dino's and Dino Group's main product categories include: (i) fresh food products, including meat products supplied by Agro-Rydzyna; (ii) dry food products, beverages, alcohol and tobacco; and (iii) non-food products. These categories represented 36%, 51%, and 13% of sales in 2016, respectively.

The table below presents sales split by product in the periods indicated.

	Year ended 31 December		
	2016	2015	2014
	(%) (unaudited)		
Fresh food, including:	36	37	38
<i>Meat, poultry and cold cuts</i>	16	16	17
Dry food, beverages, alcohol and tobacco	51	51	50
Non-food products	13	12	12

Fresh food products

In 2016, fresh food products accounted for 36% of the Dino Group's sales. In this category, the Dino Group offers a wide range of fresh products, including meat, poultry and cold cuts, fruits and vegetables, dairy and bakery products. Due to their short shelf life, fresh food products are delivered to stores every day of the week (except Sundays) from the Agro-Rydzyna meat processing plant, the Dino Group's distribution facilities or (in the case of bread) from local bakeries. In accordance with the Dino Group's strategy, fruits and vegetables are displayed directly in delivery crates in order to stress their freshness while minimising losses and the amount of time spent by employees on putting products on the shelves.

The Dino Group's own meat processing plant operated by Agro-Rydzyna enables it to offer a wide variety of raw and processed meat products. In 2016, fresh meat, poultry and cold cuts accounted for 43% of the sales of fresh products and 16% of the Dino Group's total sales.

Dry food, beverages, alcohol and tobacco

In 2016, dry food, beverages, alcohol and tobacco accounted for 51% of the Dino Group's sales. The majority of the Dino Group's dry food products are branded and highly recognisable FMCGs. Such products are delivered to store locations on average two to three times per week.

Non-food products

In 2016, non-food products accounted for 13% of the Dino Group's sales. Such products include household consumables such as cleaning supplies and health and beauty products, as well as small household appliances.

Product supply

The Dino Group has a highly diversified supplier base, consisting mainly of producers and their main representatives. The Management Board believes that the scale and expansion of the Dino Group's operations make it one of the largest and fastest-growing customers for many suppliers of food products in Poland.

The Dino Group has also adopted a policy of working closely with producers of regional brands to provide consumers with a cheaper alternative to leading national and global brands.

Private labels (excluding Agro-Rydzyňa products) accounted for only less than 2% of the Dino Group's sales in 2016.

Suppliers

The Dino Group cooperates with many FMCG suppliers. These relationships allow the Dino Group to obtain discounts based on the volume of goods purchased and ensure the participation of suppliers in special offers and promotions affecting the Dino Group's overall profit margin. In 2016, the top ten suppliers (excluding Agro-Rydzyňa) accounted for 17% of the Dino Group's purchases, while the largest third-party supplier represented less than 2.5% of the Dino Group's purchases.

The Dino Group's store chain expansion brought economies of scale in the form of a further improvement in purchase terms granted by suppliers. Discounts and promotions obtained from suppliers have largely been passed on by the Dino Group to its customers, thus increasing the price competitiveness of the Dino Group's offering.

Agro-Rydzyňa

Agro-Rydzyňa, a wholly-owned subsidiary of the Company, is the sole supplier of high quality fresh meat and poultry to the Dino Group and the main supplier of cold cuts. The entire production of the Agro-Rydzyňa meat processing plant is sold through the Dino Group's chain of stores. In 2016, the Agro-Rydzyňa generated 16% of the Dino's and Dino Group's sales. Agro-Rydzyňa processes meat purchased from a range of suppliers.

Chain of stores

As at 31 December 2016, the Dino Group operated 628 stores located in all parts of Poland and with a total selling space of 238,416 square metres.

The map below presents the Dino Group's store network and the location of its distribution centres as at 31 December 2016.



A typical store of the Dino Group is a standalone building located in a small to medium-sized town or outside a city centre, with opening hours from 7:00 a.m. to 10:00 p.m. Most of the stores offer approximately 400 square metres of selling space located on a plot of about 3,000 square metres with parking spaces for 10 to 30 cars. Store locations are carefully chosen in high pedestrian or road traffic locations.

The Dino Group typically owns the land on which its stores are located, as well as the buildings themselves (as at 31 December 2016, it owned 522 out of the total of 628 stores).

The table below presents information on the total number of the Dino Group's stores and the total selling space (in thousands of square metres).*

	As at 31 December		
	2016	2015	2014
Total number of stores, including:	628	511	410
owned	522	406	317
leased	94	94	83
franchised.....	12	11	10
Total selling space ('000 square meters), including:	238	192	152
owned	201	156	122
leased	32	31	26
franchised.....	5	4	4

** the data also includes four PIK stores (opened within the scope of testing new store formats and operated by the Dino Group in the convenience format) with a total selling space of approximately 280 square meters which were closed in November 2016 in connection with the completion of the testing programme.*

As at 31 December 2016, the Dino Group had a pool of 338 locations for new stores, including 90 own plots (including 40 with stores under construction), and 248 preliminary agreements for the purchase of land signed. For the sake of comparison, as at 31 December 2015 and 31 December 2014, the Dino Group had 280 and 197 sites for new stores, respectively.

In the last ten years, the Dino Group has not close any of the stores it has developed, and none of the Dino Group stores were closed in the years 2014–2016, except for five leased stores with four of such stores being relocated to new facilities owned by the Dino Group within the same areas and the PIK stores (in connection with the completion of the programme of testing new store formats).

The table below presents information on the total number of the Dino Group's stores opened and relocated from leased to own properties and the average date and median date of store openings in the periods indicated.

	Year ended 31 December		
	2016	2015	2014
Number of stores:			
opened.....	123	101	86
relocated	1	1	2
Average date of store opening¹	3 August 2016	11 August 2015	23 July 2014
Median date of opening	2 August 2016	31 August 2015	4 August 2014

¹ The average date of store opening is the arithmetic mean of the dates on which the Dino Group opened new stores in a given calendar year.

Warehousing and distribution

The Dino Group's store chain is supported by an efficient warehouse and distribution system which is centrally managed from three distribution centres and a network of independent transportation providers.

Distribution centres

As at the Date of the Report, the products offered in Dino stores are distributed by three distribution centres with a capacity to supply 800 – 900 stores, depending on the level of their sales. The Company selects the locations of its distribution centres so that they can primarily serve stores located within a radius of approximately 200 – 250 kilometres.

The table below presents the total space and number of stores serviced by the Dino Group's distribution centres as at 31 December 2016.

	Total warehousing space (square meters)	Number of stores serviced
Facility in Krotoszyn	44,500	333
Facility in Piotrków Trybunalski	27,100	193
Facility in Jastrowie	23,600	102
Total	95,200	628

Logistics

Most products are delivered to the distribution centres by suppliers and then distributed to individual Dino stores based on daily demand forecasts for each store generated with the help of the company's IT system. Fresh food, including meat, poultry and cold cuts from Agro-Rydzyna, is delivered to the stores daily (except Sundays), while dry food products and non-food products are distributed on average two to three times per week. Baked goods are delivered to the stores daily (except Sundays) by local bakeries with which the Dino Group cooperates.

The Dino Group outsources the distribution of products from distribution centres to a few dozen independent contractors operating trucks and trailers. Moreover, the Dino Group owns 60 trailers (as at 31 December 2016), which according to the Management Board increases the flexibility of product distribution management. The entire logistics process is managed by the Dino Group.

4.4. Strategy

The Dino Group's strategy assumes further growth through focusing on three key areas: (i) continued fast organic growth of the number of stores; (ii) continued delivery of LFL sales growth; and (iii) continued improvement in profitability.

The Management Board intends to execute its growth strategy by continuing to leverage the Dino Group's strengths and competitive advantages.

Continued fast organic growth in the number of stores

The Management Board plans to exceed the number of 1,200 new store openings by the end of 2020 and believes there is a market capacity for at least 2,700 Dino stores in Poland. This estimate was based on the Management Board's careful assessment of the current competitive landscape and the density of coverage of each region with stores of the Dino Group's competitors.

The Dino Group plans to continue its strategy of owning the majority of store premises and leveraging its organic roll-out capabilities in the current format by: (i) increasing the density of store coverage in its current areas of operation; and (ii) gradually expanding towards the northern and eastern regions of Poland.

As at 31 December 2016, the Dino Group had a pool of 338 locations for the further development of its chain of stores, including 90 own plots (including 40 with stores under construction), and 248 preliminary agreements for the purchase of land signed.

Continued delivery of LFL sales growth

The Management Board expects the Dino Group to be able to continue to deliver LFL sales growth. To achieve this objective, the Management Board will take actions aimed at increasing the number of shoppers in Dino stores and the amount of sales per shopper.

The Management Board is aware of key trends affecting changes in consumers' lifestyles and grocery shopping habits, including:

- (i) seeking a close and convenient shopping experience;
- (ii) demand for higher quality and branded products; and
- (iii) increasing health-consciousness and a focus on fresh and healthy food, including Polish products.

The Management Board believes that the proximity supermarket format adopted by the Dino Group matches the trends in consumer behaviour described above and therefore it will allow the Dino Group to maintain its dynamic roll-out and fast LFL sales growth compared to the market.

The Dino Group's ability to leverage: (i) direct access to well-known domestic and regional producers of branded products, (ii) its own meat processing plant (Agro-Rydzyna) and (iii) an efficient logistics network capable of daily fresh deliveries, allow the Dino Group to capitalise on these trends, which in the Management Board's opinion will add to the LFL sales growth.

Continued improvement in profitability

The Dino Group has been able to drive a consistent increase in its gross and EBITDA margins in the years 2014 – 2016, and the Management Board expects to be able to continue to improve the Dino Group's profitability through increasing the scale of its business, the favourable characteristics of its business model and a number of strategic initiatives. These include:

- (i) economies of scale leading to further gross margin growth due to fast roll-out and increased LFL sales and, consequently, rapidly increasing purchasing volumes helping to improve purchasing terms;
- (ii) increased cost efficiency at a single store level achieved through taking regular actions aimed at cutting the costs of store operation;
- (iii) significant operational leverage leading to further growth in the EBITDA margin due to a number of relatively fixed cost items growing at a lower rate than sales;
- (iv) planned investment in the optimisation of the logistics network with the opening of a fourth distribution centre by the end of 2018 resulting in the shortening of delivery routes and leading to a further decrease in transport costs relative to sales;
- (v) continuation of the current HR policy of connecting losses with the motivational part of employees' salaries to keep losses at the lowest levels; and
- (vi) continuation of the Dino Group's effective and cost efficient marketing policy (in 2016 the costs of marketing amounted to only 0.2% of sales).

The Management Board expects all of these initiatives and inherent features of the Dino Group's business model and strategy to contribute to the further improvement of its profitability in the future.

4.5. Competitive strengths

The Management Board believes that as at the Date of the Report the following competitive strengths have been key factors in the Dino Group's development up to the date hereof and that these will continue to support the Dino Group's further dynamic expansion in coming years.

Leading position in the fast growing proximity supermarket segment in Poland

The proximity supermarket segment, in which the Dino Group operates, has been the fastest growing food retail format in Poland in terms of the number of stores with a CAGR of 13.2% over the years 2014 – 2016. This segment is expected to remain the fastest growing format, maintaining a double digit CAGR in the years 2015 – 2020 (source: *Roland Berger*).

Proximity supermarkets have been successful in Poland for the following reasons:

- (i) they have an advantage over larger formats, including in particular hypermarkets and large supermarkets, due to their convenient location and the fact that shopping in proximity supermarkets is much less time-consuming;
- (ii) they offer a wider mix of goods compared to discount or convenience stores; and
- (iii) they have an advantage over independent retailers due to centralised logistics and the scale of procurement.

The proximity supermarket format corresponds well with demographic trends and customer preferences in Poland and enables the Dino Group to benefit from growth in consumer spending (in particular in smaller towns), increasing suburbanisation and the overall growth of the Polish retail grocery market.

Within the proximity supermarket segment, the Dino Group has been the fastest growing chain in Poland (source: *Roland Berger*) in terms of the number of new stores and sales growth with a CAGR of 36% and 37%, respectively, in the years 2010 – 2015. In 2015, it achieved the position of the second largest proximity supermarket chain in terms of both the number of stores and sales (source: *Roland Berger*).

Proven rapid network roll-out capabilities and real estate ownership

In the years 2014 – 2016, the Dino Group opened on average approximately 100 new stores per year, which along with the stores opened in previous years made it the fastest growing proximity supermarket chain in Poland and the second largest chain on the Polish retail grocery market (by the CAGR of the number of stores in 2010 – 2015, source: *Roland Berger*).

The Dino Group uses a standard store design and maintains full control over the process of the preparation and construction of its retail outlets. Due to the fact that in most cases the Dino Group owns the land and develops stores using its own means, it is able to achieve consistency, quality and cost-efficiency. Moreover, it is capable of rapid expansion since new projects can be carried out in locations where appropriate space for rent is hard to find or unavailable (such as villages, small and medium-sized towns and the suburbs of big cities). The opening of a new store it typically takes six to seven months from receiving administrative permission (including the fit-out), or less than two years from signing the preliminary land purchase agreement (including the time needed to obtain administrative permission).

The management of the Dino Group believes that thanks to the following factors the Dino Group benefits from constructing and opening new stores:

- (i) in-house resources, know-how and long-standing relationships with proven and reliable contractors allowed the Dino Group to construct new stores at an average total cost per store, including the fit-out and land, of approximately PLN 2.4 million in 2016 (compared to the cost of approximately PLN 0.8 million, which according to the Management Board's estimates would be required just for the fit-out and internal and external adaptation of a leased store);
- (ii) the stores are highly profitable, as demonstrated by the Dino Group's EBITDA margin of 8.6% and its ROIC of 30.3% in 2016. Newly opened stores achieve sales of PLN 0.35 million in the second month of their operation, and PLN 0.57 million in the 37th month of their operation;
- (iii) since the Dino Group owns the vast majority of the stores it operates, it is able to open stores in towns where no appropriate facilities are available for lease and to minimise the risk of an increase in the costs of lease or other adverse changes in lease terms and conditions;
- (iv) the properties owned by the Dino Group are recognised in the books at the cost of purchase or construction. The Dino Group may benefit from an increase in property value;
- (v) in the last ten years, the Dino Group has not been forced to close any of the stores it has developed, (and none of the Dino Group stores were closed in the years 2014 – 2016, except for five leased stores, of which four were relocated to new facilities owned by the Dino Group within the same areas and the PIK stores (in connection with the completion of the programme of testing new store formats));
- (vi) with stores built brand new and fitted with new equipment, the Dino Group benefits from relatively low maintenance and refurbishment costs; according to the Management Board estimates, capital expenditures could amount to approximately PLN 150 thousand per store every 6 years.

The Dino Group is building a portfolio of attractive locations in high pedestrian and car traffic areas. The Dino Group's in-house development team is responsible for this. As at 31 December 2016, the Dino Group had 90 plots purchased (including 40 with stores under construction) and 248 preliminary agreements signed for the purchase of plots (which will become binding upon the satisfaction of certain conditions relating to administrative decisions).

Outstanding offer of fresh and branded products and competitive pricing

The Dino Group offers its customers approximately 5,000 SKUs of carefully selected, mostly branded and fresh products.

The Management Board believes that its wide, competitive and properly composed product offering makes the Dino Group's stores an attractive place for everyday shopping. The Dino Group offers twice as many SKUs as the largest discount chains in Poland and in 2016 fresh products accounted for approximately 36% of its sales.

In addition, and unlike discount chains, all Dino stores are equipped with serviced meat counters with daily deliveries of meat, poultry and cold cuts throughout the week (except Sundays) from a wholly-owned meat processing plant – Agro-Rydzyna.

Due to having its own meat processing plant, Agro-Rydzyna, the Dino Group has direct control over the quality and freshness of its meat, poultry and cold cuts, which in the opinion of the Management Board gives it a clear advantage over competitors and affects the decisions of many customers who choose to do their daily shopping at Dino stores. In 2016, fresh meat, poultry and cold cuts accounted for approximately 16% of the Dino Group's sales.

In terms of its non-fresh offer, the Dino Group's strategy has been to focus on branded products. Private labels, excluding those provided by Agro-Rydzyna, accounted for only approximately 2% of total sales in 2016.

The Dino Group controls its prices and performs weekly comparative reviews of prices offered by its competitors, as a result, the Management Board is able to ensure that key items are priced on average at the same level offered by the largest retail chains in Poland. The Dino Group's competitive pricing policy is supplemented by a consistent and transparent approach to promotions, which are advertised in the Dino Group's brochures and on billboards located in front of most Dino stores.

Cost-effective and scalable business model

The Dino Group has a scalable and cost-effective business model based on a uniform store format, an expanded logistics network, centralised management, appropriate IT infrastructure, and active and efficient store oversight. Thanks to the above-mentioned characteristics of its business model and economies of scale, the Dino Group achieves stable growth in profitability, as demonstrated by the increase in its EBITDA margin of 1.6 p.p. from 7.0% in 2014 to 8.6% in 2016.

Due to the Dino Group's control over the process of selecting store locations and store construction, each new store is very similar to existing ones. A typical store has an average selling space of approximately 400 square metres, 10–30 parking spaces and appropriate access for vans or trucks so as to ensure daily deliveries of fresh goods and regular deliveries of other articles in a cost effective manner, without disrupting shoppers.

The Dino Group's logistics network consists of three distribution centres in Krotoszyn, Jastrowie and Piotrków Trybunalski. In line with the development of its chain of stores, the Dino Group plans to construct additional logistics centres to support further expansion. In 2015, the Dino Group sourced approximately 95% of its SKUs directly through its distribution centres or from Agro-Rydzyna.

The logistics network managed by the Dino Group allows for regular deliveries of fresh products to all of its stores. The Dino Group outsources the distribution of products to several dozen independent contractors operating trucks and trailers. Moreover, the Dino Group owns 60 trailers (as at 31 December 2016), which according to the Management Board increases the flexibility of product distribution management. The entire logistics process is managed by the Dino Group.

The Dino Group has implemented a central management model supported by an appropriate IT system. This allows the Management Board to monitor each store's profitability on an ongoing basis and react quickly to any developments. The deployment of products in each store, tracking orders and loss management are all managed and monitored from the Group's headquarters.

The Dino Group has a highly diversified supplier base, which includes producers and their main representatives. The largest supplier was responsible for less than 3% of the Dino Group's purchases in 2016. Large and constantly growing order volumes allow the Dino Group to enjoy economies of scale and to purchase goods on favourable terms. Purchase volumes will continue to grow due to the further dynamic growth of the store chain, resulting in the further improvement of purchasing terms for the Dino Group. As a result, the Dino Group is able to obtain favourable discounts and supplier participation in offers and promotions, which contributes to its profit margins.

Proven track record of strong financial performance

The Dino Group has a proven track record of strong financial results in terms of growth, profitability and cash generation.

Sales have consistently increased year on year, from PLN 2.1 billion in 2014 to PLN 3.4 billion in 2016, representing a CAGR of 26.4%. This growth reflects both a strong pace of new store openings and LFL sales performance. The Dino Group has continued its fast roll-out and in 2016 opened 117 stores more than in the previous year and achieved an LFL sales growth of 11.3% compared to the previous year.

The Dino Group's EBITDA increased from PLN 147.7 million in 2014 to PLN 288.3 million in 2016, which corresponds to a CAGR of 39.7%. In the same period, gross margin on sales increased by 0.9 p.p., from 22.0% in 2014 to 22.9% in 2016, and the EBITDA margin increased by 1.6 p.p., from 7.0% in 2014 to 8.6% in 2016.

At the same time, the Dino Group generated a significant amount of net cash from its operations, which further fuelled its growth. Cash from operations in 2016 amounted to PLN 324.3 million and covered all of the Dino Group's expenses incurred to purchase of property, plant and equipment and intangibles of PLN 311.7 million. In addition, thanks to a strong EBITDA growth and cash generation, the Dino Group managed to reduce its financial leverage, defined as the ratio of net debt to EBITDA, from 2.6x in 2014 down to 1.7x in 2016.

Experienced management team

The Dino Group has an experienced management team led by Szymon Piduch, the chief operating officer and president of the Management Board, and Michał Krauze, the chief financial officer and a member of the Management Board.

Both have been with the Dino Group since 2002, when the Dino Group operated just over a dozen stores with a total selling space of approximately 5,000 square metres and was in the process of opening its first distribution centre. In the following years, the Dino Group developed into a leading chain of 628 stores with a total selling space of 238,416 square metres, mostly located in Western Poland (as at 31 December 2016).

The Dino Group also has an experienced team of managers responsible for key departments, including purchases, accounting, logistics, warehousing, expansion, technical and IT, procurement, and operational control. The majority of the Dino Group's managers have been involved in the development of the Dino Group for many years and have successfully overseen the rapid expansion of its business.

The Management Board believes that the quality of its management team and the expertise and involvement of its employees provide the Dino Group with a strong foundation and the necessary managerial capabilities to continue the successful implementation of its proven growth strategy.

Development perspectives

The Company will continue to implement its strategy involving the expansion of the store chain by adding new sales points to the network.

The Management Board believes that the following trends will affect Dino Group's business by the end of 2017:

- advantageous macroeconomic situation in Poland, driving up the disposable income and consumer spending;
- change of consumer trends and habits (in particular an active lifestyle, less leisure time, increased frequency of shopping trips while reducing their length, paying attention to the convenient location of stores), which contribute to stagnating sales in the hypermarkets and boost sales in the segments where stores are in the vicinity of customers and enable quick shopping trips.
- increasing suburbanization of larger cities;

- changes in the regulatory environment: increasing minimum salaries and continuation of the government program Family 500+, which contribute to the additional disposable income of the consumers.

Because of the uncertainty of the future economic conditions, the Management Board's expectations and anticipations may suffer from significant uncertainty.

The following factors will additionally have an important effect on the future development of the Company and the Group:

- increasing operational efficiency of the Company's business, economies of scale and optimization of operating expenses;
- increased efficiency of logistic support of the stores;
- availability of financing sources;
- competition from other retail chains;
- changing legal standards and regulations, including taxation of businesses;
- costs of running retail sales operations, because of the new provisions of the consumer protection law, labor law, sanitary and environmental laws;
- unstable and uncertain situation on the labor market in various regions of Poland;
- increase in the price of fuel and other energy carriers, exerting pressure on higher operating expenses of the Group's companies and therefore higher purchase prices of commodities.

5. ECONOMIC AND FINANCIAL SITUATION IN 2016

The Parent Company and the Group will continue to implement its strategy involving the expansion of the store chain by adding new sales points to the network. The Company also anticipates to conduct profitable operations in the foreseeable future.

Because of the profile of its business, the Dino Group has not adopted a research and development strategy and does not finance any R&D projects.

The Company does not publish financial forecasts.

5.1. Summary of the Group's results

In 2016, the Dino Group achieved sales of PLN 3,370 million and EBITDA of PLN 288.3 million with sales and EBITDA CAGR of 26.4% and 39.7%, respectively, in 2014 – 2016. The Dino Group's gross margin and EBITDA margin in 2016 were 22.9% and 8.6%, respectively, an increase of 0.9 p.p. and 1.6 p.p. compared with 2014.

The table below shows selected items of the consolidated statement of profit and loss for the periods indicated.

	Year ended 31 December			Change	
	2016 ⁽¹⁾	2015	2014	2016/2015	2015/2014
	(PLN '000) (audited)			(%)	
Sales.....	3,369,517	2,589,576	2,107,984	30.1	22.8
Cost of sales.....	(2,599,005)	(2,004,710)	(1,644,080)	29.6	21.9
Gross profit.....	770,512	584,866	463,904	31.7	26.1
Other operating income.....	2,616	3,120	1,522	(16.2)	105.0
Selling and marketing costs.....	(505,855)	(391,580)	(324,634)	29.2	20.6
Administrative expenses and general overheads	(49,434)	(35,354)	(31,338)	39.8	12.8
Other operating expenses.....	(2,250)	(998)	(3,667)	125.5	(72.8)
Operating profit.....	215,589	160,054	105,787	34.7	51.3
Financial income.....	473	99	168	377.8	(41.1)
Financial expenses.....	(29,607)	(24,922)	(26,662)	18.8	(6.5)
Profit before tax.....	186,455	135,231	79,293	37.9	70.5
Income tax.....	(35,245)	(13,059)	(13,156)	169.9	(0.7)
Net profit for the year.....	151,210	122,172	66,137	23.8	84.7

Source: Consolidated Financial Statements.

⁽¹⁾ The data for 2016 was not adjusted by one-off events related to the Offering, i.e. the costs of the Offering and the costs of the incentive programme related to the Offering in the total amount of PLN 7.5 million (detailed information is presented in a table in the section "Selected historical financial information – Adjustments to financial data resulting from one-off events related to the Offering").

Sales

Sales increased by PLN 779.9 million, i.e. by 30.1%, to PLN 3,369.5 million in 2016 compared with PLN 2,589.6 million in 2015. This increase was mainly a result of the increase in sales of goods and materials of PLN 679.1 million, i.e. 30.0%, to PLN 2,941.3 million in 2016 compared to PLN 2,262.3 million in 2015. In this period, sales of products and services increased by PLN 100.9 million, i.e. by 30.8%, to PLN 428.2 million in 2016 compared to PLN 327.3 million in 2015.

These increases resulted mainly from an increase in the scale of operations of the Dino Group mainly through: (i) the increase in the number of stores of 22.9%; and (ii) the increase in LFL sales of 11.3%.

Cost of sales

Cost of sales represented 77.1%, 77.4% and 78.0%, respectively, of sales in the years 2016, 2015 and 2014.

The cost of sales increased by PLN 594.3 million, i.e. by 29.6%, to PLN 2,599.0 million in 2016 compared with PLN 2,004.7 million in 2015. At the same time, sales increased by 30.1%. This increase was mainly due to an increase in the scale of the Dino Group's operations in connection with the expansion of the Dino Group store network and the growing LFL sales. The rate of the increase in the cost of sales was lower than the rate of increase in sales, thanks to the stronger bargaining power of the Dino Group in relation to its suppliers, which resulted in improved terms of supply (including prices and payment terms).

Selling and marketing costs

Selling and marketing costs increased by PLN 114.3 million, i.e. by 29.2%, to PLN 505.9 million in 2016 compared to PLN 391.6 million in 2015. At the same time, sales increased by 30.1%. This increase was mainly due to an increase in the scale of the Dino Group's operations and the resulting expansion of the Dino Group store network as well as the growing LFL sales which was connected with the need to incur greater costs of store maintenance, storage of goods and marketing.

Administrative expenses and general overheads

Administrative expenses and general overheads increased by PLN 14.1 million, i.e. by 39.8%, to PLN 49.4 million in 2016 compared to PLN 35.3 million in 2015. This increase was mainly due to the expansion of the Dino Group's chain of stores (some administrative functions, such as accounting, grew in line with the chain's expansion).

Costs by type

The following table presents costs by type for the periods indicated.

	Year ended 31 December			Change	
	2016	2015	2014	2016/2015	2015/2014
	(PLN '000) (audited)			(%)	
Depreciation and amortization	65,202	50,177	41,880	29.9	19.8
Materials and energy consumption.....	331,610	263,779	232,664	25.7	13.4
External services	137,775	107,874	94,130	27.7	14.6
Taxes and charges	17,129	13,197	9,824	29.8	34.3
Employee benefit costs	341,805	255,104	207,470	34.0	23.0
Other costs	12,659	11,271	15,710	12.3	(28.3)
Goods and materials sold	2,249,878	1,730,102	1,399,805	30.0	23.6
Total costs by type.....	3,156,058	2,431,504	2,001,483	29.8	21.5

Source: Consolidated Financial Statements.

Total cost by type increased by PLN 724.6 million, i.e. 29.8%, to PLN 3,156.1 million in 2016 compared to PLN 2,431.5 million in 2015, mainly as a result of an increase in: (i) the value of goods and materials sold (of PLN 519.8 million); (ii) employee benefits costs (of PLN 86.7 million); (iii) materials and energy consumption (of PLN 67.8 million); and (iv) external services (of PLN 29.9 million). Such increases were mainly attributable to the expansion of the Dino Group's store chain and growing LFL sales.

Employee benefit costs

Employee benefit costs increased by PLN 86.7 million, i.e. by 34.0%, to PLN 341.8 million in 2016 compared to PLN 255.1 million in 2015. This increase resulted predominantly from an increase in the number of employees in the Dino Group from 8,770 as at 31 December 2015 to 10,640 as at 31 December 2016, driven by the growth in the scale of the operations of the Dino Group and the resulting expansion of the Dino Group store

network as well as the growing LFL sales, and, to a lesser extent, by an increase in the average remuneration in the Dino Group and an increase in the statutory minimum wage (from PLN 1,750 to PLN 1,850).

External services

The cost of external services, which comprised mainly transport services, rental, lease and maintenance services, increased by PLN 29.9 million, i.e. by 27.7%, to PLN 137.8 million in 2016 compared to PLN 107.9 million in 2015. This increase was mainly due to an increase in the scale of the Dino Group's operations and the resulting expansion of the Dino Group store network as well as the growing LFL sales. The rate of growth of the cost of external services was lower than the rate of growth of the Dino Group's sales.

Materials and energy consumption

The cost of materials and energy consumption increased by PLN 67.8 million, i.e. by 25.7%, to PLN 331.6 million in 2016 compared to PLN 263.8 million in 2015. This increase was due to an increase in materials and raw materials consumption which was attributable to the growth in the scale of operations and the resulting expansion of the store network as well as the growing LFL sales but which was partly offset by the decrease in energy prices for the Dino.

Financial expenses

Financial expenses of the Dino Group increased by PLN 4.7 million, i.e. 18.8%, to PLN 29.6 million in 2016 compared with PLN 24.9 million in 2015. This increase resulted mainly from the increase in: (i) interest on trade payables (of PLN 2.3 million, i.e. 29.1%) as a result of the increased scale of operations of the Dino Group and the resulting expansion of the store network as well as the growing LFL sales; and (ii) interest on bank loans (of PLN 1.6 million, i.e. 11.6%) in connection with new bank loans of the Dino Group.

Income tax

In the years 2016–2014, the Dino Group recognised income tax of PLN 35.3 million and PLN 13.1 million, PLN 13.2 million, respectively. The effective tax rate for the Dino Group amounted to 18.9%, 9.7%, and 16.6%, respectively, in the years 2016, 2015 and 2014.

5.2. Summary of Dino Polska's results:

Profit and loss account (highlights)

<i>(in thousands of PLN)</i>	<i>Year ended 31 December 2016</i>	<i>Year ended 31 December 2015</i>	<i>Change</i>
Net revenues on sales and equivalents	3,357,936	2,578,237	30.2%
Operating expenses	-3,255,699	-2,509,252	29.7%
Sales profit / (loss)	102,237	68,985	48.2%
Other operating income	2,080	3,014	-31.0%
Other operating expenses	-1,980	-858	130.8%
Operating profit / (loss)	102,337	71,141	43.9%
Financial income	232,264	704	32892%
Financial expenses	-38,571	-31,820	21.2%
Profit/(loss) before tax	296,030	40,025	639.6%
Income tax	-16,582	-5,598	196.2%
Net profit/(loss)	279,448	34,427	711.7%

In 2016, the Company reached sales revenues of PLN 3,357.9 million, or 30.2% higher than in 2015. This growth was driven by the increasing net revenues on sales of merchandise and raw materials in the Dino chain of stores, which in turn resulted from a higher number of stores and higher revenues yoy in the existing stores.

Operating expenses increased by 29.7% to PLN 3,255.7 million. This growth was caused mainly by the increasing scale of Dino Polska's business driven by the addition of new stores to the chain and an increase in like-for-like sales in the existing stores.

In addition to the factors described in the chapter entitled *Factors affecting operating and financial results*, net profit (PLN 279.5 million) was also affected by the profit on account of a share in the Subsidiary (dividend) equal to PLN 229.2 million, as a result of which the standalone financial income rose to PLN 232.3 million.

The increase in financial expenses by 21.2% yoy up to PLN 38.6 million was caused by the increasing scale of Dino Polska's business and therefore higher level of interest and fees.

The low tax rate is due to the fact that in 2016, the Company received a dividend from a subsidiary in which the Company held 100% of the shares. the dividend was subject to a tax exemption since the Company held 100% of shares in the subsidiary for a period longer than 2 years (pursuant to Article 22 of Corporate Income Tax Act).

Balance sheet (highlights)

(in thousands of PLN)

	As at 31 December 2016	As at 31 December 2015	Change
Non-current assets	1,237,533	848,301	45.9%
Intangible assets	10,439	9,832	6.2%
Property, plant and equipment	456,604	235,488	93.9%
Long-term investments	727,151	522,397	39.2%
Long-term prepayments and accruals	43,339	80,584	-46.2%
Current assets	484,944	336,913	43.9%
Inventories	270,798	209,431	29.3%
Short-term receivables	49,827	28,331	75.9%
Short-term investments	121,914	55,158	121.0%
Short-term prepayments and accruals	42,405	43,993	-3.6%
Total assets	1,722,477	1,185,214	45.3%
Equity	558,154	278,706	100.3%
Share capital	9,804	9,804	0.0%
Supplementary capital	268,902	234,475	14.7%
Net profit/(loss)	279,448	34,427	711.7%
Liabilities and provisions for liabilities	1,164,323	906,508	28.4%
Provisions for liabilities	19,323	8,820	119.1%
Long-term liabilities	377,622	345,461	9.3%
Current liabilities	755,462	543,704	38.9%
Accruals and deferred income	11,916	8,523	39.8%
Total liabilities and equity	1,722,477	1,185,214	45.3%

As at 31 December 2016, the Company's assets amounted to PLN 1,722,477 thousand and consisted of:

- non-current assets of PLN 1,237,533 thousand,
- current assets of PLN 484,944 thousand.

In 2016 and 2015, total assets consisted mainly of: long-term investments (which represented 42.2% and 44.1%, respectively, of total assets), property, plant and equipment (26.5% and 19.9%, respectively, of total assets) and inventories (15.7% and 17.7%, respectively of total assets).

Non-current assets rose by PLN 389.2 million, or 45.9%. This increase was caused mainly by an increase in the value of long-term investments (by PLN 204.8 million, or 39.2%) following the reorganization of the Group described in the chapter entitled *Interest-bearing bank loans, borrowings and finance lease liabilities* and an increase in property, plant and equipment (by PLN 221.1 million, or 93.9%) which in turn was caused primarily by the growth of the Dino Group sales chain (new Dino stores) and capital expenditures.

The largest current asset items are: (i) inventories (which represent 55.8% and 62.2% of current assets as at 31 December 2016 and 2015, respectively), (ii) short-term financial assets (25.1% and 16.4% of current assets as at 31 December 2016 and 2015, respectively) and (iii) cash and cash equivalents (11.2% and 7.7% of current assets as at 31 December 2016 and 2015, respectively).

Current assets rose by PLN 148.0 million, or 43.9%. This increase was caused mainly by the increase in: (i) inventories (by PLN 61.4 million, or 29.3%) driven mainly by an increase in the scale of Dino Group's business, (ii) short-term financial assets in related entities (by PLN 38.4 million, or 131%) following from the purchase of CWN bonds, as described in the chapter entitled *Interest-bearing bank loans, borrowings and finance lease liabilities*, (iii) cash (by PLN 28.4 million, or 110%).

As at 31 December 2016, equity was positive at PLN 558,154 thousand, including:

- share capital of PLN 9,804 thousand,
- supplementary capital of PLN 268,902 thousand.

Other funding sources of the assets, i.e. liabilities and provisions, were as follows as at 31 December 2016:

- provisions for liabilities: PLN 19,323 thousand,
- long-term liabilities: PLN 377,622 thousand,
- current liabilities: PLN 755,462 thousand,
- accruals and deferred income: PLN 11,916 thousand.

Long-term liabilities rose by PLN 32.2 million, or 9.3%, chiefly due to an increase in liabilities under financial leases, while current liabilities increased by PLN 211.8 million and were PLN 38.9 million higher than the year before. The increase in current liabilities was driven mainly by growth in trade payables, which in turn was caused by the expanding scale of business of Dino stores and rising liabilities to related entities due to an increase in business (deliveries from Agro-Rydzyna) and construction of new stores.

Cash flow statement (highlights)

(in thousands of PLN)

	Year ended 31 December 2016	Year ended 31 December 2015
Net cash flow from operating activities	264,788	202,373
Net cash flow from investing activities	-189,760	-92,007

Net cash flow from financing activities	-46,653	-106,707
Total net cash flow	28,375	3,659
Cash and cash equivalents at the beginning of the period	25,857	22,198
Cash at the end of the period	54,232	25,857

The net cash from operating activities generated by Dino in 2016 and 2015 was PLN 264.8 million and PLN 202.4 million, respectively. The increase in net cash from operating activities was driven mainly by the increased scale of Dino business.

In 2016, Dino's cash flow from investing activities was negative at PLN (189.8) million. The negative cash flows were caused mainly by the expenditures on the purchase of property, plant and equipment and intangible assets (PLN 180.4 million).

5.3. Structure of the Group's assets and liabilities

The table below contains information on the Dino Group's assets as at 31 December 2016, 2015 and 2014, respectively.

	As at 31 December			Change	
	2016	2015	2014	2016/2015	2015/2014
	(PLN '000) (audited)			(%)	
Total non-current assets					
Property, plant and equipment	1,337,207	1,024,199	798,948	30.6	28.2
Intangible assets	93,072	92,253	90,700	0.9	1.7
Other non-financial assets (long-term)	0	—	1,885	0.0	(100.0)
Deferred tax assets	26,867	34,311	37,049	(21.7)	(7.4)
	1,457,146	1,150,763	928,582	26.6	23.9
Total current assets					
Inventories	276,541	212,146	182,286	30.4	16.4
Trade receivables and other receivables	33,665	21,687	18,796	55.2	15.4
Income tax receivables	613	105	48	483.8	118.8
Other non-financial assets	22,447	20,742	13,515	8.2	53.5
Cash and cash equivalents	66,428	33,920	23,739	95.8	42.9
	399,694	288,600	238,384	38.5	21.1
Total assets	1,856,840	1,439,363	1,166,966	29.0	23.3

Source: Consolidated Financial Statements.

Assets

Total assets increased by PLN 417.5 million, i.e. 29.0%, to PLN 1,439.4 million as at 31 December 2015 to PLN 1,856.8 million as at 31 December 2016. Total assets increased by PLN 272.4 million, i.e. 23.3%, from PLN 1,167.0 million as at 31 December 2014 to PLN 1,439.4 million as at 31 December 2015.

In the years 2014–2016, the main components of total assets were: (i) property, plant and equipment (constituting 72.0%, 71.2% and 68.5%, respectively, of the total assets as at 31 December 2016, 2015 and 2014); (ii) inventories (constituting 14.9%, 14.7% and 15.6%, respectively, of the total assets as at 31 December 2016, 2015 and 2014); (iii) intangible assets (constituting 5.0%, 6.4% and 7.8%, respectively, of the total assets as at 31 December 2016, 2015 and 2014); and (iv) deferred tax assets (constituting 1.4%, 2.4% and 3.2%, respectively, of the total assets as at 31 December 2016, 2015 and 2014).

As at 31 December 2016, 2015 and 2014, respectively, non-current assets represented 78.5%, 79.9% and 79.6% of the total assets, while current assets represented 21.5%, 20.1% and 20.4% of the total assets.

Non-current assets increased by PLN 306.4 million, i.e. 26.6%, from PLN 1,150.8 million as at 31 December 2015 to PLN 1,457.1 million as at 31 December 2016. This increase was mainly due to an increase in property, plant and equipment (of PLN 313.0 million, i.e. 30.6%), which was mainly the result of the development of the Dino Group's sales network (new Dino stores) and capital expenditure.

Non-current assets increased by PLN 222.1 million, i.e. 23.9%, from PLN 928.6 million as at 31 December 2014 to PLN 1,150.8 million as at 31 December 2015. This increase was mainly due to an increase in property, plant and equipment (of PLN 225.2 million, i.e. 28.2%), which was mainly the result of the development of the Dino Group's sales network (new Dino stores) and capital expenditure.

Current assets comprise mainly the following items: (i) inventories (representing 69.2%, 73.5% and 76.5% of current assets, respectively, as at 31 December 2016, 2015 and 2014); (ii) cash and cash equivalents (representing 16.6%, 11.8% and 10.0% of current assets, respectively, as at 31 December 2016, 2015 and 2014); and (iii) trade receivables and other receivables (representing 8.4%, 7.5% and 7.9% of current assets, respectively, as at 31 December 2016, 2015 and 2014).

Current assets increased by PLN 111.1 million, i.e. 38.5%, from PLN 288.6 million as at 31 December 2015 to PLN 399.7 million as at 31 December 2016. This increase was mainly due to an increase in: (i) inventories (of PLN 64.4 million, i.e. 30.4%), which was mainly a result of the growth in the scale of operations of the Dino Group; (ii) cash and cash equivalents (of PLN 32.5 million, i.e. 95.8%); and (iii) trade receivables and other receivables (of PLN 12.0 million, i.e. 55.2%).

Current assets increased by PLN 50.2 million, i.e. 21.1%, from PLN 238.4 million as at 31 December 2014 to PLN 288.6 million as at 31 December 2015. This increase was mainly due to increases in: (i) inventories (of PLN 29.9 million, i.e. 16.4%) mainly due to the increased scale of the Dino Group's operations; (ii) cash and cash equivalents (of PLN 10.2 million, i.e. 42.9%); and (iii) other non-financial assets (of PLN 7.2 million, i.e. 53.5%).

Property, plant and equipment

Property, plant and equipment increased by PLN 225.2 million, i.e. by 28.2%, from PLN 798.9 million as at 31 December 2014 to PLN 1,024.2 million as at 31 December 2015 and by PLN 313.0 million, i.e. by 30.6%, to PLN 1,337.2 million as at 31 December 2016.

This increase was mainly a result of the development of the Dino Group's sales network and the growth of the scale of the Dino Group's operations (commencement and/or completion of the construction of the Dino Group's new stores, capital expenditure on plant and machinery, vehicles and other property, plant and equipment) and was partially offset by depreciation, disposals and scrapping.

Deferred tax assets

Deferred tax assets decreased by PLN 7.4 million, i.e. by 21.7%, from PLN 34.3 million as at 31 December 2015 to PLN 26.9 million as at 31 December 2016 due to the settlement of deferred tax assets in respect of prepaid rent (the amount of deferred tax assets in respect of prepaid rent amounted to PLN 14.4 million as at 31 December 2016 compared to PLN 22.6 million as at 31 December 2015) and deferred tax assets in respect of the transfer of trademarks to Pol Food.

Inventories

Inventories increased by PLN 64.4 million, i.e. 30.4%, from PLN 212.1 million as at 31 December 2015 to PLN 276.5 million as at 31 December 2016. Inventories increased by PLN 29.9 million, i.e. 16.4%, from PLN 182.3 million as at 31 December 2014 to PLN 212.1 million as at 31 December 2015. These changes were

mainly due to the change in the balance of goods for sale, which were the key components of inventories and represented 96.9%, 97.0% and 95.3% of the balance of inventories as at 31 December 2016, 2015 and 2014, respectively.

The balance of goods for sale increased by PLN 62.2 million, i.e. 30.2%, from 205.9 million as at 31 December 2015 to PLN 268.1 million as at 31 December 2016, mainly due to the increase in the scale of the Dino Group's operations.

Trade receivables and other receivables

Trade receivables consist mainly of receivables from suppliers related to marketing campaigns and receivables from franchisees. Other receivables include, in particular, other settlements with employees, receivables in respect of prepayments made and receivables in respect of vouchers accepted by the Dino Group's stores.

Trade receivables and other receivables increased by PLN 12.0 million, i.e. by 55.2%, from PLN 21.7 million as at 31 December 2015 to PLN 33.7 million as at 31 December 2016. This increase was mainly driven by an increase in trade receivables from third parties (of PLN 13.3 million), which resulted from an increase in the scale of the Dino Group's operations.

Other non-financial assets

Other non-financial assets cover mainly amounts due to the State (including VAT payables, net of CIT), rent and insurance.

The balance of other non-financial assets increased by PLN 1.7 million, i.e. 8.2%, from PLN 20.7 million as at 31 December 2015 to PLN 22.4 million as at 31 December 2016, mainly due to an increase in the scale of the Dino Group's operations and the resulting VAT payments.

Cash and cash equivalents

Cash and cash equivalents increased by PLN 10.2 million, i.e. by 42.9%, from PLN 23.7 million as at 31 December 2014 to PLN 33.9 million as at 31 December 2015 and PLN 32.5 million, i.e. 95.8%, to PLN 66.4 million as at 31 December 2016.

Liabilities

The table below contains information on the Dino Group's liabilities as at 31 December 2016, 2015 and 2014, respectively.

	As at 31 December			Change	
	2016	2015	2014	2016/2015	2015/2014
	(PLN '000)				
	(audited)			(%)	
Long-term liabilities					
Interest-bearing loans and borrowings and finance lease liabilities.....	452,378	361,774	285,962	25.0	26.5
Other liabilities	300	—	—	—	—
Provisions for employee benefits	1,115	758	533	47.1	42.2
Deferred tax liabilities.....	5,498	588	1,572	835.0	(62.6)
Accruals	87	73	76	19.2	(3.9)
	459,378	363,193	288,143	26.5	26.0
Current liabilities					
Trade and other payables	574,426	429,195	337,620	33.8	27.1

	As at 31 December			Change	
	2016	2015	2014	2016/2015	2015/2014
	(PLN '000)				
	(audited)			(%)	
Current portion of interest-bearing loans and finance lease liabilities.....	110,173	101,504	118,187	8.5	(14.1)
Income tax liabilities.....	10,268	3,368	4,608	204.9	(26.9)
Accruals.....	13,227	9,796	8,286	35.0	18.2
Provisions for employee benefits.....	5,892	72	49	8,083.3	46.9
Total liabilities.....	1,173,364	907,128	756,893	29.3	19.8

Source: Consolidated Financial Statements.

In the years 2016–2014, the main components of total liabilities were: (i) trade and other payables (current portion) constituting 49.0%, 47.3% and 44.6% respectively, of liabilities as at 31 December 2016, 2015 and 2014; (ii) interest-bearing loans, borrowings and finance lease liabilities (long-term portion) constituting 38.6%, 39.9% and 37.8%, respectively, of liabilities as at 31 December 2016, 2015 and 2014; and (iii) current portion of interest-bearing loans and finance lease liabilities constituting 9.4%, 11.2% and 15.6%, respectively, of the liabilities as at 31 December 2016, 2015 and 2014.

Total liabilities increased by PLN 266.2 million, i.e. 29.3%, from PLN 907.1 million as at 31 December 2015 to PLN 1,173 million as at 31 December 2016. Total liabilities increased by PLN 150.2 million, i.e. 19.8%, from PLN 756.9 million as at 31 December 2014 to PLN 907.1 million as at 31 December 2015.

Long-term liabilities

As at 31 December 2016, 2015 and 2014, long-term liabilities represented, respectively, 39.2%, 40.0% and 38.1% of total liabilities.

Long-term liabilities increased by PLN 96.2 million, i.e. by 26.5%, from PLN 363.2 million as at 31 December 2015 to PLN 459.4 million as at 31 December 2016, mainly as a result of an increase in interest-bearing loans, borrowings and finance lease liabilities (of PLN 90.6 million, i.e. 25.0%) due to the expansion of the Dino Group's store network, the construction of a new distribution centre in Jastrowie and the related capital expenditure that required additional financing.

Current liabilities

As at 31 December 2016, 2015 and 2014, current liabilities represented, respectively, 60.8%, 60.0% and 61.9% of total liabilities.

Current liabilities increased by PLN 170.1 million, i.e. by 31.3%, from PLN 543.9 million as at 31 December 2015 to PLN 714.0 million as at 31 December 2016, mainly as a result of an increase in trade and other payables (current portion) (of PLN 145.2 million, i.e. by 33.8%, resulting primarily from: (i) an increase in the scale of the Dino Group's operations); (ii) an increase in income tax liabilities (of PLN 6.9 million, i.e. 204.9%, mainly as a result of the increased scale of operations of the Dino Group); and (iii) an increase in accruals (of PLN 3.4 million, i.e. 35.0%, mainly as a result of costs of unused holiday pay).

Equity

Information on the equity of the Dino Group as at 31 December 2016, 2015 and 2014 is shown in the table below.

	As at 31 December			Change	
	2016	2015	2014	2016/2015	2015/2014
	(PLN'000)				
	(audited)			(%)	
Share capital.....	9,804	9,804	9,804	—	—
Reserve capital.....	510,720	393,019	316,048	29.9	24.4
Retained earnings.....	162,952	129,412	84,221	25.9	53.7
Non-controlling interests.....	—	—	—	—	—
Total equity.....	683,476	532,235	410,073	28.4	29.8

Source: Consolidated Financial Statements.

As at 31 December 2016, equity amounted to PLN 683.5 million and increased by PLN 151.2 million, i.e. 28.4%, compared with PLN 532.2 million as at 31 December 2015. This increase was the result of an increase in profit earned by the Dino Group over the period, which translated into an increase in reserve capital as a result of the transfer of profit (of PLN 117.7 million, i.e. 29.9%) and retained earnings (of PLN 33.5 million, i.e. 25.9%).

Liquidity and capital resources

The Dino Group finance its liquidity and capital needs mainly through: (i) cash inflows generated by the Dino Group's operating activities; (ii) loans (overdrafts and investment loans); and (iii) finance leases of trailers, vehicles and store equipment. The Company plans to continue to finance its future liquidity needs from the same capital sources, except for the financing provided by the majority shareholder or its related entities. In addition, the Dino Group may consider obtaining financing through an issue of debt securities addressed to a wider group of investors on capital markets.

The main capital needs of the Dino Group relate to its operating activities, the financing of its capital expenditures (relating, in particular, to the further development of the Dino Group's store chain) and the repayment of its debt, trade and other payables. The Dino Group's financial strategy aims at ensuring, to the greatest extent possible, that the Dino Group has sufficient financial resources and liquidity to repay its liabilities once they become due, both in the ordinary course of business and in extraordinary circumstances, so that the Dino Group is not exposed to losses or damage to its reputation. Capital expenditure related to the further development of the Dino Group is financed mainly with the Dino Group's own funds derived from current operations.

As at 31 December 2016 the Group presented an excess of current liabilities over current assets, which is typical for the retail industry and its seasonality, where the most of sales are made on cash terms, inventories are minimized and suppliers give deferred payments. At the same time the Group conducts intensive development of networks involving free cash and cash from bank loans to increase number of existing stores. Precedent conditions related to the loan agreements are monitored. As at the balance sheet date 31 December 2016 the conditions of the loan agreements were not breached, moreover, in the opinion of the Management Board there is no risk of termination by the banks of these contracts within 12 months from the balance sheet date 31 December 2016. As at the Date of the Report no circumstances have been found suggesting a threat to the continued operation of the activities of the Group's companies.

The Management Board represents that, in its opinion, the existing working capital of the Dino Group, its funding and the ability of the Dino Group to generate positive operating cash flows are sufficient to cover its current needs and to conduct operations for a period of at least 12 months after the Date of the Report.

Interest-bearing bank loans, borrowings and finance lease liabilities

Liabilities in respect of finance lease and bank loans

The Dino Group has used external financing (interest-bearing bank loans, borrowings and finance lease liabilities) mainly to finance the expansion of its store chain and related capital expenditure.

The following table sets forth information on interest-bearing loans, borrowings and finance lease liabilities as at the indicated dates.

	Year ended 31 December			Change	
	2016	2015	2014	2016/2015	2015/2014
	(PLN '000) (audited)			2016/2015 (%)	
Current:	110,173	101,504	118,187	8.5	(14.1)
Finance lease liabilities	41,588	34,620	27,646	20.1	25.2
Overdrafts	1,613	14,520	60,455	(88.9)	(76.0)
Investment loans	61,808	49,516	30,086	24.8	64.6
Loans for financing current activities	4,755	2,848	—	67.0	—
Loan	409	—	—	—	—
Non-current	452,378	361,774	285,962	25.0	26.5
Finance lease liabilities	76,788	52,304	47,036	46.8	11.2
Investment loans	354,117	297,224	238,926	19.1	24.4
Loans for financing current activities	19,998	12,246	—	63.3	—
Loan	1,475	—	—	—	—
Total current and non-current	562,551	463,278	404,149	21.4	14.6

Source: Consolidated Financial Statements.

Interest-bearing loans and borrowings and finance lease liabilities increased by PLN 99.3 million, i.e. 21.4%, from PLN 463.3 million as at 31 December 2015 to PLN 562.6 million as at 31 December 2016, mainly as a result of an increase in (i) the amount of investment loans (in the non-current portion – of PLN 56.9 million, i.e. 19.1%, and in the current portion – of PLN 12.3 million, i.e. 24.8%) mainly due to the expansion of the chain of stores of the Dino Group and the related capital expenditure; (ii) the amount of finance lease liabilities (in the non-current portion – of PLN 24.5 million, i.e. 46.8%, and in the current portion – of PLN 7.0 million, i.e. 20.1%) mainly due to an increased demand for trailers, vehicles, warehouse and store equipment. This increase was partly offset with a drop in the amount of overdrafts of PLN 12.9 million, i.e. 88.9%, as a result of swapping from current to non-current financing.

Financial liabilities

The following table presents the financial liabilities of the Dino Group as at 31 December 2016 by maturity, based on contractual non-discounted payments.

	Payable on demand	Up to 1 year	From 1 to 5 years	After more than 5 years	Total
	(PLN '000) (audited)				
Interest-bearing loans	—	81,901	355,860	50,745	488,506
Other liabilities (financial leases)	—	45,159	81,118	—	126,277
Trade payables and other payables	—	543,497	—	—	543,497
Total:	—	670,557	436,978	50,745	1,158,280

5.4. Statement of cash flows

The following table presents the principal information on the Dino Group's cash flows in the years indicated.

	Year ended 31 December		
	2016	2015	2014
	(PLN '000) (audited)		
Net cash flows from operating activities.....	324,323	245,394	188,478
Net cash flows from investing activities.....	(310,180)	(242,502)	(170,195)
Net cash flows from financing activities.....	18,365	7,289	(12,060)
Net increase in cash and cash equivalents.....	32,508	10,181	6,223
Cash and cash equivalents at the beginning of the period.	33,920	23,739	17,516
Cash and cash equivalents at the end of the period.....	66,428	33,920	23,739

Net cash flows from operating activities

In the years ended 2016, 2015 and 2014, the Dino Group generated net cash from operating activities in the amount of PLN 324.3 million, PLN 245.4 million and PLN 188.5 million, respectively.

Such increase in net cash from operating activities was driven mainly by the increase in the scale of the Dino Group's operations, including a corresponding increase in sales resulting from the development of the Dino Group's store chain and the LFL sales growth. This sales growth, which was higher than the corresponding growth of operating expenses and related outflows, translated into a growth in cash inflows from operating activities. These factors also influenced the Dino Group's working capital.

In 2016, net cash flows from the operating activities of the Dino Group amounted to PLN 324.3 million. This amount comprises profit before tax for 2016 (PLN 186.5 million) and net cash flows (in total PLN 234.8 million) arising mainly from: (i) a change in the balance of payables, except loans and borrowings (PLN 127.2 million); (ii) depreciation and amortisation (PLN 65.2 million); and (iii) interest expense (PLN 29.7 million). Cash inflows were partly offset by cash outflows (in total PLN 96.9 million), which in 2016 related primarily to: (i) a change in the balance of inventories (PLN 64.4 million); (ii) income tax paid (PLN 16.5 million); and (iii) a change in the balance of receivables (PLN 15.6 million).

Net cash flows from investing activities

In 2016, the Dino Group's investing activities generated net cash outflows of PLN (310.2) million. These cash outflows resulted mainly from purchase of property, plant and equipment and intangibles (PLN 311.7 million).

Net cash flows from financing activities

In 2016, net cash inflows from financing activities of the Dino Group amounted to PLN 18.4 million. These cash inflows resulted mainly from the proceeds from loans and borrowings (PLN 219.1 million) extended to the Dino Group in 2016. These cash inflows were partly offset by cash outflows (in total PLN 200.7 million), which in 2016 related primarily to: (i) repayment of loans and borrowings (PLN 127.1 million); (ii) interest paid (PLN 29.7 million) – the Dino Group refinanced its loans in 2016; as well as (iii) payment of financial lease liabilities (PLN 43.9 million) relating to trailers, vehicles, store and warehouse equipment, and plant and machinery.

Net increase in cash and cash equivalents

As a result of net cash inflows, as at the end of 2016 the balance of the Dino Group's cash and cash equivalents increased by PLN 32.5 million compared with the end of 2015.

5.5. Capital expenditure

Information on the capital expenditure of the Dino Group (defined as the initial cost of property, plant and equipment that were commissioned for use in the given period) for the indicated periods is shown in the table below.

	Year ended 31 December			Change	
	2016	2015	2014	2016/2015	2015/2014
	(PLN '000) (unaudited)			2016/2015 (%)	
Expenditure on stores.....	287,312.3	238,458.5	186,346.6	20.5	28.0
Expenditure on distribution centres.....	71,378.5	18,625.4	7,827.6	283.2	137.9
Expenditure on the Agro-Rydzyňa meat processing plant.....	14,117.0	5,776.1	8,417.5	144.4	(31.4)
Other expenditure.....	4,597.2	3,013.5	1,051.7	52.6	186.5
Total expenditure	377,405.0	265,873.5	203,643.4	41.9	30.6

All capital expenditure was incurred in Poland and was financed by the Dino Group from its own funds generated from operating activities, interest-bearing bank loans and finance leases.

In 2016, the Dino Group's capital expenditure amounted to PLN 377.4 million and comprised mainly: (i) expenditure on the expansion of the Dino Group's store chain (the purchase price of real estate and related acquisition costs, including the costs of the development team, costs of construction and fit-out of stores, and the purchase of machinery and equipment) (PLN 287.3 million); (ii) expenditure on distribution centres (PLN 71.4 million), including expenditure on increasing the storage area of the Krotoszyn centre, the purchase of refrigerator trailers and purchase of equipment (forklift trucks); and (iii) expenditure on the extension and modernisation of the Agro-Rydzyňa meat processing plant (PLN 14.1 million), mainly for the purchase of meat-processing machines. The remaining portion of capital expenditure of PLN 4.6 million was spent inter alia on acquisition of computer hardware.

5.6. Factors affecting operating and financial results

General factors affecting operating and financial results

The key factors affecting the Dino Group's financial and operating results in the years 2014 – 2016 are discussed below. The Management Board believes that these factors, historically and in the period until the date hereof, had and may continue to have an effect on the business activities, operating and financial results, financial condition, cash flows and development prospects of the Dino Group and they also present the trends which, in the Company's opinion, will apply to the grocery market in Poland in the next few years.

The Dino Group's operating and financial performance is affected primarily by: (i) the economic environment in Poland and consumer habits; (ii) the rate of store rollout and increase in LFL sales; (iii) the Dino Group's purchasing power; and (iv) financial indebtedness and interest rate changes.

Economic environment in Poland, consumer trends and habits

The Dino Group's business is conducted in Poland only. Therefore, the macroeconomic conditions in Poland, which are affected by the economic environment in the region and the global economy, are of significant importance to the Dino Group's operations. Any changes in the macroeconomic conditions, including GDP growth rate, unemployment rate, pay (including minimum pay), private consumption, consumer confidence index or interest rates and inflation/deflation rates, impact the overall affluence of society, consumer purchasing power and spending inclination, thus shaping consumers' spending habits. The above factors also impact the Dino Group's product prices and sales and thus materially affect the Dino Group's financial results.

The Polish economy is the eighth largest in the EU. Poland's economic growth, as well as certain government social programmes (e.g. the Family 500 + Programme, which was introduced in 2016 or the minimum wage increase of 8.1%) are believed to have resulted (or will result in the future) in greater affluence and higher consumer spending which translates into, inter alia, greater demand for the Dino Group's products.

Additionally, the financial results of the Dino Group were affected by customer habits, such as e.g. increased frequency of shopping, which led to increased interest in shops conveniently located close to home. Increased

frequency of shopping led to a stagnation in hypermarket sales and an increase in sales in segments that offer proximity and fast shopping.

Rate of store rollout and LFL sales

The Dino Group's financial results are affected by: (i) store rollout rate; and (ii) increase in LFL sales, i.e. sales in the existing stores.

Store rollout

In executing its growth strategy, the Dino Group has been rapidly developing its operations by expanding its store network and by boosting LFL sales in its stores. In the years 2014 – 2016, the Dino Group increased the total number of stores by 304, from 324 at 1 January 2014 to 628 at 31 December 2016. In addition, to support its store rollout and expansion strategy, the Dino Group opened its third distribution centre, in Jastrowie, (July 2016) adding in total 23,600 square meters of warehousing space. The Company's strategy includes the further expansion of its store network in Poland. In accordance with the Management Board's intention, the number of stores should exceed 1,200 by the end of 2020.

The table below presents information on the growth in the number of Dino stores as at the dates indicated.*

	Number of stores as at 31 December			Change	
	2016	2015	2014	2016/2015	2015/2014
				(%)	
Own stores	522	406	317	28.6	28.1
Leased stores	94	94	83	0.0	13.3
Franchised stores	12	11	10	9.1	10.0
Total number of stores	628	511	410	22.9	24.6

* the Company; the data also covers four PIK stores (opened under the programme for testing new store formats and implemented according to the "convenience store" formula by the Dino Group) with a total sales area of approximately 280 square meters, which in November 2016 were closed as a result of discontinuing the test programme.

The Company's store rollout strategy affected the Dino Group's results of operations in particular due to: (i) the faster growth in sales than in the cost of sales due to the purchases and sales of products in newly opened stores and an increase in the Dino Group's purchasing power; (ii) an increase in capital expenditure due to costs incurred on the purchase of land, the construction and fit-out of new stores; and (iii) a decrease in the net debt to EBITDA ratio despite a nominal increase in debt.

LFL sales

The Dino Group's LFL sales depend on the sales volume and value and on the customers' shopping preferences.

The table below presents historical information on the changes in LFL sales (sales in the existing stores).

	Change	
	Between 2016 and 2015	Between 2015 and 2014
	(%) (unaudited)	
LFL sales*	11.3	5.1

* a store is included in LFL calculation starting from 13th month of its existence

In the years 2014 – 2016, the Dino Group experienced an increase in the results of LFL sales even though the consumer price index in Poland amounted to nil in 2014 and in the years 2015 and 2016 it was negative.

Purchasing power

The Dino Group's purchasing power grew in line with the increase in the scale of its operations. In the years 2014 – 2016, the Dino Group sourced most products directly from producers or their main representatives. Large order volumes generated economies of scale and enabled the Dino Group to purchase goods on more and more favourable terms. As a result, the Dino Group's profitability improved in the years 2014 – 2016, as evidenced by an increase in the gross margin on sales and EBITDA margin. The gross margin on sales increased by 0.9 p.p., from 22.0% in 2014 to 22.9% in 2016, and the EBITDA margin increased by 1.6 p.p., from 7.0% in 2014 to 8.6% in 2016.

Financial indebtedness and interest rate changes

Between 2014 and 2016, the Dino Group used third-party financing, mostly credit facilities and leasing, to finance the development of its store chain. As at 31 December 2016, interest-bearing loans and borrowings and finance lease liabilities of the Dino Group amounted to PLN 563 million, compared to PLN 463 million as at 31 December 2015 and PLN 404 million as at 31 December 2014. The Dino Group cooperated with a number of financial institutions and signed a number of loan agreements in the past. Due to a significant growth in the scale of the Dino Group's operations and its stable credit history, the Company will consider the future consolidation of its debt (or a part thereof).

In view of the existing debt of the Dino Group, changes in interest rates and other factors have affected and may continue to affect its operations. In the years 2014 – 2016, most of the financial debt of the Dino Group (including loans and leases) bore interest rates based on 1M WIBOR or 3M WIBOR; therefore, each change in interest rates affected the financial expenses of the Dino Group.

Due to the decrease in interest rates in the years 2014 – 2016, the increase in the Dino Group's debt did not directly translate into an increase in financial expenses, which amounted to PLN 30 million in the year ended 31 December 2016, compared with PLN 25 million in the year ended 31 December 2015 and PLN 27 million in the year ended 31 December 2014.

Interest rates are affected by many factors, including, specifically, the global and national economic and political environment as well as other factors which are beyond the Dino Group's control. Interest rates announced by the NBP are determined by the Polish Monetary Policy Council. The Polish Monetary Policy Council makes its decisions regarding potential changes in interest rates on the basis of numerous factors, including economic growth forecasts as well as the actual and forecast inflation for the Polish economy. The Polish Monetary Policy Council applies a strategy of direct inflation target. The Polish Monetary Policy Council defines the inflation target and then adjusts the principal interest rates of the NBP in such manner so as to ensure the highest probability of achieving such target. Since 2004, the Polish Monetary Policy Council has defined the long-term inflation target at 2.5% (subject to a permitted variation of ± 1 p.p.).

Specific factors affecting operating and financial results

In the years 2014 – 2016, the Dino Group's financial standing and results of operations were affected by the following specific factors: (i) prepaid rents; (ii) reorganisation of the Dino Group's marketing activities; and (iii) operation in the SEZ.

Prepaid rent

In its calculation of deferred tax in 2013, the Dino Group recognised a deferred tax asset on prepayments of rent on the investment properties rented out by the Dino Group entities. The rent was prepaid within the scope of the Dino Group and was related with the capital expenditure needs of the Subsidiaries which were the owners of the real properties designated as sites for construction of new Dino stores. The Company is the tenant of the property, and the landlords are its Subsidiaries which own the properties where the Dino Group stores are located. According to Management Board analyses, based on tax regulations, the prepaid rent constituted taxable income on the date of its receipt, and the tax cost is deferred over the period of the rental contract. In the balance sheet, the transaction is eliminated in consolidation and, therefore, a deductible difference between the carrying and the tax value of prepaid rents is recognised at the Dino Group level. As at

31 December 2016, deferred tax assets in respect of prepaid rent amounted to PLN 14.4 million, as at 31 December 2015 they amounted to PLN 22.6 million, and as at 31 December 2014 – PLN 31.0 million.

Reorganisation of the Dino Group's marketing activity

In 2015, the Management Board decided to concentrate the marketing activities and trademark management on Pol-Food, which for some time had been a part of the Dino Group responsible for private label management. As a result, intangible assets such as the “Dino” and “Agro-Rydzyna” trademarks were transferred to Pol-Food. Employees responsible for such functions, who had previously been employed by other Dino Group companies, were also transferred to that company. One of the reasons behind the decision to carry out a reorganisation was the intention to create within the Dino Group an entity specialising in marketing activities and trademark management. The use of the existing skills of Pol-Food's employees, supplemented by the skills of employees of other companies, should allow the Dino Group to create a professional centre of excellence, which will improve the efficiency of the Dino Group's operations, reduce its operating expenses and guarantee better legal protection of trademarks. The transactions transferring the trademarks to Pol-Food have been concluded based on the trademarks' fair values as at the transaction date and the trademarks are amortised for tax purposes on the basis of such fair values by the entity they have been transferred to as a result of the reorganisation. Due to the above, a deductible temporary difference occurred between the carrying value and the tax value of the trademarks. The Management Board made estimations regarding the future tax results of Pol-Food and the Dino Group and made judgements as to the possibility of including the amortisation of trademarks in tax-deductible costs. As at 31 December 2016 the Dino Group did not recognise a deferred tax asset in this respect.

The Management Board analysed the possibilities for tax settlement of the above transactions according to the adopted manner and based on the documentation held, binding tax interpretations and professional judgement, and recognised the transactions in the books of account and in the consolidated financial statements in accordance with the description above. At the same time, the Management Board monitors interpretations of tax authorities and amendments to legal regulations in Poland on a regular basis, therefore there can be no assurance that the judgements and assessments relating to the correctness of the above approach will not change.

Operation in the SEZ

Dino Krotoszyn is exempt from corporate income tax on business activities covered by the permits issued in the years 2010 and 2014 by Wałbrzyska Specjalna Strefa Ekonomiczna “INVEST-PARK” sp. z o.o. (the manager of the Wałbrzyska Special Economic Zone (SEZ)).

Therefore, the Dino Group recognised an asset on unutilised tax relief. As at 31 December 2016 the maximum amount of the asset was PLN 8.5 million. As at 31 December 2016 the Dino Group disclosed an asset on unutilised tax relief of PLN 4.0 million (as at 31 December 2015 PLN 4.0 million, and as at 31 December 2014 PLN 3.9 million). The assets were recognised based on the income forecast for a period of five years, which reflects the foreseeable future.

5.7. Ratio analysis

The Management Board evaluates the Dino Group's results based on key profitability, debt and liquidity ratios and indicators that are not sourced directly from the Consolidated Financial Statements, but are only calculated based on the financial information contained in the Consolidated Financial Statements. The Alternative Performance Measures are not defined in the EU-endorsed IFRSs and should not be treated as metrics of financial performance or cash flows, or deemed an alternative to profit. They do not have uniform definitions and are not calculated by entities in the same manner and, therefore, are not comparable with ratios and indicators presented by other entities, including entities operating in the same sector as the Dino Group.

The table below presents the key Alternative Performance Measures used by the Management Board to analyse the Dino Group's performance in the periods indicated.

	As at or for the 12 months ended 31 December		
	2016	2015	2014
	(unaudited)		
Gross margin (%).....	22.9	22.6	22.0
EBITDA (000' PLN)	288,291	210,231	147,667
EBITDA margin (%).....	8.6	8.1	7.0
Transport costs as a % of sales(%)	1.83	1.83	1.91
Marketing costs as a % of sales(%)	0.16	0.23	0.36
ROIC (%).....	30.3	28.2	25.7
Net debt (PLN thousand)	496,123	429,358	380,410
Net debt/EBITDA	1.7	2.0	2.6
Current ratio	0.56	0.53	0.51
Quick ratio	0.17	0.14	0.12
Trade receivables turnover	3.6	3.1	3.3
Inventory turnover	38.8	38.6	40.5
Trade payables turnover	80.7	78.1	75.0
Capex (PLN thousand).....	382,322	277,718	198,517
OCF/ (Capex + financial costs).....	0.79	0.81	0.84

The table below presents the definitions of the Alternative Performance Measures and the rationale for their use.

Name of Alternative Performance Measure	Definition	Rationale for using the Alternative Performance Measure
Gross margin (%)	The Dino Group defines and calculates gross margin as gross profit (loss) to sales	Gross margin measures profit generated from sales after deducting costs of products, services, merchandise and materials sold. Thus, gross margin measures the Dino Group's capacity to generate profit from its core business.
EBITDA (PLN thousand)	The Dino Group defines EBITDA as operating profit (loss) plus depreciation and amortisation and adjusted by the one-off events (costs of provisions against the incentive plan (5,667 thousand PLN) and costs of the IPO (1,833 thousand PLN of liabilities and incurred expenses)	EBITDA measures the Dino Group's operating performance before any one-off events and the amortisation of intangible assets and the depreciation of property, plant and equipment are deducted, and thus makes it possible to compare performance regardless of any changes in the balance of non-current assets held by the Dino Group, which – through depreciation and amortisation – may affect other performance measures.
EBITDA margin (%)	The Dino Group defines and calculates EBITDA margin as EBITDA/sales	EBITDA margin measures the Dino Group's capacity to generate cash from its core operations (the Dino Group's operating efficiency).
Transport costs as a % of sales(%)	The Dino Group defines and calculates transport costs as a % of sales as the cost of transportation from a warehouse to the store less any sales related with the transport services rendered to any third parties/sales.	The ratio of transport costs as a % of sales shows efficiency of transportation from a warehouse to the stores in the Dino Group.

Name of Alternative Performance Measure	Definition	Rationale for using the Alternative Performance Measure
Marketing costs as a % of sales(%)	The Dino Group defines and calculates marketing costs as a % of sales as marketing costs including third-party services related to the preparation and printing of cyclical materials promoting the assortment of the Dino Group. Those costs include, <i>inter alia</i> , the design, typeset, printing and billboard presentation, design and typeset of promotional gazettes/sales.	The ratio of marketing costs as a % of sales shows the level of marketing costs at the Dino Group as related to sales and thus the efficiency of marketing efforts.
ROIC (%)	The Dino Group defines and calculates ROIC as EBITDA/(average value of property, plant and equipment for the period + average value of the net working capital ² for the period).	The ROIC ratio provides information on how efficient the Dino Group is in using the invested money to generate profit, i.e. the level of efficiency (profitability) of capital invested in the Dino Group.
Net Debt (PLN thousand)	The Dino Group defines net debt as interest-bearing loans, borrowings and finance lease liabilities + current portion of interest-bearing loans and finance lease liabilities less any cash and cash equivalents.	The net debt ratio is the measure of the indebtedness of the Dino Group less cash and cash equivalents.
Net debt/EBITDA.....	The Dino Group defines and calculates the net debt/EBITDA ratio as net debt at period end/EBITDA.	The net debt/EBITDA ratio describes the ability of the Dino Group to repay its interest-bearing debts with the cash generated on the operating level.
Current ratio	The Dino Group defines and calculates current ratio as current assets at period end /current liabilities at end of period.	Current ratio describes the Dino Group's potential capacity to pay its current liabilities with its current assets.
Quick ratio.....	The Dino Group defines and calculates quick ratio as (current assets at period end – inventories at period end) /current liabilities at period end.	Quick ratio shows the Dino Group's potential capacity to pay its current liabilities with its highly liquid assets.
Trade receivables turnover	The Dino Group defines and calculates trade receivables turnover as receivables in days (365 x trade receivables and other receivables / sales).	Trade receivables turnover is a measure of how quickly amounts due are paid to the Dino Group by its customers.
Inventory turnover	The Dino Group defines and calculates inventory turnover as inventories in days (365 x inventories / cost of sales).	Inventory turnover helps analyse the Dino Group's inventory turnover by reference to its sales.
Trade payables turnover	The Dino Group defines and calculates trade payables turnover as payables in days (365 x trade and other payables/ cost of sales).	Trade payables turnover shows the period of time that the Dino Group needs to pay its current trade and other payables.
Capex (PLN thousand)	The Dino Group defines and calculates the Capex ratio as the sum of acquisitions of property, plant and equipment (Note 14: Property, plant and equipment of consolidated financial statements) and acquisitions of intangible assets (Note 16: Intangible assets in consolidated financial statements)	The ratio is the principal measure of the outlays of the Dino Group for the purchase of property, plant and equipment and intangible assets, including mostly for the development of the store network, and thus allows to determine the scale of growth of the Dino Group operations.

Name of Alternative Performance Measure	Definition	Rationale for using the Alternative Performance Measure
OCF/ (Capex + financial costs)	The Dino Group defines and calculates the OCF / (Capex + financial expenses) ratio as net cash flows from operations/sum of Capex and financial expenses.	The ratio allows to analyse the degree of coverage of outlays for the acquisition of property, plant and equipment, intangible assets and financial expenses by cash flows from operations.

¹ The Dino Group defines and calculates the average value of property plant and equipment as the value of property plant and equipment at the beginning of the period + the value of the property plant and equipment at the end of the period)/2.

² The Dino Group defines and calculates the average value of the net working capital as the average inventory for the reporting period + the average, for the reporting period, trade receivables and other receivables – the average for a given reporting period, trade and other payables. The average values of the specific items were calculated as (value at the beginning of the period + value at the end of the period)/2.

5.8. Financial risk management

The main financial instruments used by the Dino Group include bank loans, bonds, financial lease agreements and lease with option to buy, cash and short-term deposits. The main objective of these instruments is to raise funding for Dino Group's activities. The Dino Group also holds various other financial instruments, such as trade receivables and payables, which arise directly from its activities.

According to the policy applied by the Dino Group currently and in 2014-2016, it does not trade in financial instruments. The Company does not hold and does not issue any financial derivatives held for trading.

The main types of risk arising from the Group's financial instruments include interest rate risk, liquidity risk, FX risk and credit risk. The Management Board verifies and agrees the principles of managing each type of risk – these principles are discussed briefly below.

Interest rate risk

The Group's exposure to the risk arising from changes in interest rates refers primarily to non-current financial liabilities. The Company does not hedge its investments and liabilities using derivative financial instruments.

Interest rate risk - sensitivity to changes

The table below presents sensitivity of the profit (loss) before tax to the reasonably possible changes in interest rates, assuming that the other factors do not change (in connection with floating interest rate liabilities). The impact on Dino Group's equity or total comprehensive income is not presented.

	Increase/decrease by percentage points	Impact on profit or loss before tax (PLN thousand) (audited)
Year ended 31 December 2016		
PLN.....	+1	(5,299)
PLN.....	-1	5,299
Year ended 31 December 2015		
PLN.....	+1	(5,078)
PLN.....	-1	5,078
Year ended 31 December 2014		
PLN.....	+1	(4,475)
PLN.....	-1	4,475

Source: Consolidated Financial Statements.

Credit risk

Transactions executed by the Dino Group are settled mainly in cash. Credit risk applies to one long-term franchisee and support transactions for distribution services provided to suppliers. Because distribution-related support services concern suppliers who are at the same time customers of the Dino Group, credit risk is negligible in this case.

Liquidity risk

The Dino Group monitors financial liquidity using a periodic liquidity planning tool. A timetable of funds held, including their payment due/maturity dates (for cash, receivables, other financial assets) and regular repayment of liabilities, enables the forecasting of cash flows.

In order to maintain the continuity of payments, the Dino Group uses in a flexible manner a variety of financing sources, such as bank loans, including long-term financing and overdrafts, borrowings and financial leases.

5.9. Material agreements, loans, sureties and guarantees

Described below are material agreements entered into by the Dino Group outside the ordinary course of business during the two years preceding the Date of the Report as well as agreements executed earlier as long as they affect any significant rights or obligations of the Dino Group as at the Date of the Report.

As regards agreements entered into outside the ordinary course of the Dino Group's business, the materiality criterion is assumed to be the value of the agreement in excess of PLN 100 million, or approx. 3.0% of the Dino Group's sales revenues in 2016. The only material agreements entered into outside the ordinary course of the Dino Group's business are financial agreements. Information on other loan-related agreements that do not satisfy the above materiality criterion is presented in Note 23 to the Consolidated Financial Statements.

Financing agreements

Credit Facility Agreements concluded with ING Bank Śląski S.A.

The Company and ING Bank Śląski S.A. ("ING") are parties to the following credit facility agreements:

- (together with CWN) a credit facility agreement dated 15 April 2016, as amended, for a corporate credit facility in PLN (*korporacyjny kredyt złotowy*) for the refinancing of capital expenditures incurred by the Company related to the construction of a supermarket chain, a logistics centre and warehouses (including the purchase of land), under which ING granted a credit facility of up to PLN 50,000,000 ("**Loan 1**");
- a credit facility agreement dated 15 April 2014, as amended, for a corporate credit facility in PLN (*korporacyjny kredyt złotowy*) for the refinancing of capital expenditures incurred by the Company related to the development of a supermarkets chain and the acquisition of real estate, under which ING granted a credit facility of up to PLN 50,000,000 ("**Loan 2**"); and
- a credit facility agreement dated 15 April 2014, as amended, for a credit facility in PLN for the financing of the current business activity of the Company, under which ING granted a revolving credit facility in PLN of up to PLN 20,000,000 ("**Loan 3**", jointly with Loan 1 and Loan 2, the "**Loans**").

The Loans granted within the scope of the limits for the credit lines accrue interest at the rate of (i) the 3M WIBOR for Loan 1, (ii) the 3M WIBOR for Loan 2 and (iii) the 1M WIBOR for Loan 1, each increased by ING's margins as provided in the agreements.

The final date of repayment for: (i) Loan 1 is 14 April 2024; (ii) Loan 2 is 14 April 2022; and (iii) Loan 3 is 14 April 2018.

The granted Loans within the scope of the credit-line limits are secured by: (i) a mortgage established over the real properties belonging to the Dino Group; (ii) a blank promissory note issued by the Company; and (iii) a power of attorney to dispose of the funds in the Company accounts.

The credit facility agreements contain clauses, typical for these types of agreements, whereby the Company may not, without the prior written consent of ING, in particular: (i) dispose of assets (outside the Dino Group) the value of which exceeds 5% of the balance sheet total for the last financial year, except where the proceeds from the sale will be used towards the early repayment of the loan; (ii) make substantial changes in the nature and purpose of its activities; (iii) participate in acquisitions, mergers or transactions involving mergers and divisions that would change the value of the balance sheet total in excess of 10% of the value calculated for the last financial year; (iv) pay dividends, if that will cause a breach of the financial ratios; (v) incur any financial liabilities such as sureties, guarantees or undertakings of performance instead of any third party under any other legal grounds.

The credit facility agreements contain a change of control clause stipulating that the Company must guarantee that until the IPO of the shares in the Company, Tomasz Biernacki must hold a minimum of 51% of the total amount of the shares in the Company and after the IPO, a minimum of 30% of the total amount of shares.

As at 31 December 2016, the total amount of the indebtedness of the Company under the agreements amounted to PLN 45,878,679.06.

Credit Facility Agreements concluded with Bank Zachodni WBK S.A.

The Company and Bank Zachodni WBK S.A. ("**BZ WBK**") are parties to the following credit facility agreements:

- a credit facility agreement dated 31 July 2012, as amended, for an investment credit facility for the refinancing of capital expenditures incurred by the Company related to the development of a supermarket chain and acquisition of real estate, under which BZ WBK granted a credit facility in the amount of PLN 40 million ("**Loan 1**");
- a credit facility agreement dated 20 February 2014, as amended, for an investment credit facility for the refinancing of capital expenditures incurred by the Company related to the development of a supermarket chain and the acquisition of real estate, under which BZ WBK granted a credit facility in the amount of PLN 15,298,000 ("**Loan 2**");
- a credit facility agreement dated 31 July 2014, as amended, for an investment credit facility for the refinancing of capital expenditures incurred by the Company related to the development of a supermarket chain and the acquisition of real estate, under which BZ WBK granted a credit facility in the amount of PLN 9,000,000 ("**Loan 3**");
- a credit facility agreement dated 5 February 2015, as amended, for an investment credit facility for the refinancing of capital expenditures incurred by the Company related to the development of a supermarket chain and the acquisition of real estate, under which BZ WBK granted a credit facility in the amount of PLN 25,700,000 ("**Loan 4**");
- an overdraft credit facility agreement dated 31 August 2012, as amended, for the financing of the Company's current operations, under which BZ WBK granted a credit facility in the amount of PLN 10,000,000 ("**Loan 5**"); and
- a credit facility agreement dated 30 September 2016, for an investment credit facility for the refinancing of capital expenditures incurred by the Company related to the development of a supermarket chain in the amount of PLN 19,939,250 ("**Loan 6**").

CWN and BZ WBK are parties to the following credit facility agreement:

- a credit facility agreement dated 24 May 2016, for an investment credit facility for the refinancing of capital expenditures incurred by CWN, under which BZ WBK granted an investment credit facility in the amount of PLN 30,060,750 ("**Loan 7**").

Agro-Rydzyna and BZ WBK are parties to the following credit facility agreement:

- a credit facility agreement dated 31 July 2014, as amended, for a credit facility in current account for the financing of the current business activity of Agro-Rydzyna, under which BZ WBK granted a revolving

credit facility of up to PLN 10,000,000 ("**Loan 8**", jointly with Loan 1, Loan 2, Loan 3, Loan 4, Loan 5, Loan 6 and Loan 7, the "**Loans**").

The Loans granted within the scope of the limits for the credit lines all accrue interest at the rate of the 1M WIBOR, increased by BZ WBK's margins as provided in the agreements.

The final date of repayment for: (i) Loan 1 is 31 July 2022; (ii) Loan 2 is 28 February 2019; (iii) Loan 3 is 31 July 2019; (iv) Loan 4 is 31 January 2020; (v) Loan 5 is 31 August 2017; (vi) Loan 6 is 31 August 2021; (vii) Loan 7 is 30 April 2021, and (viii) Loan 8 is 31 August 2017.

The Loans granted within the scope of the credit-line limits are secured by: (i) a mortgage established over the real properties belonging to the Dino Group; (ii) a power of attorney to dispose of the funds in the Company accounts; (iii) a surety granted by the Dino Group Companies; (iv) a transfer of receivables under agreements concluded by the Dino Group Companies; (v) a blank promissory note issued by the Company; (vi) accession to debt by the Company; and (iii) a bill of exchange surety granted by the Dino Group Companies.

The credit facility agreements concluded by the Company and Loan 7 and Loan 8 contain clause, typical for these types of agreements, whereby the Company, CWN and Agro-Rydzyna, respectively, may not, without the prior written consent of BZ WBK, in particular: (i) dispose of assets (outside the Dino Group) the value of which exceeds PLN 10,000,000 during one financial year; (ii) make any changes in the nature and purpose of their activities which could be contrary to the provisions of the credit facility agreements; and (iii) adopt resolutions concerning mergers and divisions, liquidation, the transfer of an enterprise, charges of the Company, CWN or Agro-Rydzyna, respectively, in favour of a third party or changes in the scope of business.

The agreements regarding Loans 1-7 contain a change of control clause stipulating that the Company or CWN, respectively, must guarantee that until the IPO of shares in the Company, Tomasz Biernacki must hold a minimum of 51% of the total amount of the shares in the Company and after the IPO, a minimum of 30% of the total amount of shares.

As at 31 December 2016, the total amount of the indebtedness of the Company under these agreements amounted to PLN 116,804,163.51.

Credit Facility Agreements concluded with Powszechna Kasa Oszczędności Bank Polski S.A.

The Company and Powszechna Kasa Oszczędności Bank Polski S.A. ("**PKO BP**") are parties to the following credit facility agreements:

- (as Nordea Bank S.A) a credit facility agreement dated 26 January 2012, as amended, for a working-capital credit facility for the financing of the current business activity of the Company, under which PKO BP granted a credit facility of up to PLN 50,000,000 ("**Loan 1**");
- a credit facility agreement dated 13 April 2011, for an investment credit facility in PLN for the financing or the refinancing of the repayment of capital arising from eleven credit facility agreements concluded between PKO BP and Tomasz Biernacki, under which PKO BP granted a credit facility in PLN in the amount of PLN 10,949,122 ("**Loan 2**");
- a credit facility agreement dated 23 May 2013, as amended, for an investment credit facility in PLN for the refinancing of capital expenditures incurred by the Company related to the development of a supermarket chain and the acquisition of real estate, under which PKO BP granted a credit facility of up to PLN 65,000,000 ("**Loan 3**");
- a credit facility agreement dated 25 October 2016, as amended for an investment facility in PLN for the refinancing of the Company's debt, under which PKO BP granted a credit facility of up to PLN 63,682,000 ("**Loan 4**"); and
- a credit facility agreement dated 25 October 2016, as amended, for an investment credit facility in PLN for the refinancing of capital expenditures incurred by the Company related to the development of a

supermarket chain and a warehouse centre, under which PKO BP granted a credit facility in the amount of up to PLN 150,000,000 ("**Loan 5**");

Dino Krotoszyn and PKO BP are parties to the following credit facility agreement:

- a credit facility agreement dated 25 October 2016, for an investment credit facility in PLN for the refinancing of the debt of Dino Krotoszyn and the refinancing of capital expenditures incurred by Dino Krotoszyn in relation to the construction of a logistic centre, under which PKO BP granted a credit facility of up to PLN 11,468,000 ("**Loan 6**").

The Loans granted within the scope of the limits for the credit lines all, except for Loan 2, accrue interest at the rate of the 1M WIBOR (for Loan 2 it is 3M WIBOR), increased by PKO BP's margins as provided in the agreement.

The final date of repayment for: (i) Loan 1 is 28 October 2017; (ii) Loan 2 is 12 April 2021; (iii) Loan 3 is 31 December 2021; (iv) Loan 4 is 24 October 2024; (v) Loan 5 is 24 April 2025; and (vi) Loan 6 is 24 October 2024.

The Loans granted within the scope of the credit-line limits are secured by: (i) a mortgage established over the real properties belonging to the Dino Group; (ii) a blank promissory note issued by the Company or by Dino Krotoszyn; (iii) a power of attorney to dispose of the funds in the Company accounts (does not apply to Loans 4 – 6); (iv) a clause regarding the set off of receivables from the Company or Dino Krotoszyn accounts; and (v) a surety granted by the Dino Group Companies.

The credit facility agreements contain clauses, typical for these types of agreements, whereby the Company or Dino Krotoszyn may not, without the prior written consent of PKO BP, in particular: (i) make substantial changes in the nature and purpose of their activities; and (ii) (with respect to Loans 4 – 6) grant powers of attorney to dispose of the cash funds in the accounts of PKO BP and assign cash in those accounts or any cash that will be credited to those accounts in the future.

The credit facility agreements contain clauses, whereby the Company and Dino Krotoszyn are required to inform PKO BP (i) of any payment of dividend and the value thereof (except for Loan 2); and (ii) about having incurred any financial liabilities the value of which during a financial year exceed (a) PLN 15,000,000 for Loan 1; or (b) PLN 15,000,000 in quarterly periods for Loans 4 – 6.

The credit facility agreements (except Loan 2) contain a change of control clause stipulating that the Company must guarantee that Tomasz Biernacki, will hold a minimum of 30% of the total amount of the shares in the Company.

From 2011 to 2013, the Company also concluded four loan agreements with PKO BP for the refinancing of capital expenditure incurred by the Company in connection with the development of the supermarket network or the financing of current operations. As at the Date of the Report, the above-mentioned loans have been repaid.

In 2012, Dino Krotoszyn concluded a loan agreement with PKO BP for the refinancing of capital expenditures. In 2016 the above loan has been repaid.

As at 31 December 2016, the total amount of the indebtedness of the Company under the agreements amounted to PLN 135,005,214.68.

Credit Facility Agreements concluded with mBank S.A.

The Company and mBank S.A. ("**mBank**") are parties to the following credit facility agreements:

- a credit facility agreement dated 9 January 2014, as amended, for an investment credit facility in PLN for the refinancing of capital expenditures incurred by the Company related to the development of a

supermarket chain and the acquisition of real estate, under which mBank granted a credit facility of PLN 30,000,000 (“**Loan 1**”);

- a credit facility agreement dated 17 April 2015, for an investment credit facility in PLN for the refinancing of capital expenditures incurred by the Company related to the development of a supermarket chain and the acquisition of real estate, under which mBank granted a credit facility of PLN 25,000,000 (“**Loan 2**”);
- a credit facility agreement dated 16 August 2016, for an investment credit facility in PLN for the financing of the development of the Dino chain, under which mBank granted a credit facility of PLN 5,000,000 (“**Loan 3**”);
- (as BRE Bank S.A) a credit facility agreement dated 8 March 2012, as amended, for an investment credit facility in PLN for the refinancing of capital expenditures incurred by the Company related to the development of a supermarket chain and the acquisition of real estate, under which mBank granted a credit facility of PLN 14,500,000 (“**Loan 4**”); and
- (as BRE Bank S.A.) a credit facility agreement dated 22 November 2013, for an investment credit facility in PLN for the refinancing of capital expenditures incurred by the Company related to the development of a supermarket chain and acquisition of real estate, under which mBank granted a credit facility of PLN 3,600,000 (“**Loan 5**”);
- a PLN overdraft facility agreement of 4 November 2016 for the financing of current operations of the Company, under which mBank extended a facility of PLN 3,000,000 (“**Loan 6**”);

Agro-Rydzyna and mBank are parties to the following credit facility agreements:

- a credit facility agreement dated 22 December 2009, as amended, for an overdraft facility in PLN for the financing of current business operations of Agro-Rydzyna, under which mBank granted a credit facility of up to PLN 3,000,000 (“**Loan 7**”); and
- (as BRE Bank S.A.) a credit facility agreement dated 14 December 2011, as amended, for an investment credit facility in PLN for the financing of construction of a cold store with a gatehouse as well as fittings and equipment, under which mBank granted a credit facility of PLN 14,750,000 (“**Loan 8**”).

CWN and mBank are parties to the following credit facility agreements:

- a credit facility agreement dated 16 August 2016, for an investment credit facility in PLN for the financing of capital expenditures incurred to purchase land and construct a logistics centre with infrastructure, under which mBank granted a credit facility of PLN 32,000,000 (“**Loan 9**”).

The Loans granted within the scope of the limits for the credit lines accrue interest as follows: (i) Loans 1-5 and 9, at the rate of 1M WIBOR for interbank loans, increased by mBank's margins as provided in the agreement; (ii) Loans 6 and 7, at the rate of WIBOR O/N for interbank loans based on listing on the draw date, increased by mBank's margins as provided in the agreement; and (iii) Loan 8, at the rate of 1M WIBOR for deposits, increased by mBank's margins as provided in the agreement.

The final date of repayment for: (i) Loan 1 is 30 November 2023; (ii) Loan 2 is 31 March 2025; (iii) Loan 3 is 30 July 2021; (iv) Loan 4 is 31 December 2021; (v) Loan 5 is 31 October 2023; (vi) Loan 6 is 10 October 2017; (vii) Loan 7 is 8 December 2016; (viii) Loan 8 is 31 August 2021; and (ix) Loan 9 is 30 July 2021.

The granted Loans within the scope of the credit-line limits are secured by: (i) a mortgage established over the real properties belonging to the Dino Group (does not apply to Loan 6); (ii) a blank bill of exchange issued by the Company (for Loans 1 – 6), by Agro-Rydzyna (for Loans 7-8) and by CWN (for Loan 9); (iii) a surety granted by the Dino Group Companies (not applicable to Loans 6 and 9); and (iv) pursuant to agreements on the assignment of receivables dated 16 August 2016, an assignment in favour of mBank of receivables owed to CWN from the Company and Agro-Rydzyna arising out of lease agreements (with respect to Loans 6 and 9).

The credit facility agreements contain clauses typical for these types of agreements, whereby the Company may not, without the prior written consent of mBank, in particular: (i) extend sureties and guarantees for other

entities in excess of the total value of 15% of the net assets disclosed in the financial statements for the previous financial year (for Loans 3 and 9, excluding the Dino Group entities); (ii) (with respect to Loans 1 – 3 and 9) assign rights under bank account agreements or impose any other restrictions on the disposal of funds held in bank accounts in favour of any other entities; (iii) encumber the assets which constitute collateral for mBank in favour of any other creditors; (iv) (except for Loan 5) adopt resolutions on the decrease of the share capital of the Company, Agro-Rydzyna or CWN; (v) (with respect to Loans 4, 5 and 8) pay dividend in the amount in excess of the net profit generated in the previous financial year; (vi) (with respect to Loans 4-7) grant powers of attorney to execute transactions in the accounts maintained by mBank; (vii) (with respect to Loans 4, 5 and 7) conclude any derivative transactions with banks, such transactions being forward transactions within the meaning of Article 5(2) of the Banking Law, until the full and complete repayment of the obligations under the loans.

The credit facility agreements provide for the obligation of the Company, Agro-Rydzyna or CNN to inform mBank of any events of an organisational and business nature (including any changes in ownership and equity, changes of individuals in management positions, commenced court and administrative proceedings, including specifically any enforcement proceedings) which have a material impact on the legal, financial or economic condition of the Company. mBank has the right to assess if the changes made or events which occurred result in any increased risk of failure to repay the Loan and, if any such increased risk is established, to terminate the loans (for Loan 2 also with respect to the Dino Group Companies).

In 2009, the Company entered into a credit facility agreement with mBank for the financing of current operations of the Company. In 2016 the facility has been repaid.

As at 31 December 2016, the total amount of the indebtedness of the Company under the above-mentioned agreements amounted to PLN 93,099,967.44.

Agreement with Krot-Invest

Among the most significant transactions executed by the Dino Group, both in terms of value and special importance for the Dino Group's operating activity and continued organic growth, are agreements for the construction of new Dino-branded stores executed with Krot Invest and Krot Invest KR Inżynieria sp. z o.o. S.K.A. Agreements for construction works are entered into in accordance with the standard form of agreement and contain, among other, contractual penalties for both parties in the event of withdrawal, in whole or in part, from the performance of the agreement equal to 10% of the value of the agreement.

On 27 February 2017, the Company's Supervisory Board approved a new form of framework agreement for construction works and expressed consent for the execution of agreements for construction works by the Company and other Group companies in compliance with the new form. The new form of agreement was developed, as a rule, on the basis of the previously adopted form and contains similar provisions. The new agreement has been entered into for a definite term until 30 June 2020. The agreement also specifies the fee rate per square meter of development area does not include any indexing option. The fee rate per square meter of development area is the same as that set in the previous agreement. On 3 March 2017, Dino entered into an agreement with Krot-Invest based on the new form of agreement.

Information about loan agreements and bonds

The table below presents information about loan agreements executed from 2014 to 2016 between the Company and the Subsidiaries.

The loan agreements concluded between the Company and the Subsidiaries are based on a standard form of agreement and, in principle, contain the same clauses. As a standard, the borrower repays the loan in a single instalment after the completion of the term of the agreement which ranges between 12 and 48 months. However, if none of the parties to an agreement make a statement on the termination thereof two months prior to the expiry of the agreement, the agreement is extended for another year. Notwithstanding the above, the borrower is required to repay the loan at the request of the lender within 30 days from the date of receipt of such request. The loans bear interest of between 4% and 6% per annum.

The most important loan agreements are:

- agreement concluded between the Company as the borrower and CWN Marketing as the lender, on 17 July 2015, for PLN 64 million. The loan was repaid on 24 July 2015;
- agreement concluded between the Company as the borrower and CWN 4 as the lender, on 28 October 2013, for PLN 25 million. The proceeds from the loan were designated for the current operations of the Company. The agreement was concluded for a term of 48 months;
- two agreements concluded between the Company as the borrower and CWN 5 as the lender, on 28 October 2013, for PLN 20 million and PLN 24.5 million, respectively. The proceeds from the loans were designated for the current operations of the Company. The agreements were concluded for a term of 48 months; and
- two agreements concluded between the Company as the borrower and CWN 1 as the lender, on 28 October 2013, for PLN 20 million and PLN 21.5 million, respectively. The proceeds from the loans were designated for the current operations of the Company. The agreement was concluded for a term of 48 months.

Interest accruing on the above agreements is 4% per annum.

Subsidiary	For the year ended 31 December		
	2016	2015	2014
	(PLN thousands) (unaudited)		
CWN			
Loans extended	—	—	4,100
Loans received	—	—	14,300
Interest – Financial expenses	—	—	303
Interest – Financial income	—	—	48
CWN 1			
Loans extended	5,500	9,600	—
Loans received	3,000	—	700
Interest – Financial expenses	13	381	1,759
Interest – Financial income	260	60	—
CWN 2			
Loans extended	10,900	12,368	3,132
Loans received	—	—	3,500
Interest – Financial expenses	—	—	393
Interest – Financial income	851	438	15
CWN 3			
Loans extended	22,700	3,100	—
Loans received	—	—	3,600
Interest – Financial expenses	—	33	837
Interest – Financial income	789	49	—
CWN 4			
Loans extended	10,500	1,200	—
Loans received	—	—	2,150
Interest – Financial expenses	—	492	1,214
Interest – Financial income	384	5	—
CWN 5			
Loans extended	200	—	—
Loans received	1,700	—	1,000
Interest – Financial expenses	10	867	1,251
Interest – Financial income	1	—	—
CWN 6			
Loans extended	15,900	—	—
Loans received	—	—	3,400
Interest – Financial expenses	4	459	1,145
Interest – Financial income	298	—	—
Pol-Food			
Loans extended	—	139	42

Loans received	—	—	1
Interest – Financial expenses.....	—	—	—
Interest – Financial income	—	5	8
Dino Krotoszyn			
Loans extended	2,500	100	2,330
Loans received	—	—	—
Interest – Financial expenses.....	—	—	—
Interest – Financial income	63	79	55
Dino Oil			
Loans extended	7	3	3
Loans received	—	—	—
Interest – Financial expenses.....	—	—	—
Interest – Financial income	—	—	—
CWN Marketing			
Loans extended	—	—	—
Loans received	—	64,000	—
Interest – Financial expenses.....	—	49	—
Interest – Financial income	—	—	—
Vitrema Holdings Limited			
Loans extended	20	70	250
Loans received	—	—	—
Interest – Financial expenses.....	—	—	—
Interest – Financial income	39	47	26
Fundusz Inwestycyjny Zamknięty Aktywów Niepublicznych SEZAM XI in liquidation			
Loans extended	—	—	—
Loans received	—	—	—
Interest – Financial expenses.....	—	—	44
Interest – Financial income	—	—	—

Besides the loan agreements referred to above, in 2014, the Company issued bonds of PLN 20,000 thousand and incurred financial costs of PLN 74 thousand. The bonds were subscribed for by Vitrena Holdings. The bonds were cancelled under a resolution of the Management Board.

In connection with the reorganisation of the Dino Group aimed at streamlining its structure, the liquidation of Vitrena Holdings and Sezam XI Fundusz Inwestycyjny Zamknięty Aktywów Niepublicznych was commenced. Thus far the Company's shareholding in Vitrena Holdings was decreased from PLN 406,833 thousand to PLN 4 thousand, and investment certificates of PLN 636,436 thousand in Sezam XI Fundusz Inwestycyjny Zamknięty Aktywów Niepublicznych were cancelled. In 2016, the Company acquired shares in Centrum Wynajmu Nieruchomości 1-6 S.A. for PLN 613,385 thousand. The above-described procedure involved the issuance of bonds by the Company and, consequently, incurred interest costs of PLN 2,029 thousand.

Moreover, in 2016 the Company incurred costs of PLN 1,804 thousand in connection with the cancellation of shares in Pol-Food.

The table below presents information about the current bonds issue programme regarding the bonds issued by the Company in favour of Pol-Food.

Series of the bonds	Issuer of the bonds	Buyer of the bonds	Number of bonds	Type of bond	Date of issue	Nominal value/ issue price	Interest	Redemption date	Interest on redemption date	Redemption value
O	Company	Pol-Food	18,100,000	Bearer	25 April 2016	PLN 1 / PLN 1	4% per annum	26 April 2020	PLN 2,897,978.14	PLN 20,997,978.14

Early redemption is possible on condition of notification of early redemption to the current holder of the bonds no later than three days prior to the exercise of the option.

In addition, in April 2016 the Company acquired from FIZ Sezam in liquidation the bonds issued by CWN. The table below presents information about these bonds.

Series of the bonds	Issuer of the bonds	Buyer of the bonds	Number of bonds	Type of bonds	Date of issue	Nominal value/issue price	Interest	Redemption date	Redemption value
A	CWN	Company	1,957,728	Bearer	15 May 2014	PLN 10 / PLN 10	8.1% per annum	26 May 2018	PLN 25,920,318.72
B	CWN	Company	883,200	Bearer	8 December 2014	PLN 1 / PLN 1	8.1% per annum	19 December 2018	PLN 1,169,356.80
C	CWN	Company	165,750	Bearer	7 December 2015	PLN 10 / PLN 10	8.1% per annum	15 December 2019	PLN 2,194,530.00

Early redemption is possible on condition of notification of early redemption to the current holder of the bonds no later than three days prior to the exercise of the option.

Sureties, guarantees and off-balance sheet contracts

As at 31 December 2016, the Dino Group undertook to incur costs under the preliminary land purchase agreements of PLN 69.0 million (as at 31 December 2015: PLN 78.9 million; as at 31 December 2014: PLN 56.3 million).

As at 31 December 2016 the Dino Group held liabilities for bank guarantees totaling PLN 6.9 million (as at 31 December 2015 - PLN 7.8 million, and as at 31 December 2014 - PLN 6.5 million).

As at 31 December 2016, the Company had the following contingent liabilities:

- surety for the repayment of the investment loan taken out by Agro-Rydzyna Sp. z o.o., agreement of 14 December 2011 executed with BRE Bank S.A. for PLN 14,750 thousand. Floating interest rate. Final repayment date: 31 August 2021. The surety covers the principal, interest accrued on the principal and other costs.
- surety for the repayment of a loan taken out by Dino Krotoszyn Sp. z o.o., investment loan agreement of 25 October 2016 executed with PKO BP S.A. for PLN 11,350 thousand. Floating interest rate. Final repayment date: 24 October 2024. The surety covers the principal, interest accrued on the principal and other costs.
- surety for the repayment of a loan taken out by Agro-Rydzyna Sp. z o.o., overdraft facility agreement of 29 July 2014 executed with Bank Zachodni WBK S.A. for PLN 5,000 thousand. Floating interest rate. Final repayment date: 31 August 2017. The surety covers the principal, interest accrued on the principal and other costs.
- surety for the repayment of a loan taken out by Centrum Wynajmu Nieruchomości Sp. z o.o., investment loan agreement of 16 August 2016 executed with mBank S.A. for PLN 32,000 thousand. Floating interest rate. Final repayment date: 30 July 2021. The surety covers the principal, interest accrued on the principal and other costs.

5.10. Transactions with affiliated companies

Neither the Company nor its subsidiaries entered into transactions with related parties on conditions deviation from arm's length conditions. Detailed information on transactions with related parties has been presented in note 40 to the Company's Financial Statements for the year ended 31 December 2016 and in note 29 to the Consolidated Financial Statements for the years ended 31 December 2016, 31 December 2015 and 31 December 2014 prepared in accordance with the international financial reporting standards approved for use in the EU.

5.11. Legal, Administrative and Arbitration Proceedings

In the ordinary course of their business, the Dino Group Companies are party to proceedings regarding their operations. Such proceedings relate mostly to civil, commercial or administrative matters. As at 31 December 2016 the Dino Group Companies were party to 25 proceedings, mostly requests for payment, in labour and business proceedings, while the total disputed value in such proceedings was PLN 790,423. In 17 of such

proceedings, the Dino Group Companies acted as the defendant, and the disputed receivables in such proceedings amounted to PLN 167,425.

According to the best knowledge of the Management Board the Dino is not a party to any litigation where the value of liabilities or receivables would represent at least 10% of its equity.

5.12. Auditor

According to § 20 Section 1 Sub-section 6 of the Articles of Association of Dino Polska, the selection of a statutory auditor to audit the financial statements of Dino and the Dino Group is one of the powers of the Dino Polska S.A. Supervisory Board. The Supervisory Board selects the statutory auditor on the basis of the opinion and recommendation given by the Audit Committee.

On 26 November 2014 the Company entered into an agreement with Ernst & Young Audyt Polska spółka z ograniczoną odpowiedzialnością sp. k., among other things, to audit the standalone financial statements for 2014-2016 prepared pursuant to the Accounting Act and to audit the consolidated financial statements for that same period prepared on the basis of International Financial Reporting Standards.

The table below presents the fee of the entity authorized to audit the financial statements, which was paid or is due for the year ended 31 December 2016, 31 December 2015 and 31 December 2014 by type of services:

Type of service	Year ended 31 December 2016	Year ended 31 December 2015	Year ended 31 December 2014
Obligatory audit of the financial statements	273	208	150
Obligatory audit of the consolidated financial statements	105		
Other certification services*	414	69	-
Other services**			
Total	686	277	150

* concerns in particular certification services related to the preparation of the Company's initial public offering

** concerns the audit of the financial statements of subsidiaries

6. RISKS

Risks related to the macroeconomic conditions and the industry in which the Dino Group operates

Changes in general economic conditions that are beyond the Dino Group's control may lead to a decrease in consumer demand which could adversely impact the operations of the Dino Group

The Dino Group conducts its business in Poland on the retail grocery market which is dependent on consumer demand. Consumer demand is determined by a range of factors that are beyond the control of the Dino Group, in particular the macroeconomic situation and political conditions. Changes in economic factors on the Polish market, in the EU or globally, including the GDP growth dynamics, inflation in general, deflation in food prices, the increase in the unemployment rate, the decrease in remuneration, if any, or in consumer spending and capital expenditures may adversely impact the Dino Group or the industry in which the Dino Group operates, including sales generated by the Dino Group or the costs incurred by it. In addition, the economic situation in Poland or in other markets could be less favourable in the future compared to the recent years.

Should the general economic conditions in Poland and Europe deteriorate due to the economic factors indicated above or political reasons or a decrease of Poland's rating, which has happened in the past, this could adversely impact the Dino Group's operations, financial situation, results or prospects, and the price of the Shares. The above-mentioned factors may cause, *inter alia*, a decrease in demand for the Dino Group's products, limited access to external financing, difficulties related to suppliers, clients and other entities with which the Dino Group cooperates which may, in turn, translate into difficulties in, or prevent them from, performing their obligations towards the Dino Group and thus have an adverse effect on the Dino Group's business, financial condition, results of operations or prospects, and on the price of the Shares.

Risks related to the organic rollout plan

Historical operating and financial results are not indicative of future operating and financial results of the Dino Group

The Dino Group can give no assurance that it will be able to continue the fast organic expansion of the store chain or that it will be able to maintain the sales volume growth and the operating results which could adversely affect the Dino Group's business, its financial position and results of operations and the price of the Shares. Therefore, historical operating and financial results of the Dino Group cannot be regarded as indicative of its future operating and financial results.

The Dino Group may not be able to implement its strategy related to the rollout plan

The Dino Group's strategy assumes, *inter alia*, further growth through continued fast, organic expansion of the store chain. The successful implementation of the Dino Group's expansion strategy depends on, among other things, economic conditions, access to funding, the absence of adverse changes in the regulatory environment, the ability to locate and acquire (or to a lesser supplementary extent, lease) real estate on commercially reasonable terms which comply with the requirements of the Dino Group, construct and open new stores in a timely manner, employ, train and retain store personnel and integrate the new stores into the supply chain existing at the Dino Group in a profitable manner, to the greatest extent possible.

In order to significantly increase the number of stores operated thereby, the Dino Group will open new stores also in regions with higher unemployment rates, lower income per capita or lower density of population (e.g. regions in North and East Poland) than in the regions in which the Dino Group has expanded so far or built new distribution centres.

From 2014 to 2016, the Dino Group has been able to fund its capital expenditure needs primarily with its operating cash flows and debt financing (predominantly credit loan facilities). Given the expected operating cash flows and bank loans or financial leasing, if operating cash flows decrease below the expected levels or the Dino Group is unable to procure new financing (for reasons independent of the Dino Group or the debt market in general), the Dino Group may not be able to realise its expansion plans, which could adversely affect

the Dino Group's business, its financial position, results or prospects, and the price of the Shares. A slowdown in the Dino Group's expansion may also impact its ability to continuously improve its negotiated terms with suppliers and increase its profit margins from which the Dino Group currently benefits given its fast pace of growth.

Even if the Dino Group opens new stores in accordance with the strategy, the newly opened stores may fail to operate profitably within the originally assumed time frames or at all or the increase in sales or the LFL sales growth may be lower than assumed by the Management Board. The Dino Group may also be exposed to additional, unexpected costs related with the opening of new stores. Furthermore, the Dino Group's pre-opening analysis for a store may prove inaccurate due to, *inter alia*, lower than expected customer traffic in the store vicinity or other unforeseen circumstances. In addition, if the Dino Group opens new stores in areas where it already operates, the revenues of the stores that were opened earlier in the vicinity may decrease.

The occurrence of any of the above-mentioned circumstances could adversely affect the Dino Group's operations, financial situation and results, as well as the price of the Shares.

The Dino Group may be unable to acquire real properties, or to secure them on commercially acceptable terms; owning a significant number of real properties limits the flexibility to close down non-performing stores, and the decrease of the price thereof exposes the Dino Group to significant losses

The Dino Group has made a strategic decision regarding acquiring real properties on which its stores are located, *inter alia*, to ensure continuous, quick organic growth of the number of stores, a single format of the stores at all locations, shaping the "Dino" brand image as perceived by customers, and increasing cost efficiency.

As at 31 December 2016, 522 Dino stores were owned by the Dino Group, while 94 stores were leased. As a consequence of such strategy, as at 31 December 2016, the Dino Group owned real properties with a book value of PLN 1,053 million. Therefore, a decrease, if any, of the fair market value of the real property portfolio, may have an adverse effect on the value of the Dino Group's assets and on the results generated by the Company or its Subsidiaries. In addition, the Dino Group can give no assurance that the terms of perpetual usufruct of the already acquired real properties will not change which would prevent the previously planned construction of stores thereon.

The Dino Group acquired plots of land for future stores out of which some were classified as agricultural real properties. On 30 April 2016, new legislation came into force in Poland that introduces certain limitations regarding the possibility to acquire real properties classified as agricultural. As a result of this legislation, the Dino Group may not be in a position to acquire the real properties on which future stores of the Dino Group could be situated within the time and on the terms corresponding to those applicable before the new legislation came into force.

The ability to open new stores is dependent on identifying sites and premises that are suitable for the needs of the Dino Group. To date, the Dino Group has relied on dedicated in-house real estate team that are in charge of finding real properties satisfying the criteria adopted by the Dino Group and closing transactions and securing titles as promptly as possible following the acceptance of the internal location committee. However, the in-house real estate teams may fail to identify and/or secure real estate opportunities in the future, or may fail to do so in a timely fashion. The Dino Group may be forced to engage an external contractor or contractors to identify and/or secure real estate opportunities and accept less favourable commercial terms related with the search for the appropriate real properties. The Dino Group may incur significant costs related to the acquisition of a real properties and the development of a new store which in the future may not generate income at satisfactory levels.

Any of the above-mentioned factors could result in the inability to acquire a sufficient number of real properties attractive for the Dino Group, the acquisition of such real properties on unfavorable terms or at an inappropriate time which may in turn have an adverse effect on the Dino Group's business, its financial position, results or prospects, and the price of the Shares.

The Management Board cannot exclude that if a store constructed on a real property that is owned by the Dino Group fails to perform as the Management Board initially assumed and, in effect, the Management Board resolves to close such store, the Dino Group might not be able to sell or lease the real property housing the closed store at all or on commercially reasonable terms. As a result, the Dino Group may generate a lower return on invested capital, may have lower profits or incur losses or be required to bear additional costs, which could have an adverse effect on the Dino Group's business, its financial position, results or prospects, and the price of the Shares.

The planned construction of new stores may be subject to delays or increases in costs

The Dino Group has a track record of opening on average approximately 100 new stores per year over the last three years. As a rule, the process of opening a new store, including the time of construction and fit-out works, takes six to seven months from the moment of obtaining the administrative permits and up to two years from the execution of the preliminary agreement for the purchase of land, including the time needed to obtain the administrative permits. Approximately 82% of all stores of the Dino Group (as at 31 December 2016) were constructed by the Dino Group from scratch, on its own land. In the years 2014-2016, three out of the 279 own stores were purchased as constructed premises and remodelled, while the rest were built from scratch.

In order to develop a new store on a real property owned by the Dino Group, the Dino Group is required to obtain approvals from various administrative authorities. No assurance may be given that in the future the time required to obtain approvals from administrative authorities may not be longer. If the Dino Group is not able to finalise the administrative proceedings as efficiently as it did in the past, in particular given protests of the local communities or owners of the real properties located next to the real properties owned by the Dino Group, this may cause delays that impact the entire process of opening new stores in the future. Obtaining approvals involves providing the administrative authorities with extensive documentation which, if the Dino Group is unable to secure within the required time, may result in extending the duration of the proceedings. Moreover, the decisions issued by the administrative authorities may be challenged, which can additionally delay the investment process, which has happened in the past. As a result, the planned opening of a new store may be delayed or cancelled.

Furthermore, as the Dino Group continues its roll-out of new stores, the Dino Group together with the main contractor of its stores, will need to simultaneously monitor a larger number of construction sites, which may have an impact on the efficiency of its control over the quality of construction.

Additionally, if the prices of the building materials used for the development of the stores increase or any building standards change, the average costs of building a new store may also increase.

If such circumstances occur more often than expected, they may have a negative impact on the ability of the Dino Group to realise its strategy and could have an adverse effect on the Dino Group's business, its financial position, results or prospects, and the price of the Shares.

Rapid growth of the number of stores may require significant commitment in terms of financial and operational resources of the Dino Group and individuals in managerial positions, restricting the ability to further expansion of the Dino Group's current operations

The rapid growth of the scale of the conducted business may, inter alia, increase the complexity of the processes related with the management of such business, result in the need to increase employment, develop and adjust the distribution system, require improvement of IT systems and, consequently, result in a significant increase in the burdens of the managers of the Dino Group.

Therefore, in case of further growth of the Dino Group, ensuring its operating efficiency may require, among other things, the continued development of financial, operational and management systems, increased marketing activities and hiring and training of new personnel (including management personnel). It will be necessary to maintain continued close coordination among the logistical, technical, accounting, financial, marketing and sales personnel. If the Dino Group is unable to achieve any of these objectives, the Dino Group's business, financial condition, operating results and the price of the Shares could be adversely affected.

Growth in the business of the Dino Group may create significant operational challenges, including: the recruitment, training and retention of suitable staff; effective analysis of employee performance; logistics and IT infrastructure; and the financial and internal control procedures in respect of growing business operations. If the Dino Group is unable to continue to efficiently manage its expanding business effectively and profitably in light of the above-mentioned factors, the Dino Group's planned expansion may be unsuccessful or may adversely affect the existing business of the Dino Group, which may have a material negative impact on the Dino Group's operations, financial position and results of operations, as well as on the price of the Shares.

The market in which the Dino Group operates is highly competitive, and competitive pressures may adversely affect its profit margins and/or growth prospects

The market in which the Dino Group operates is highly competitive, in particular, due to the presence and continued development of large, organised retail networks, including supermarkets, discounters and convenience stores. Changes in consumer preferences based on a trend of shopping close to one's place of residence may result in increased competition in the market sector in which the Dino Group operates.

The Dino Group faces competition particularly from discount chains, convenience stores and other proximity supermarket stores, including both domestic and foreign grocery retailers which operate an expanded store network across Poland and often operate on a scale much greater than the scale of operations of the Dino Group. No assurance may be given that the Dino Group will be able to effectively compete with its existing or future competitors.

In the opinion of the Management Board, as at 31 December 2016, within a 5 km radius from approximately 47.5% of the stores operated by the Dino Group there are up to five stores operated by a Dino Group competitor and another 23.4% of the Dino Group stores compete with more than five stores operated by a competitor of the Dino Group. In addition, if further entities operating discounters, convenience stores or proximity supermarkets enter the Polish retail grocery market, competition in this market segment will increase further.

Competitors of the Dino Group may have greater financial, distribution, technical, personnel and marketing resources, any of which would provide them with a competitive advantage over the Dino Group. Retail food chains generally compete on the basis of location, prices, the quality of products and service or product variety. The ability of the Dino Group to compete depends in part on maintaining the attractiveness of the format of the operated stores and the development of new stores in advantageous locations. In this regard, the Dino Group faces increasing competition.

The Dino Group's competitors grow their operations based on, *inter alia*, a franchise model which allows for the development of a store network with capital expenditures significantly lower than those which are required in the model of development adopted by the Dino Group, and allows to connect to the network of already existing grocery stores with their own client base. It cannot be excluded that the development of franchise networks will materially increase the competitiveness of the stores existing at the locations where the Dino Group will wish to grow its business, which will restrict its growth prospects and may adversely affect the Dino Group's business, its financial position and results, and the price of the Shares.

Competitive pressures resulting from the above-mentioned or other factors, including decisions of the competitors, if any, on the change of the format of their stores to a format similar to the format used by the Dino Group, could lead to lower dynamics of development of the Dino Group, stagnation or reduction of the Dino Group's market share and a decline in profitability, which could have a negative impact on the Dino Group's operations, financial position and results of operations, as well as on the price of the Shares.

Consolidation of the retail food industry could have a material adverse effect on the Dino Group's business

The Polish retail food market is fragmented, with a large number of retailers each holding a relatively small share of the market. Mergers and acquisitions in the retail food market lead to industry consolidation. Should consolidation occur among the competitors of the Dino Group which will allow them to benefit from the scale effect of their business, the market share of the Dino Group could remain stagnant or decrease (both absolutely

and relatively) in favour of the entities participating in such consolidation. A loss of even small market share may lead to a reduction in the Dino Group's purchasing or negotiating power vis-a-vis suppliers. Increased competition on the part of larger competitors with greater negotiating powers with respect to suppliers or greater financial resources of competitors may also lead to a decrease or stagnation of the dynamic of development of the Dino Group or a decrease in the Dino Group's profitability and thus could have a negative impact on the Dino Group's operations, financial position and results of operations, as well as the price of the Shares.

Risks related to the cooperation with the related parties

The Dino Group cooperates with contractors controlled by the majority shareholder of the Company in the construction of its new stores

The Contractors were engaged in the construction of majority of the own stores operated by the Dino Group newly opened in 2014-2016 and thus has significant know-how and knowledge to execute development projects in line with the specifications developed by the Dino Group.

If the Contractors failed to meet the quality standards required by the Dino Group or did not complete the work commissioned thereto on time, it may impact the willingness of the Dino Group's management to pursue legal action against the Contractors.

The cooperation of the Dino Group with the Contractors, as its main contractor, with respect to the construction of new stores entails the risk that if the Contractors, for whatever reason, are not in a position to render real property development services to the Dino Group at all or only in a limited scope or does not manage to render services to the Dino Group of the same quality in the future or the Contractors request the termination of the agreement or a change of the commercial terms on which they render services to the Dino Group above a reasonable level, the Dino Group may be forced to engage a different contractor or contractors or accept new unfavourable commercial terms of the agreement with the Contractors, which could have an adverse effect on the Dino Group's business, its financial position, results or prospects, and the price of the Shares.

However, in case the circumstances indicated above arise, there may be a shortage of skilled contractors other than the Contractors able to build new stores by a specified deadline initially assumed by the Dino Group and in compliance with the requirements expected by the Dino Group. Such new contractors may fail to meet the quality standards required by the Dino Group, particularly as they would not have any previous track record related with the construction of stores for the Dino Group, or the applicable health and safety requirements. Such failure could give rise to negative publicity, and delays or defects in construction could result in increased costs and postponed store openings.

As a result of the above-mentioned factors, the Dino Group may not be able to meet its expansion targets as planned, which could have an adverse effect on the Dino Group's business, its financial position, results or prospects, and the price of the Shares.

The majority shareholder's transfer of all the shares in the Company or his withdrawal of support for the Company in the future may adversely affect the Dino Group's operations, its financial condition and results

Main Shareholder, as the founder of the Company, has significant professional experience and know-how related with the Dino Group and the sector in which it operates. As the chairman of the Supervisory Board, he shares his experience with the Management Board.

Additionally, some of the credit agreements to which the Dino Group Companies are parties, provide for a change of control clause which is triggered in case Main Shareholder's shareholding in the Company falls below a certain threshold.

If in the future Main Shareholder, for whatever reason (including any accident), decides to withdraw his support for the Dino Group, entities that are his related parties will no longer render services to the Dino Group, or if Main Shareholder decides to sell all or a part of the shares held in the Company may also have an

adverse effect on the Dino Group's operations, its financial condition and results, as well as the price of the Shares.

The IT systems of the Dino Group that play a key role in the Dino Group's operations may break down, or may prove to be insufficiently secure or inadequate for the purpose of meeting the Dino Group's needs

The Dino Group manages its store operations, including the sales process, inventory, logistical operations and finance and accounting needs through a variety of information technology solutions. These operations are dependent on the efficient and uninterrupted operation of their supporting IT systems. As a consequence, the Dino Group is able to analyse and manage orders for all of the Dino Group's stores, optimising them and limiting potential losses or the loss of sales in the case of stock-outs or the failure to make timely deliveries of goods to the stores. Such system also enables the monitoring of each store's profitability on an ongoing basis and allows the Dino Group to quickly react in case of any developments. Additionally, the IT systems aid the distribution of products to each store based on the guidance and plans provided by the Company's headquarters.

Given the above, the Dino Group's operations and its development rely on the efficient and uninterrupted functioning of its IT systems. It is therefore of key importance to ensure that the process of maintaining its existing IT systems is correctly carried out, that the systems, including the data constituting trade secret or any personal data, are secured and that optimum new solutions are introduced when appropriate that will ensure the stable and uninterrupted functioning of such systems. The Company can give no assurance that in the future it will be able to ensure the efficient operation of the IT systems, including by upgrading them, which may threaten the Dino Group's ability to manage the extended store network, including to provide the stores with stock management services or to supply products, which could jeopardise their day-to-day business.

The Dino Group's operating systems may be vulnerable to damage or interruption in result of any cybercrime, human error, natural disasters, power loss, computer viruses, denial of service, security breaches, internet access restrictions and similar events. In addition, third parties or employees may attempt to gain access to the Dino Group's systems to the detriment of the Dino Group, and the Dino Group may not be able to protect its systems from all attacks. If such attacks occur, some of the problems the Dino Group may encounter include the theft or destruction of data, including commercial, financial and product information, which could be commercially detrimental to the Dino Group or result in a loss of reputation.

System failures and the resulting delays could also cause unanticipated disruptions in sales, loss of inventory, decreased customer service and, consequently, customer satisfaction, and harm to the Dino Group's reputation.

The circumstances outlined above may have a material adverse effect on the Dino Group's operations, its financial standing and performance, as well as the price of the Shares.

The Dino Group may lose the legal title to the leased real properties where it currently operates its stores network and one distribution centre or may not maintain leases on commercially acceptable terms

As at 31 December 2016, 522 Dino stores were owned by the Dino Group, while 94 stores were leased. In addition, the Dino Group operates one of its three distribution centres used in the course of its business on the basis of a lease agreement. Such distribution centre is located in Piotrków Trybunalski and as at 31 December 2016 it supplied goods to 193 stores operated by the Dino Group. Some of the lease agreements were concluded for a specified term, with some having been concluded for an unspecified term. The latter on average have a three-month termination notice period. Lease agreements for stores have typically been concluded for ten years, usually with the possibility of lease renewals for another ten years.

Consequently, the Dino Group's legal title to use part of its material real estate is not permanent and may expire following the lapse of the term for which a given agreement was concluded or its termination. There can be no assurance that the Dino Group will continue to be able to renew store or distribution centre leases on commercially acceptable terms, or at all, as they expire. If the Dino Group is unable to renew leases on commercially acceptable terms, or at all, or lease other favourable locations on commercially acceptable terms, or if the existing leases are terminated for any reason, or if their terms are revised to the detriment of the Dino

Group, such circumstances may have a material adverse effect on the Dino Group's operations, its financial standing and performance, as well as the price of the Shares.

In addition, if the real property used by the Dino Group under a lease agreement is sold to a third party other than a Dino Group Company, the purchaser of such real property may be entitled to terminate such lease agreement by notice, even if the agreement was concluded for a specified term. The loss of the legal title to use any of its material real estate, especially to the distribution centre in Piotrków Trybunalski, may have a material adverse effect on the Dino Group's operations, its financial standing and performance, as well as the price of the Shares.

Change of the terms of purchase of the goods offered by the Dino Group may have a material adverse effect on the Dino Group's business

The prices of products that the Dino Group acquires and then offers to clients, including, specifically, fresh products, are volatile and represent the highest portion of the Dino Group's sales costs. The cost of products offered by the Dino Group may significantly increase as a result of global or local events that are beyond the control of the Dino Group, such as adverse natural conditions (including poor harvests or animal diseases), supply and demand dynamics, trade disruptions or otherwise.

Although the Dino Group has a diverse supplier base, it cannot be ruled out that certain suppliers, due to higher costs of production or to increase their profits, may decide to increase the prices of goods sold to the Dino Group. The Dino Group may, in turn, seek to pass all or a portion of these higher costs of purchase onto its customers to maintain its gross profit margins. However, it may not be possible for the Dino Group to increase its retail prices to offset cost increases, particularly if due to economic conditions customers of the Dino Group are unable or unwilling to bear such increases or if the Dino Group's main competitors choose not to implement such price increases or decide to decrease prices. As competition on the Polish retail food market intensifies, unilateral price increases or any failed or too slow responses to any price decrease by the competition may lead to decreases in sales, loss of customer traffic, loss of market share and other adverse consequences. Accordingly, the Dino Group may be significantly constrained with respect to its pricing policy by the actions of competitors; therefore, price increases by suppliers or price decreases by competitors could have a material negative impact on the Dino Group's business, its financial condition and results of operations, as well as on the price of the Shares.

The Dino Group sources the majority of its offering directly from producers or their main representatives. Large and constantly growing volumes of goods purchased from suppliers result in benefits such as the effect of scale and allow the Dino Group to source its products on favourable terms which may improve further along with the growth of the Dino Group's sales network.

The end of good relationships with any suppliers of the Dino Group, the termination of supply agreements by the Dino Group's suppliers or a change of the commercial terms on which goods are delivered to the Dino Group to less favourable terms could reduce the Dino Group's competitiveness in terms of the offered prices and the range of products and negatively impact the profitability of the Dino Group, which could have a negative impact on the Dino Group's operations, financial position and results of operations, as well as on the price of the Shares.

The production of fresh and/or processed meat products, which are delivered by a single supplier, may be disrupted

Agro-Rydzyna, one of the Dino Group Companies, offers a wide variety of raw and processed meat and is the supplier responsible for almost all of the deliveries of such products to the Dino Group stores, with close to 100% of its production being sold through the Dino Group's network. In 2016, fresh meat, poultry and cured meat accounted for 44% of the sales of fresh products and for 16% of the Dino Group's sales.

The production of fresh and/or processed meat products at the meat processing plant operated by Agro-Rydzyna could be interrupted as a result of certain events that are, to a large extent, beyond its control, in particular due to any unforeseen events such as disasters, strikes or terrorist attacks or other incidents including

fire, and a lack of supplies or any delay in the supply of electricity or raw products (in particular, due to a shortage in availability as a result of the presence or spread of animal diseases).

Moreover, as Agro-Rydzyna produces fresh meat products, it is subject to various health and sanitary regulations relating to the production of food products. Taking into account the complexity of the food production process, there is a risk that Agro-Rydzyna will not comply with all of the sanitary requirements and procedures, including those relating to any health and safety issues or the monitoring and conduct of laboratory tests of the quality of raw and ready-made products. The Management Board cannot assure that the procedures implemented in the course of the production processes will be sufficient to ensure compliance with all the regulatory requirements. If the meat processing plant operated by Agro-Rydzyna fails to meet the quality and health and sanitary standards set forth in the relevant regulations, the production of fresh meat products may be limited or even ceased.

Additionally, Agro-Rydzyna is the only supplier of the Dino Group as regards fresh meat and the dominant supplier of processed meat products which entails the risk that, if the production at the meat processing plant operated by Agro-Rydzyna is interrupted, the Dino Group may be forced to find a different fresh and/or processed meat supplier or suppliers which may be impossible within a short time, or the Dino Group would need to accept new unfavourable commercial terms with the new supplier or suppliers, the quality of the products delivered by such alternative supplier or suppliers would not meet the quality criteria of the Dino Group and which may also result in extending the chain of supply of fresh and cured meat to the stores of the Dino Group which may affect the time during which those products will remain fresh.

All of the above-mentioned circumstances could have an adverse effect on the Dino Group's business, its financial position, results or prospects, and the price of the Shares.

The distribution of products to the Dino Group stores may be disrupted

The products offered in the stores operated by the Dino Group are currently supplied by three distribution centres located in Krotoszyn, Piotrków Trybunalski and Jastrowie. Fresh food products, including meat products (from the meat processing plant operated by Agro-Rydzyna) are delivered to the stores daily (except for Sundays), typically overnight, where the revenues generated by sales of fresh food products accounted for 36% of the Dino Group's sales in 2016. Dry food products, beverages and non-food products are delivered two/three times per week on average, depending on a given store's turnover.

Any interruption in the operations of the distribution centres could disrupt the Dino Group's supply chain operations and/or result in substantial loss. If operations at one of the Dino Group's distribution centres were interrupted as a result of certain events that are, to a large extent, beyond its control, in particular due to weather conditions (both too high or very low temperatures and excessive rain or snowfall), any unforeseen events such as natural disasters, strikes or terrorist attacks or other incidents such as fire, and a lack of supplies or any delay in the supply of electricity or raw products, which may be caused by the occurrence of any unforeseen events or incidents, the Dino Group could experience a material disruption in its supply chain operations, including a shortage in the delivery of fresh produce, as well as substantial loss.

Potential technical or software breakdowns at any of the Dino Group's distribution centres may adversely affect the Dino Group's profitability as well as directly impact its financial results. There is a risk that, due to such circumstances, the Dino Group will not be able to recommence or resume operations in a timely manner, and its insurance may not cover the resulting loss of property and revenues. Therefore, the Dino Group's operations are directly exposed to an operational risk resulting in the necessity of the Dino Group's distribution centres to ensure the continuity and flow of goods as well as a high degree of efficiency in managing any crisis caused by technical or software breakdowns. Moreover, no assurance may be given that the Dino Group's security systems and existing precautionary measures, covering all organisational and technological levels, including work safety as well as breakdown protection, fully eliminate the risk of any breakdowns or ensure the continuity of the distribution processes.

Any of the above-mentioned events resulting in a short-term or long-term interruption in the Dino Group's operations due to the need to conduct repairs or to eliminate the consequences thereof, such as any technical or

software breakdowns at any of the Dino Group's distribution centres, could have an adverse effect on the Dino Group's business, its financial position, results or prospects, and the price of the Shares.

The related-party transactions carried out by the Company and other Dino Group Companies between them and with the Company's shareholders or their related parties could be subject to inspection by the tax or fiscal authorities

The Company and other Dino Group Companies conduct related-party transactions within the Dino Group. The related-party transactions entered into between: (i) the Company and other Dino Group Companies, mainly relate to the procurement of products, logistic services, lease of store space services and payment of licence fees; (ii) transactions entered into between the Dino Group Companies, including the Company with Main Shareholder or any of his related parties, mainly relate to the acquisition of products (meat and dairy products) and the construction of the vast majority of the Dino Group's stores.

Due to the specific nature of related-party trades, the complexity and ambiguity of legal regulations governing the methods of examining the prices applied, as well as the difficulties in identifying comparable trades for reference purposes, no assurance can be given that the Company or other Dino Group Companies will not be subject to inspections or other investigative activities undertaken by the tax authorities or fiscal control authorities. Should the methods of determining arm's-length terms for the purpose of the above trades be challenged, this may have a material adverse effect on the Dino Group's business, financial condition and results of operations, as well as the price of the Shares.

The Dino Group may fail to effectively manage its supplies

Given that the Dino Group operates in the retail food business, it needs to secure frequent deliveries of products to its store network. Therefore, the Dino Group needs to maintain a certain level of reserves of supplies at its distribution centres, so that it can efficiently secure supplies of such products to its wide store network without material delays.

The Dino Group creates the reserves of store supplies based on the past experience of the relevant supply teams, which is supported by certain IT solutions. However, the Dino Group cannot exclude that as a result of an incorrect assessment of the supply team, breakdown of the IT support system, sudden change in consumer preference or other factors which are beyond the Dino Groups control could result in keeping the level of supplies on an insufficient level or having surplus of supplies which the Dino Group would not be in the position to sell.

As a result, the Dino Group may secure insufficient products which are offered in its stores or in case of the surplus of supplies they would remain unsold which would negatively impact the Dino Group's sales or increase the level of incurred losses, which in turn could have an adverse impact on the Dino Group's business, its financial condition and results of operations, as well as the price of the Shares.

Failure to identify and satisfy consumer preferences could materially adversely affect the Dino Group's business

Consumer demand for the store format and product assortment offered by the Dino Group is directly affected by consumer trends, needs and preferences. Consumer preferences on the market and within the geographical area in which the Dino Group operates or intends to operate may cease to favour the Dino Group's store format or the products offered thereby, for example as a result of changes in lifestyle and dietary preferences or as a result of national or local economic conditions. Similarly, local conditions may cause customer preferences to vary from region to region as the Dino Group continues to expand into new areas. Consumers may shift most of their purchases to the e-commerce channel in which the Dino Group is not currently present. As a result of changes in customer preferences, traffic and purchases in the Dino Group's stores may decrease. If the Dino Group's management is unable to identify and adapt to changes in consumer preferences swiftly, including e-commerce shopping, the Dino Group's revenue and profitability may decline, which in turn could have a negative impact on the Dino Group's business, its financial condition and results of operations, as well as the price of the Shares.

Increases of costs may have a material adverse effect on the Dino Group's business

Although the Dino Group bases its planned expenses in part on its expectations of future sales, a substantial portion of expenses by type is fixed or subject to increases and cannot be adjusted quickly if the Dino Group's future sales fall short of expectations, if such costs increase more rapidly than the growth of the Dino Group's sales or it is necessary to cover certain unforeseen expenses. Accordingly, if the Dino Group's sales in any period are significantly lower than was anticipated, the Dino Group may be unable to adjust its principal expenses by type proportionally on an accurate and timely basis, which could reduce the Dino Group's profitability.

Aside from the costs of the sourcing of goods and materials which represent the highest portion of the Dino Group's costs by type, the operating and financial results of the Dino Group are influenced by other material costs, with the costs related to use of materials, energy consumption, labour and third-party services constituting the most important cost-related items.

The increase in the above-mentioned costs of the Dino Group depends greatly on factors over which the Dino Group has no control. Factors that may result in an increase in the Dino Group's costs by type or capital expenditures related with the acquisition of real properties and the development of new stores include, in particular: inflation, changes in the tax system (including any increase in taxes), costs of transportation, increase of crude oil prices, increase of the minimum pay level (which will affect the Dino Group's average costs of work and could also impact the costs of third-party services), changes in the government policies, changes in the labour code and changes in other laws or any other regulations.

Except for the value of goods and materials sold, the costs of material and energy consumption, employee benefits costs and external services (that is, *inter alia*, transport services, rental and leasing services, maintenance and other type of services (mostly IT costs, office services)), respectively, constitute the most important costs by type of the Dino Group which, in 2016, amounted to PLN 331.6 million (10.5% of costs by type of the Dino Group), PLN 341.8 million (10.8% of costs by type of the Dino Group), and PLN 137.8 million (4.4% of the costs by type of the Dino Group), respectively. Labour costs will grow in view of the increase of the minimum gross remuneration up to PLN 2,000 at the beginning of 2017.

An increase in the above-mentioned or additional costs could directly affect the Dino Group's results of operations and financial position. The Dino Group cannot assure that it will be able to offset the increased expenses with increased sales. If the Dino Group is not in a position to do so, this could have a negative impact on the Dino Group's business, its financial condition and results of operations, as well as the price of the Shares.

The Dino Group may face the risk of interest rate change which may negatively affect its debt subject to interest at variable rates

The Dino Group is at risk of interest rate changes. Any change in interest rates and other financial market parameters may impact the Dino Group's operations in the future. In connection with the decrease in interest rates in the years 2014-2016, the increase of indebtedness of the Dino Group (as at 31 December 2016 the Dino Group's indebtedness on account of interest-bearing bank loans, borrowings and finance lease liabilities was PLN 563 million compared to PLN 463 million as at 31 December 2015 and PLN 404 million as at 31 December 2014) did not translate into, to any significant degree, an increase in the Dino Group's financial expenses which in 2016 amounted to PLN 30 million compared to PLN 25 million in 2015, and PLN 27 million in 2014. As at the Date of the Report, the vast majority of the Dino Group's financial debt accrued interest at variable rates. Consequently, any interest rate increase may result in an increase in the current financial costs of the Dino Group, specifically in connection with the growing indebtedness of the Dino Group.

Interest rates are largely dependent on changes of many factors such as, specifically, the global and domestic economic and political conditions and certain other factors that are beyond the Dino Group's control. Any variation in interest rates may result in an increase in financial costs.

As at the Date of the Report, the Dino Group does not secure its investments or obligations based on a variable interest rate with any derivative financial instruments. It cannot be ruled out that future interest rate changes may not adversely affect the Dino Group which could adversely affect the Dino Group's business, its financial position and results, and the price of the Shares.

The Dino Group may not be able to repay its financial debt, ensure financing on favourable terms or may lose its strategic assets in case it breaches the terms of the financing

The Dino Group finances its operations through, inter alia, third-party financing such as credit facilities and loans, granted by financial institutions as well as financial. The value of the Dino Group's indebtedness (under interest-bearing bank loans, borrowings and finance lease liabilities) in 2016 was PLN 563 million.

The Management Board cannot assure that the Dino Group will be able to secure the financing of its business activity on favourable terms and that once it is granted such financing it will be able to repay the interest and the principal or to satisfy other obligations under the financial agreements. Additionally, if the Dino Group is not able to secure financing in accordance with its expectations, it may be forced to change its strategy or to limit its development and, consequently, the pace of the Dino Group reaching its strategic objectives may be slower than originally assumed.

The implementation of the Dino Group's strategic decision regarding the acquisition of land used, in the majority of circumstances, for the construction of Dino Group stores (as opposed to lease of store space) is connected with the need to incur significant capital expenditures in the course of the Dino Group's execution of its development strategy related with continued rapid organic development of its store network. As at 31 December 2016, 522 buildings in which the Dino Group stores are operated were owned thereby.

From 2014 to 2016 capital expenditures related with new stores amounted to PLN 186.3 million, PLN 238.5 million and 287.3 million, respectively. In the past, the Dino Group financed its capital expenditures mostly with funds generated by operating activity, bank loans and financial leasing. If the net cash flows from operations are lower than expected or the Dino Group fails to secured new financing (for reasons on the part of the Dino Group or in connection with the general conditions on the market), the Dino Group may fail to achieve its development objectives which may adversely affect the Dino Group's business, its financial position, results or prospects and on the price of the Shares. The slowdown of the Dino Group development may also adversely affect its ability to further improve the negotiated trade terms with suppliers and thus the financial condition of the Dino Group

Moreover, the Dino Group's fixed assets, including the real estate on which the Dino Group operates its stores and those on which new stores are to be constructed as well as the real estate housing the distribution centres has been used as collateral (e.g. in the form of mortgages). If the Dino Group is unable to repay any of its liabilities under the financial agreements, the Dino Group's creditors will have the right to satisfy their claims by enforcing the Dino Group's assets which will result in the Dino Group's loss of assets used as collateral. In the case of real properties designated for the development of new stores, it may prevent the opening of new stores and in the case of the real properties on which stores have already been developed, the loss of existing stores.

Furthermore, the financial agreements executed by the Dino Group contain several standard warranties, including warranties regarding maintaining certain financial ratios, preventing the encumbering of assets with any third-party rights, clauses applicable in the case of a breach of warranties under other agreements or any change to the conducted business activity. Failure to comply with any obligations, which can, in particular, be caused by changes to the accounting policies or any other obligation may result in a breach of the financial agreements, an adverse change in the terms of the extended financing and, in the case of the failure to secure a relevant waiver of the observance thereof from the financing parties, it may result in the financing parties refusing to continue to provide the financing and demanding the repayment of the already extended facilities, declaring them immediately due and payable or result in the entities providing financing satisfying their claims with the assets of the Dino Group which will entail the loss of such assets.

Each of the above events could have an adverse impact on the Dino Group's business, its financial position, results or prospects, and the price of the Shares.

Loss of the Dino Group's key employees or the lack of the ability to hire a sufficient number of qualified staff may have a negative impact on the Dino Group's operations and future growth

One of the key factors for the further development of the Dino Group's business, in particular its further development, geographic expansion and the implementation of its strategy is an adequate number of qualified and motivated personnel. A number of the Dino Group's management personnel are people with many years of professional experience with the Dino Group or in the retail grocery market. There is a risk that due to its expansion the Dino Group may not be able to retain key employees, attract key personnel to fill vacancies or staff newly created positions with employees who have the appropriate qualifications and experience and it may have to incur substantial costs of hiring and training them. In particular, the Dino Group cannot assure that in relation to its planned continued rapid organic rollout it will be able to engage a sufficient number of qualified personnel in the expansion department responsible for seeking the most suitable locations necessary for the Dino Group's future stores. Moreover, the Dino Group cannot exclude that its competitors or other entities operating in the retail grocery sales market will offer to the potential employees more favourable terms of employment, or that in certain parts of Poland the potential work force will not be interested in commencing employment with the Dino Group due to the social aid they obtain from the state. Personnel shortages and the loss of key employees may adversely affect the Dino Group's further business development.

In addition, there are risks related to the Dino Group's dependence on individual persons in key positions, particularly at the level of the Management Board as well as in the areas of development, distribution and finance. The Dino Group's key employees may resign at any time. Such resignations may substantially impact the possibility of further development of the Dino Group and the implementation of its strategy. The loss of management personnel or employees in key positions could lead to a loss of know-how, or under certain circumstances, to the passing on of this know-how to competitors.

If one or more of these risks materialise, this could have a material adverse effect on the Dino Group's business, financial condition and results of operations, as well as on the price of the Shares.

The Dino Group's insurance coverage relating to its operations may be insufficient or not available

The Dino Group's insurance policies may not cover all of the damage that may be incurred by the Dino Group in the course of conducting its business and certain types of insurance may not be available on commercially reasonable terms.

The Dino Group's insurance may be insufficient or unavailable to cover the damage incurred by the Dino Group or to satisfy any claims against the Dino Group. Moreover, an insurer may, in the instances specified in the relevant insurance agreements, refuse to satisfy claims against the Dino Group or to cover the damage incurred by the Dino Group. There may also be risks that are not insurable or the insurance of which would not be commercially justified, or for which the proposed terms and conditions and restrictions will not be sufficient, in the Dino Group's opinion, to mitigate the potentially high costs of covering any potential damage. Thus, the Dino Group may not obtain full compensation based on the insurance agreements concluded to cover damage relating to its operations, and the scope of the Dino Group's insurance coverage could be insufficient.

Moreover, the Dino Group's insurance policies are subject to limitations relating to the amount of claims covered by the insurance. Therefore, amounts paid under these insurance policies may be insufficient to cover all of the damage suffered by the Dino Group at the full value thereof. Should any loss that is not covered by insurance or that exceeds the insurance limits be incurred, the Dino Group will have to cover the loss in full or in excess of the insurance limit, respectively, using its own funds. There can be no assurance that no significant losses not covered by the insurance or exceeding a given insurance limit will not occur in the future.

In addition, the insurance premiums paid by the Dino Group in respect of its insurance policies may significantly increase as a result of, for example, material losses that are subject to insurance and the resulting changes in the loss ratio history of the Dino Group or, generally, in the Dino Group's market sectors. There can

be no assurance that, in the future, the Dino Group will be able to obtain insurance protection at the current level or on satisfactory terms.

Consequently, the Dino Group may have insufficient cover against losses that the Dino Group could incur in the course of its operations. Any losses that are uninsured or exceed the insurance limit could have a material negative impact on the Dino Group's business, its financial condition and results of operations, as well as on the price of the Shares.

The Dino Group is exposed to certain risks in connection with the substantial use of cash in its operations

Due to the nature of the grocery retail business and the fact that a part of the customers of the Dino Group's store network often pays for their purchases in cash, the Dino Group processes a large volume of cash transactions in the course of its operations. As a result, the Dino Group is exposed to a risk of loss, theft, robbery or other fraud, which, if substantial in the aggregate, could have a material negative impact on the Dino Group's business, its financial condition and the results of operations, as well as on the price of the Shares.

Customer complaints, product liability claims, product recalls, health and safety issues, adverse publicity, legal action or other factors could result in a deterioration of the value of the "Dino" brand name

The Dino Group's success partially depends upon brand recognition and the goodwill associated with it, and the "Dino" brand name and trademarks are the key assets of the Dino Group's business. The preparation, packaging, transportation, storage and sale of perishable food products and non-food products entail a risk of product contamination, deterioration or defect that could potentially lead to product recalls, liability claims and adverse publicity as well as all the costs related therewith. Food and non-food products may contain contaminants that could, in certain cases, cause illness, injury or death. The sale (or claims relating to an alleged sale) of contaminated, deteriorated or defective products may result in a product liability claim or product recall. The risks of product liability claims or product recall obligations are particularly relevant in the context of the Dino Group's sales of fresh food products.

Negative publicity surrounding any assertion (even when baseless) that the products sold by the Dino Group caused illness, injury or death could negatively impact the perception of the "Dino" brand or image as perceived by existing and potential customers.

Any customer complaints, product liability claims, product recalls, health and safety issues, adverse publicity, legal action or other factors that deteriorate the value of the "Dino" brand name could lead to reputational damage and could have a material adverse effect on the Dino Group's business, financial condition and results of operations, as well as the price of the Shares.

Moreover, the Dino Group, as a food manufacturer, is required to comply with certain requirements of applicable law, and its activity and products are subject to the supervision and control of various public inspection authorities, in particular in relation to compliance with the rules regarding food manufacturing processes designed to ensure that food products are safe for consumers. Thus, the Dino Group is required to comply with many sanitary requirements and procedures, including those relating to health and safety and the monitoring and laboratory analysis of the quality of raw materials and end products.

The occurrence of any of these risks could have a material adverse effect on the Dino Group's business, financial condition and results of operations.

Extraordinary events beyond the Dino Group's control could adversely affect the Dino Group's business, financial condition, results of operations, prospects and the price of the Shares

Factors beyond the Dino Group's control, such as terrorist attacks, pandemics, acts of war, calamities or other extraordinary events and their consequences could cause serious disruptions in the Polish economy or political situation, increase the degree of uncertainty in the financial markets, which may disrupt the Dino Group's operations and result in a decrease in revenues generated by the Dino Group. Such events and losses are

difficult to predict and may relate to property, financial assets or key employees. If the Dino Group's plans do not fully address these events, or if its plans cannot be implemented under the given circumstances, such losses may be severe. Unforeseen events can also lead to additional operating costs, such as higher insurance premiums and the implementation of additional back-up plans. Insurance coverage for certain risks may also be unavailable, thus increasing the risk to the Dino Group. The Dino Group's inability to effectively manage these risks could adversely affect the Dino Group's business, its financial position, results or prospects, and the price of the Shares.

Risks associated with the regulatory environment

The Dino Group may be required to pay interest calculated in accordance with the Act On Payment Periods in Commercial Transactions

According to the Act On Payment Periods in Commercial Transactions where the parties to a commercial transaction agreed on the terms of payment being longer than 30 days, the creditor may demand statutory interest on its receivable for the period starting from the 31st day after fulfilling its non-cash obligation and the delivery of an invoice or bill by the debtor until the repayment date of such receivable. If the payment date is not specified in the contract, the creditor may request statutory interest without any demand notice for the period from the 31st day after the fulfilment of the non-cash obligation until the date of payment. As the Dino Group enters into a significant number of commercial transactions, mainly with the suppliers of goods, it cannot be ruled out that the creditors of the Dino Group will demand the payment of interest accrued in accordance with the provisions of the Act on Payment Periods in Commercial Transaction. Notifications regarding such requests could result in an increase in financial costs of the Dino Group and could have a material adverse impact on the Dino Group's operations, its financial standing and performance, as well as the price of the Shares.

Remuneration, in particular for the provision of distribution-related services and cash bonuses collected by the Dino Group from its suppliers, may be considered as unauthorised additional charges

According to the Act on Unfair Competition, charging fees for accepting goods for sale, other than the trading margin, is prohibited and constitutes an act of unfair competition hindering the access of entrepreneurs to the market. The interest of the entities which have been threatened or harmed by charging such unauthorised fees, may require, *inter alia*, the cessation of charging such fees and the reimbursement of fees paid by them to date.

Certain contracts with suppliers concluded by the Dino Group contain provisions for the payment of additional remuneration by suppliers, in particular for the provision of services related to the distribution of goods and cash bonuses for the distribution of goods provided by such suppliers.

It cannot be ruled out that in the future suppliers of the Dino Group or other entitled entities (e.g., trustee in bankruptcy of the former supplier) will question the legality of such charges in court and request compensation, which has occurred in the past. In case the respective court awards such compensation, the Dino Group may not be in a position to require payment by the suppliers of remuneration for the provision of services related to the distribution of goods or cash bonuses in respect of goods in the future and may also be required to compensate such supplier or a Dino Group of suppliers, which may have a material adverse effect on the Dino Group's operations, its financial standing and performance, as well as the price of the Shares.

The Dino Group may face claims related to accidents at work

In the period from 2014 to 2016, there occurred a total of 881 work-related accidents. As at the Date of the Report, none of the Dino Group Companies were parties to any material legal proceedings related to accidents at work which, however, does not rule out such risk occurring in the future. Any accidents at work, including fatal accidents, may expose the Dino Group to claims filed by employees or other entitled persons. This may adversely impact the Dino Group's business, financial condition, results of operations or prospects, and the price of the Shares.

As at 31 December 2016, the Dino Group employed 10,640 employees and there were 165 persons in the Dino Group employed in positions specifically exposed to harmful and arduous conditions (i.e. by working in cold rooms and freezers). The costs related to the specific benefits for the employees working in such positions as well as the benefits paid to persons suffering from any occupational diseases, due to the rare occurrence of any such events, had no impact on the level of costs of the Dino Group's operations in the period covered by the Consolidated Financial Statements, although no assurance may be given that such events will not occur more frequently in the future.

In case the workplace health and safety requirements are broadened and, in particular, if the catalogue of occupational diseases is extended, any additional duties are imposed regarding workplace safety and the number of accidents at work and the number of persons diagnosed with occupational diseases increases, the Dino Group may be required to incur additional costs. This could have an adverse effect on the Dino Group's business, financial condition, results of operations or prospects, and the price of the Shares.

Collective disputes with employees, as well as negotiations with trade unions may have a material adverse effect on the Dino Group's business

As at the Date of the Report, there were two trade unions operating in the Dino Group. Although, as at 31 December 2016, a total of 150 persons from among 10,640 employees employed at the Dino Group were members of trade unions operating in the Dino Group, that is slightly above 1% of the Dino Group employees, the Dino Group can give no assurance that trade union membership among the employees will not increase. The position of trade unions in Poland is relatively strong. Due to the unionisation of employees in trade unions, the Dino Group may be involved in collective disputes which may, in case they are prolonged, result in strikes, stoppages or other unforeseen consequences, for example, in case the Dino Group Companies attempt to reduce employment or the scope of welfare benefits, optimise labour costs or introduce a restructuring program, as well as in the case of the employees' demands concerning pay rises. The position of trade unions entails the risk that payroll costs may increase in the future as a result of the demands made by the employees. The Dino Group Companies may also be required to coordinate or consult certain actions (including any steps towards layoffs) with the trade unions, which may delay or even render such actions impossible, and may lead to collective disputes, involving strikes or other labour protests. If such events were to occur, they could have an adverse effect on the Dino Group's business, financial condition, results of operations or prospects, and the price of the Shares.

Expiry of permits for the sale of alcohol may have a negative impact on the Dino Group's revenues

As part of its main product categories, the Dino Group offers alcoholic beverages. In 2016, alcohol sales of the Dino Group accounted for 21.5% of total sales of the Dino Group. As at 31 December 2016, the Dino Group held in aggregate 616 permits for the retail sale of each of the alcoholic beverage categories: (i) of up to 4.5% (inclusive) and beer; (ii) over 4.5% to 18% (except for beers); and (iii) above 18%. In addition, the Dino Group holds a single permit for the wholesale of alcohol in each of the above-mentioned categories, which cover all the Dino Group's distribution centres. The Dino Group sells alcoholic beverages on the basis of the above-mentioned permits. The permits were issued for a specified period, typically from four to ten years.

According to the Act on the Prevention of Alcoholism, entities that offer alcoholic beverages for sale are required to hold a permit for the sale of alcohol. Such permit is granted after the satisfaction of a number of conditions and is granted for a specified term. After the expiry of such term, each entity offering alcoholic beverages for sale is required to apply for the issuance of a new permit. Moreover, during the period of validity of the permit, the entity holding such permit must comply with certain requirements and obligations, including the obligation to verify the ability of its customers to purchase alcoholic beverages. It cannot be ruled out that the authority issuing the permits for the sale of alcoholic beverages refuses to issue such permit in case any of the Dino Group Companies fails to meet the conditions specified in the applicable laws or refuses to re-issue such permit. Moreover, the respective authority may revoke an issued permit in case the beneficiary of such permit breached the terms set forth in the permit. Further, in case the permit is revoked, the entity that lost the permit may re-apply for the issuance of a permit for the sale of alcoholic beverages no earlier than after the lapse of three years from the date of the decision to revoke the permit.

Consequently, if any of the permits for the sale of alcoholic beverages held by the Dino Group will be revoked or the Dino Group will not be in a position to re-apply for such permit, this may result in the decrease in the sale of alcoholic beverages or the lack of the possibility to sell alcoholic beverages at all, which could have a material negative impact on the Dino Group's business, its financial condition and results of operations, as well as on the price of the Shares.

Ambiguity in the interpretation of Polish laws or the introduction of new laws could adversely affect the Dino Group

In Poland, the Dino Group's operations must comply with various regulations (including regarding food production, fire protection and safety, labour law and environmental protection). Such regulations materially impact the activity of the Dino Group. If the activities of the Dino Group are conducted in breach of those regulations, the Dino Group may be required to pay penalties, fees or damages as provided under the relevant laws and, may even be required to suspend some of its business operations.

In addition, a significant number of laws and regulations applicable to the Dino Group's business has been and may in the future be subject to change (e.g. the introduction of a limitation on the sale of tobacco products). Thus, no assurance may be given that the laws and regulations applicable to the Dino Group's business, including those relating to the protection of the environment, health and safety or trading restrictions both in Poland and in the EU, will not be made more restrictive. In particular, in the past there were discussions related to the introduction in Poland of a regulation restricting the trading by stores, such as those managed by the Dino Group, on Sundays. Even though in 2016 the Dino Group generated the least of its weekly revenues on Sundays, the possible introduction of such restrictions in Poland could result in a significant reduction of the revenues of the Dino Group and consumer demand which would not be covered by the reduction, if any, in operational costs (e.g., employment costs) and the potential higher consumer demand generated in other days of the week.

In view of the uncertainty as regards future regulations, in the future the Dino Group may be required to incur significant costs or capital expenditure related to making the existing installations of the stores, distribution centres or the meat processing plant operated by Agro-Rydzyna compliant with the new requirements. Furthermore, the facilities used by the Dino Group may be subject to inspections that will be more rigorous than those conducted in the past.

The volatility of the legal system and regulatory environment increases the risk of incurring material, additional and unexpected expenses as well as the costs of the adjustment of the business to the changing legal environment applicable to the business of the Dino Group which may adversely affect the Dino Group's operations, financial position, development prospects, results or the market price of the Shares.

Implementation of a retail sales tax could adversely affect the Dino Group

In the past there were discussions related to the introduction in Poland of a regulation imposing a new retail tax. On 1 September 2016, the Act of 6 July 2016 on Retail Sales Tax came into force (the "**Retail Sales Tax Act**"). Pursuant to the provisions of the Retail Sales Tax Act, the Company was subject to a retail tax obligation, if its revenue exceeds PLN 17 million in a given month. The rates of the retail tax vary depending on the surplus of revenue over PLN 17 million and amount to 0.8% of the surplus of monthly revenue over PLN 17 million and up to PLN 170 million and 1.4% of the surplus of the monthly turnover above PLN 170 million.

On 19 September 2016, the European Commission ordered that Poland suspends the collection of such retail tax, as it breaches the EU's state aid rules due to the fact that it grants selective advantages to small retailers. As a result, by the act of 15 November 2016 on the amendment of the retail sales tax act, the application of the Retail Sales Tax Act was changed and it will apply to proceeds from retail sale generated after 1 January 2018.

Although, in view of the above, as at the Date of the Report the retail tax does not apply to any of the Dino Group Companies, as of 2018 it could, in particular, result in a significant increase in the tax costs of the Dino

Group or decrease its profitability in the future, which could adversely affect the Dino Group's operations, financial position, development prospects, results or the market price of the Shares.

The Dino Group may be required to repay the public aid related with its operations in the Special Economic Zone

The Dino Group's distribution centre in Krotoszyn is located in the Wałbrzyska SEZ.

In accordance with the SEZ Act and the CIT Act, any income generated from business activity conducted in a SEZ within the scope of an obtained permit is exempt from corporate income tax, although the public aid provided by way of such exemption cannot exceed the public aid for entrepreneurs, permitted for sectors that qualify for aid in the highest value thereof, as stated in separate regulations. As at the Date of the Report, one of the Dino Group Companies (i.e. Dino Krotoszyn) holds two permits for the conduct of business activity within a SEZ. Under the permit of 14 April 2014, Dino Krotoszyn is required to invest more than PLN 50 million by 31 December 2019. The investment would see a cold storage unit built along with the associated infrastructure for the purposes of the Dino Group's meat production process.

A permit for the conduct of business activity in a SEZ may be revoked in the following events: (i) if the business entity ceases its operations in the SEZ for which it held a permit; or (ii) if the business entity was in gross breach of the terms specified therein; or (iii) if the business entity failed to remedy the infringements identified in the course of any inspection within the time set therefor. Once a permit is revoked, the taxpayer loses the right to the tax exemption and is required to pay taxes for the entire period of benefiting from the tax exemption. To that end, the taxpayer is required to increase the taxable base by the income with respect to which it lost the right to the tax exemption and, in the case of a loss, to increase it by such amount – in the settlement of the advance tax for the selected period of payment of the advances during which it incurred such loss, and if the loss of the right in question occurs in the last period of payment of the tax advances of any specific tax year – in the annual tax return. No assurance may be given that the permits on the basis of which the Dino Group conducts its business within a SEZ will not be revoked and, consequently, the Dino Group will not be required to repay the public aid received in the form of the corporate income tax exemption, and will not use the remaining amount under the exemption. The above factors could adversely affect the Dino Group's business, its financial situation and results of operations, as well as the price of the Shares.

There is also a risk that, in light of any change in the regulations concerning a SEZ and the rules concerning the issuance of permits for the conduct of business activity within a SEZ, and the Dino Group's failure, if any, to maintain the ratios specified in the permits entitling it to the tax exemptions, the Dino Group may lose the right to benefit from the tax exemptions.

Additionally, the Company assumes that once the tax exemptions on account of conducting business activity by one of the Dino Group Companies within a SEZ expire, the effective tax rate of the Dino Group will increase, which could adversely affect the Dino Group's business, its financial situation and results of operations, as well as the price of the Shares.

The changes in the accounting standards may impact the presented financial situation and results of the Dino Group

The International Accounting Standards Board (IASB) has published two new accounting standards, IFRS 15 (*Revenue from Contracts with Customers*) and IFRS 16 (*Leases*), which the Dino Group will need to comply with as soon as they enter into force.

The IFRS 15 (*Revenue from Contracts with Customers*) will be effective for financial statements on or after 1 January 2018 with a possibility of earlier application. The standard specifies contracts with customers and the sale of non-monetary assets, which does not result from standard operations (for example tangible assets, intangible assets). The IFRS 16 (*Leases*) will be effective for financial statements on or after 1 January 2019 with a possibility of earlier application, if IFRS 15 has also been applied by that date or will be applied at the same time. This standard changes the accounting model for financial statements of lessees, requiring all leases,

with a few exceptions, to be recognised as liability from lease which will in consequence impact the presentation of assets, liabilities, net profit and loss statements and ratios.

The impact of the above-mentioned new standards on the financial statements of the Dino Group is yet unknown and the Management Board is currently analysing such possible impact on the operations of the Dino Group. As at the Date of the Report, the Management Board assumes the impact of MSSF 16 on the financial statements of the Dino Group, especially in terms of classifying lease agreements relating to stores and warehouses as assets and leasing liabilities. The endorsement of IFRS 16 might impact the financial ratios important for the assessment of the Dino Group's operations, specifically the ratios based on the value of liabilities and assets, including financial risk and ratios based on financial results (such as EBIT and EBITDA).

Given that the financial agreements executed by the Dino Group contain several standard financial warranties, including warranties regarding maintaining financial ratios at a specific level, the change of the financial ratios as a result of the implementation of the IFRS 16 rule may result in a breach of the provisions of the financial agreements. Failure to comply with any financial obligation or any other obligation may result in an adverse change in the terms of the extended financing and, in the case of the failure to secure a relevant waiver of the observance thereof from the financing parties, it may result in the financing parties refusing to continue to provide the financing and demanding the repayment of the already extended facilities or declaring them immediately due and payable.

The above-presented circumstances could adversely affect the Dino Group's operations, financial situation and results, as well as the price of the Shares

Changes in tax law regulations specific for the Dino Group's business, their interpretation or changes to the individual interpretations of tax law regulations could adversely affect the Dino Group

Polish tax law regulations are complex and subject to frequent changes. The tax law practice of the tax authorities is not homogenous and often there are rather significant discrepancies between the judicial decisions issued by administrative courts in tax law matters. No assurance may be given that the tax authorities will not issue a different interpretation of the tax laws applied by the Company or the Dino Group Companies which will be unfavourable to the Company or the Dino Group Companies. In particular, the Dino Group cannot exclude the risk that, following the introduction of anti-tax avoidance regulations which use general clauses and the interpretation and scope of which is yet to be developed by tax authorities and administrative court decisions, the tax authorities will assess the tax consequences of the transactions executed by the Company or by the Dino Group Companies in a manner different than with respect to the Dino Group. This may specifically apply to restructuring transactions generating tax benefits for taxpayers once the regulations comprising a tax avoidance clause come into force. In addition, one may not exclude the risk that specific tax interpretations already obtained and applied by the Company or the Dino Group Companies will not, for the same reasons, be changed or deprived of protection. The legislation practice also shows certain trends to adopt tax law regulations which could apply retroactively which may affect the value of tax settlements.

There is also a risk that once new regulations are introduced, the new retail sales tax or VAT increase, the Company or the Dino Group Companies will need to take actions to adjust thereto, which may result in incurring greater costs as a result of the circumstances related to complying with the new regulations or could even potentially result in the decrease of the Dino Group's level of sales and revenues (in the case of a VAT increase). In view of the above, no assurance may be given that the tax authorities will not question the accuracy of the tax settlements of the Company or the Dino Group Companies to the extent of any tax liabilities not subject to the statute of limitations or the determination of the outstanding tax liabilities of such entities, which could adversely affect the Dino Group's business, its financial situation and results of operations, as well as the price of the Shares.

Risks associated with the shareholding structure

The majority shareholder may adopt decisions that may be contradictory to the interests of other shareholders and may have an adverse effect on the Dino Group

Main Shareholder, as a majority shareholder of the Company, may exercise and will be able to exercise control over the Company through, among others, having a decisive impact on matters requiring the consent of the General Meeting. He will have a decisive influence on the Company's affairs, among other things, on shaping the policy and strategy of the Company, business development trends, the election of members to the Supervisory and Management Boards of the Company and the Dino Group Companies as well as on all other decisions that require a resolution of the General Meeting.

In particular, Main Shareholder may materially influence the decisions of the General Meeting concerning the payment of dividend and the amount thereof, or even decide to refrain from the payment of dividend in certain financial years or decide to pay dividend in an amount exceeding the Management Board's recommendations, which may be contrary to the interests and expectations of other shareholders or the Management Board. The interests of Main Shareholder and the interests of the other shareholders of the Company may be divergent.

The Company is not able to predict what the policy of Main Shareholder with respect to the Company will be following the Offering or foresee the influence of his activities, including the exercise by him of the rights attached to the Shares, on the operations, financial results or financial situation and the ability to implement the Dino Group's strategy or on the Company's market position.

The above factors may have an adverse effect on the Dino Group's operations, its financial condition and results, as well as the price of the Shares.

7. CORPORATE GOVERNANCE

7.1. Representation on the application of corporate governance

Dino as a company listed on the regulated market run by the Warsaw Stock Exchange is subject to the corporate governance principles defined in the document entitled Best Practices of Companies Listed on WSE 2016. This document is available on the Stock Exchange's website (<http://www.gpw.pl>) in the section devoted to issues concerning corporate governance in listed companies.

The WSE Best Practices is a set of recommendations and rules of procedure for governing bodies of publicly listed companies and their shareholders. If a publicly listed company does not comply with any specific rule on a permanent basis or has breached it incidentally, such publicly listed company is required to disclose this fact in the form of a current report. Furthermore, a publicly listed company is required to attach to its annual report information on the scope in which it complied with the WSE Best Practices in a given financial year.

As at date of the Report, the Company comply with all the corporate governance rules set forth in the WSE Best Practices, subject to the following:

- Detailed principle I.Z.1.3 – to the extent that it applies to a chart showing the division of duties and responsibilities among members of the Management Board drawn up according to principle II.Z.1.

This principle is not complied with since the Company does not comply with detailed principle II.Z.1.

- Detailed principle I.Z.1.8. – to the extent that it applies to the presentation of selected financial data of the Company for the last 5 years of business in a format enabling the recipient to process such data

The Company notes that it does intend to present data for the last five years of its operations in a format enabling the recipients to process such data. However, the Company notes further that, in relation to the 2016 transformation of the financial statements to financial statements compliant with IFRS and the discontinuation of the preparation of financial statements in accordance with the PAS by the Company, in the first year of the listing of the Shares on the WSE, the Company will only make available on its website financial data for the last three years of its operations in accordance with the Consolidated Financial Statements.

- Detailed principle I.Z.1.20. – to the extent that it applies to audio or video recordings of the General Meeting;

The Company notes that if the shareholders (i) indicate an interest in audio or video recordings of the General Meeting; and (ii) notify the Company of such interest, the Company will comply with the expectations of the shareholders in this respect and will post audio or video recordings of the General Meeting on its website.

- Recommendation II.R.2 – to the extent that it applies to ensuring the diversity of the composition of governing bodies in terms of gender.

As at the date of the Report, the Company does not ensure the balanced participation of men and women on the Management Board and the Supervisory Board. There are no women on the two-member Management Board or the six-member Supervisory Board. The Company does support the above recommendation, but also exercises a policy of employing within the Company persons who are competent, creative and have the professional experience and education necessary to perform their duties. Moreover, the Company has no impact on the composition of the governing bodies.

- Detailed principle II.Z.1. – to the extent that it applies to the internal division of responsibilities for individual areas of the Company's activity among Management Board members.

There is no formal division of duties and responsibilities among the members of the Management Board of the Company. The Company believes that such a solution is appropriate and adequate given the current stage of development and the scale of operations of the Company and it assures efficient management.

- Recommendation IV.R.2. – to the extent that it applies to the participation of shareholders in the General Meeting using means of electronic communication through, specifically, real-time bilateral communication where shareholders may take the floor during a General Meeting from a location other than the venue of the General Meeting.

The Company notes that providing the necessary technical infrastructure would involve costs and other resources of the Company disproportionate to the potential interest of shareholder in pursuing such an option. Therefore, the Company does not plan to conduct General Meetings using means of electronic communication.

- IV.Z.2. – to the extent that it applies to ensuring publicly available real-time broadcasts of General Meetings

The Company does not plan to conduct real-time broadcasts of General Meetings because of the additional costs and organisational resources that would need to be incurred in relation thereto. Nevertheless, the Company will consider real-time broadcasts of the General Meetings if the shareholders require such broadcasts in the future.

Furthermore, in reference to recommendation I.R.2. Dino reports that it does not conduct any sponsoring activity. Charitable activity is conducted by the Dino Najbliżej Ciebie Foundation, which as of October 2015 holds the status of a public benefit organization. The Foundation's objective is to provide selfless assistance especially to the needy, in particular sick people and children.

A formal diversity policy does not function in the Company. The Shareholder Meeting and the Supervisory Board select members of the Supervisory Board and of the Management Board, respectively, based on their skills and experience, regardless of age, gender, education and other attributes. The Management Board is guided by these very same criteria when it makes staffing decisions concerning key managers. The Company exercises due diligence to ensure that all employees have equal opportunities in terms of professional development and promotions.

7.2. The internal control and risk management systems in the process of preparing financial statements

The financial statements and the consolidated financial statements have been prepared in accordance with the following:

1. International Financial Reporting Standards approved by the European Union,
2. Accounting Act of 29 September 1994 (consolidated version: Journal of Laws of 2013, item 330, as amended),
3. legal regulations and provisions of the company's articles of association binding upon the Group
4. internal procedures for accounting records.

The process of preparing the financial statements is subject to an internal control system and a risk management system, which contributes to maintaining the credibility and integrity of financial reporting as well as compliance with legal regulations and internal regulations. The internal control system entails:

- control activities performed by employees of the Dino Group member companies within the scope of the tasks and duties entrusted to them,
- functional control performed by employees in managerial positions who oversee the organizational cells reporting to them.

Risk management in the process of preparing financial statements relies on identifying and assessing risk while defining and taking actions to mitigate or eliminate them in their entirety. The Chief Accountant and the

Management Board Member responsible for Finance to whom the financial and accounting teams report oversee the process of preparing the Company's financial statements. The risk management process commences at the lowest levels in the Group so as to ensure the fulfilment of the intended objectives. Risk management in the Dino Group is a process overseen by the Management Board and key management staff.

The correctness of preparing financial statements is also checked by Supervisory Board members within the framework of the Audit Committee's tasks entrusted to the Supervisory Board. To confirm the compliance of the data set forth in the financial statements with the facts and the records in the accounting ledgers kept by the Company, the financial statements are audited by an independent statutory accountant who issues opinions on this subject. All the efforts undertaken by the Company aim to ensure compliance with the requirements of the law and the facts as well as the appropriately early identification and elimination of potential risks so as for them not to affect the integrity and correctness of the presented financial data.

7.3. Share capital, shares and shareholders of Dino Polska S.A.

As of the Date of the Report, the Company's share capital is PLN 9,804,000 and is divided into 98,040,000 series A ordinary bearer Shares with a par value of PLN 0.10 each (until the time of dematerializing the shares in NDS, i.a. at the end of 2016 they were registered shares). The shares are not preferred shares in terms of voting rights, dividend rights or rights to the distribution of assets in the event of winding up the Company. The Company does not have Shares awarding any special control rights. Nor are there any limitations concerning the exercise of voting rights and the transfer of ownership of Dino Shares (except for the lock-up obligations described below and undertaken under the Company's IPO). As of the Date of the Report:

- there are no Shares that do not represent the Company's share capital (do not represent a stake in the share capital),
- The Company does not hold Treasury Shares, nor does any Subsidiary hold Shares, nor does any third party acting on behalf or in favor of the Company,
- neither the Company nor any of its Subsidiaries acquired Dino's treasury Shares in 2016,
- neither the capital of the Company, nor the capital of any of its Subsidiaries is the object of an option, nor has it been agreed, conditionally or unconditionally, that the capital of any of these entities will become the object of an option,
- there are no convertible securities or securities exchangeable into the Company's securities (including its Shares) or securities with warrants issued by the Company, and
- The Articles of Association do not contain any clauses pertaining to authorizing the Management Board to raise the Company's share capital under authorized capital.

Dino Polska S.A.'s shareholder structure as at the end of 2016

Shareholder	Number of Shares and number of votes at the Shareholder Meeting	The percentage of share capital and voting rights in the Shareholder Meeting
Tomasz Biernacki	50,000,000	51.0%
Polish Sigma Group S.à r.l.	48,040,000	49.0%

In March and April 2017, the initial public offering of Dino's Shares took place (based on the prospectus approved by the Polish Financial Supervision Authority on 17 March 2017) as a result of which the shareholder Polish Sigma Group S.à r.l. sold all the Shares it held representing 49% of the Company's share capital and entitling it to 49% of the total number of votes at the Shareholder Meeting. The Company did not issue new shares during the IPO.

Dino Polska S.A.'s shareholder structure as of the Date of the Report (after conducting the IPO)

Shareholder	Number of Shares and number of votes at the Shareholder Meeting	The percentage of share capital and voting rights in the Shareholder Meeting
Tomasz Biernacki	50,000,000	51.0%
Other shareholders (free float)	48,040,000	49.0%

As of the Date of the Report, according to the Company's best knowledge, Tomasz Biernacki ("Main Shareholder"), Dino's Supervisory Board Chairman was Dino's sole shareholder holding, directly or indirectly, at least 5% of the number of votes at the Shareholder Meeting. Tomasz Biernacki was the only one of the Management Board and Supervisory Board members who held Dino Shares at the end of 2016. In connection with the IPO, the Management Board Members and some Supervisory Board Members declared in the prospectus their intention to acquire the Company's Shares.

As of the Date of the Report, Mr. Szymon Piduch, President of the Management Board holds 140,904 Shares acquired in the Company's IPO, i.e. in connection with performing the obligations stemming from the incentive programs. As of the Date of the Report, Mr. Michał Krauze holds 29,346 Shares acquired in the Company's IPO in connection with performing the obligations stemming from the incentive programs.

On 20 March 2017, in connection with the public offering of Shares, Main Shareholder undertook a lock-up obligation from the date of undertaking this lock-up until the end of 720 days from the date of the first listing of the Shares on WSE. Moreover, the Company undertook, among other things, not to issue or offer shares for a period of 360 days from the date of the first listing of the shares on WSE (19 March 2017). In turn, according to the provisions of the incentive programs, the Company's Management Board Members who acquired the Shares as performance of their obligation to acquire the Shares resulting from these programs have a lock-up on these Shares for a period of two years from their acquisition. The detailed conditions of these lock-up obligations have been described in the Company's prospectus approved by the Polish Financial Supervision Authority on 17 March 2017.

In 2016, neither the Company nor any of the subsidiaries did not purchase any treasury stock. The Company does not have an employee share program; accordingly, it does not have a system to control employee share programs.

As of the Date of the Report, the Company is not familiar with any agreements as a result of which changes may take place in the percentages of Shares held by the shareholders.

As of the Date of the Report, i.e. after conducting the IPO, there are no limitations concerning the transfer of ownership of the Shares.

Subject to the paragraph below, no other changes to the share capital took place in 2016 or up to the Date of the Report.

On 1 December 2016, the extraordinary General Meeting adopted a resolution on dividing the Shares by lowering the par value of one Share and increasing the number of the Shares without lowering the Company's share capital. By way of the resolution, the number of the Shares was increased from 9,804,000 to 98,040,000. According to the aforementioned resolution, the exchange ratio for all of the Company's Shares is 1:10, i.e. each Share of the Company with a par value of PLN 1.00 each is exchanged for 10 Shares of the Company with a par value of PLN 0.10 each.

7.4. Management Board

The Management Board is appointed for a joint three-year term. The mandates of the members of the Management Board expire no later than on the date of the General Meeting which approves the financial statements for the last full financial year of holding their positions as members of the Management Board.

Composition

The Management Board consists of between one (1) and five (5) members. The number of members of the Management Board for a given term is determined by the Supervisory Board.

Members of the Management Board, including the president of the Management Board, are appointed and dismissed by the Supervisory Board. Each member of the Management Board may be dismissed by the Supervisory Board at any time, with the Supervisory Board having the option of providing the reason therefor or not providing any reason. The Supervisory Board may suspend all or some of the members of the Management Board from their duties due to important reasons.

Members of the Management Board may also be dismissed or suspended from their duties pursuant to a resolution of the General Meeting.

Powers

The Management Board manages the Company's operations and assets and represents the Company before courts, authorities and third parties. The Management Board takes decisions regarding all matters that are not reserved under the provisions of the Articles of Association or the provisions of law for the determination by the Supervisory Board or the General Meeting on an exclusive basis.

Representations on behalf of the Company need to be jointly made by two (2) members of the Management Board or by one (1) member of the Management Board acting with a registered proxy.

Members of the Management Board

As at 31 December 2016 and at the Date of the Report, the Management Board consists of two members.

Name	Age	Position	Date the current term of office began	Expiration of the current term of office
Szymon Piduch	45	President of the Management Board	26 November 2015	26 November 2018
Michał Krauze	33	Member of the Management Board	26 November 2015	26 November 2018

The mandates of the members of the Management Board expire three years after the date of their appointment, i.e. on 26 November 2018.

7.5. Shareholder Meeting and shareholder rights

The Shareholder Meeting is convened through an announcement made on the Company's website and in the manner specified for publication of current information according to the Act on Public Offering. The announcement should be made at least 26 days before the date of the Shareholder Meeting. Shareholder Meetings are held in the Company's registered office or in Warsaw, or in some other venue in Poland specified by the Company in the announcement on convening the Shareholder Meeting.

The Management Board convenes the Shareholder Meeting. The Supervisory Board may convene an ordinary Shareholder Meeting if the Management Board fails to convene it on time and an extraordinary Shareholder Meeting if it deems it to be advisable to convene it. Shareholders in the Company representing at least one half of the Company's share capital or at least one half of the total number of votes in the Company are also vested with the right to convene an extraordinary Shareholder Meeting. In such an instance the Company's shareholders shall designate the chairman of that Shareholder Meeting.

Furthermore, a shareholder or shareholders of the Company representing at least one-twentieth of the Company's share capital may request that an extraordinary General Meeting be convened and that certain matters be placed on the agenda of such General Meeting. The request to convene the extraordinary General Meeting must be submitted to the Management Board in writing or in electronic form. If within two weeks from the submission of such request to the Management Board the extraordinary General Meeting is not

convened, the registry court may authorise the Company's shareholders submitting such request to convene an extraordinary General Meeting. In such case, the chairman of the General Meeting is appointed by the court.

The right to participate in the General Meeting is vested only with persons who were the Company's shareholders 16 days before the date of the General Meeting (the date of registration of the General Meeting's participants).

The Company's shareholders may participate in the General Meeting and exercise their voting rights in person or by proxy. A detailed description of the manner in which the validity of a power of attorney granted in electronic form is verified will be included in the announcement on the convocation of the General Meeting.

The shareholder meeting's powers include making decisions on matters concerning the organization and operation of the Company, subject to the cases prescribed by the Commercial Company Code and the Articles of Association.

The rights of shareholders and the procedure of exercising the rights at the General Meeting are laid down in the Code of Commercial Companies and the Articles of Association.

A Shareholder Meeting resolution adopted by a three-fourths majority of the votes is required to amend the Articles of Association. An amendment to the Articles of Association entailing a material change to the Company's line of business (Article 416 § 1 of the Commercial Company Code) does not require the buyout of the shares held by shareholders who do not consent to this change if the Shareholder Meeting resolution is adopted with a 2/3 (two-thirds) majority of the votes in the presence of shareholders representing at least one half of the share capital.

7.6. Supervisory Board and committees

The Supervisory Board exercises regular supervision over the Company's operations in all areas of its activity.

Members of the Supervisory Board are appointed for a joint three-year term. The mandates of the members of the Supervisory Board expire, at the latest, on the date of holding the General Meeting approving the financial statements for the last full financial year during which they held their position as a Supervisory Board member.

The Supervisory Board consists of between five and eight members.

As of the Date of the Report, pursuant to the Articles of Association members of the Supervisory Board are appointed and dismissed as follows:

- (a) as long as Tomasz Biernacki holds shares representing at least 50% of the overall number of votes at the General Meeting plus one share, Tomasz Biernacki will be authorised to appoint and dismiss one member of the Supervisory Board, who will also be the chairman of the Supervisory Board, by way of a written representation regarding the appointment or dismissal of a member of the Supervisory Board, which representation shall be deemed effective upon its delivery to the Company,
- (b) the remaining members of the Supervisory Board are appointed and dismissed by the General Meeting, while the deputy chairman of the Supervisory Board is elected by the members of the Supervisory Board from amongst themselves.

From the date of the dematerialisation of all the shares in the Company within the meaning of the Act on Trading in Financial Instruments, in the event of voting by separate groups pursuant to Article 385 of the Commercial Companies Code, the Supervisory Board will consist of eight members, provided that until the expiry of the rights referred to in (a) above Tomasz Biernacki will have the right to appoint the chairman of the Supervisory Board from among the members of the Supervisory Board elected in connection with voting by separate groups. If the rights referred to in (a) above expire, the chairman of the Supervisory Board will be elected by the members of the Supervisory Board from amongst themselves.

Supervisory Board Members

As of the Date of the Report, the Supervisory Board consists of six members. Compared to 2016, its composition has diminished by two persons – Michał Rusiecki and Michał Kędzie tendered resignations from their functions on 20 April 2017. In 2016, no changes took place to its composition.

The table below presents the principal information about the members of the Supervisory Board who perform their functions as of the end of 2016.

Name	Age	Position	Date the current term of office began	Expiration of the current term of office
Tomasz Biernacki	43	Chairman of the Supervisory Board	26 February 2015	19 February 2018
Michał Rusiecki	53	Deputy chairman of the Supervisory Board	19 February 2015	19 February 2018
Michał Kędzie	35	Member of the Supervisory Board	19 February 2015	19 February 2018
Eryk Bajer	48	Member of the Supervisory Board	26 February 2015	19 February 2018
Maciej Polanowski	46	Member of the Supervisory Board	26 February 2015	19 February 2018
Pierre Detry	56	Member of the Supervisory Board	6 August 2015	19 February 2018
Piotr Nowjalis	42	Member of the Supervisory Board	6 August 2015	19 February 2018
Sławomir Jakszuk	53	Member of the Supervisory Board	6 August 2015	19 February 2018

The mandates of the members of the Supervisory Board expire on the date of holding the General Meeting approving the financial statements for the last full financial year in which the members of the Supervisory Board fulfilled their duties, i.e. for 2017.

Audit Committee

According to the Articles of Association, the Supervisory Board appoints the Audit Committee whose composition is consistent with the regulations of the Act on Statutory Auditors (or regulations replacing the same) and the Best Practices of Companies Listed on WSE.

The Audit Committee was appointed by a Supervisory Board resolution adopted on 1 December 2016. The Audit Committee at the end of 2016 consisted of the following persons: Piotr Nowjalis (Chairman of the Audit Committee) and Sławomir Jakszuk. Piotr Nowjalis satisfies the independence criteria specified by the Best Practices of Companies Listed on WSE and the independence criteria within the meaning of Article 86 Section 5 of the Act on Statutory Auditors and holds qualifications in accounting or financial revision. Sławomir Jakszuk satisfies the independence criteria within the meaning of Article 86 Section 5 of the Act on Statutory Auditors.

7.7. Remuneration policy

Remuneration system

The Company does not have a formalized or structured remuneration policy in place. The Company's remuneration system is based on fixed and variable remuneration components (the latter stemming directly from the adopted incentive system). The incentive part is in the form of a discretionary bonus, payable at monthly intervals.

The Company has adopted a bonus system for the following professional groups:

- Staff employed in the sales department – the amount of the bonus payable to the staff depends directly on the level of operating expenses in the pertinent organizational unit and the value of sales of key product groups, as specified by the Management Board.
- Staff employed in logistics warehouses – the amount of the bonus payable to the staff depends directly on the level of performance and quality achieved in the work process.
- Employees employed in the administrative sections - the amount of the bonus for employees depends on the evaluation of one's own work effects.

A remuneration committee is convened regularly in the company; it conducts (i) a review of the salaries for various positions; and (ii) an examination of the requests to change the level of remuneration for various positions.

Under variable compensation the staff may also receive a bonus to support the work motivation of outstanding employees giving consideration to the model performance of their employee duties, the demonstration of initiative at work and raising work productivity and quality.

Under non-salary benefits and privileges vested in employees, the following are offered (i) reimbursement for eyeglasses: employees who need corrective eyeglasses to work at a computer screen may apply for a reimbursement for the purchase of eyeglasses in an amount prescribed by the Company; (ii) group life insurance: employees are provided the opportunity to buy insurance from PZU Życie S.A. on preferential terms and conditions compared to the prevailing offers on the individual insurance market.

In the last financial year, no significant changes were made to the remuneration policy. The Company's Management Board, as a result of its review of the level of remuneration in the Company, decided to increase employee compensations in certain positions.

According to the Company's Management Board, the remuneration system operating in the Company is appropriate for its profile of business and its long-term growth strategy.

Executive compensation policy

Agreements between the members of the Management Board and the Company

The members of the Management Board are employed on the basis of contracts of employment. Such contracts contain standard provisions required under the labour law, including a job description and an indication of the amount of remuneration paid pursuant thereto.

The contracts of employment concluded with Szymon Piduch and Michał Krauze require that the members of the Management Board refrain from any activities competitive with respect to the Company or the Subsidiaries throughout the term of their employment and for a period of 12 months after the expiry of the contracts of employment, regardless of the reasons therefor. Specifically, the members of the Management Board may not: (i) enter into a contract of employment, a management contract, an advisory agreement or any other agreement or mandate with an entity conducting activities competitive to the business of the Company or the Subsidiaries, or accept any position on the governing bodies or render any services in favour of such entity; (ii) become involved in any business competitive to the business of the Company or the Subsidiaries conducted as their own undertaking; or (iii) become a shareholder or establish a joint venture or hold any other financial interest in any company conducting business competitive to that of the Company or the Subsidiaries, except for the acquisition of publicly traded shares in entities conducting competitive business in a number allowing for the exercise of no more than 0.25% of the overall number of votes at the General Meeting of the given company. Throughout the period subject to competition restrictions, the members of the Management Board are required to inform the Company in writing about assuming any activities or work, regardless of the legal basis, which could be considered competitive activity with respect to the Company or the Subsidiaries. Competitive activity with respect to the Company or the Subsidiaries also includes any activity the subject or any capital share of which is completely or partly identical to the existing or future scope of business of the Company in Poland. Any breach of the non-competition restriction during the terms of the agreements is subject to a contractual penalty of six times the average monthly remuneration received by each of the Management Board members

prior to the termination of their employment relationship, with the Company having the option of suing for damages for any loss to the extent that such loss is greater than the contractual penalty. A breach of the non-competition restriction after the termination of the contract is subject to a contractual penalty of twice the sum obtained by each Management Board member as compensation for complying with the non-competition restrictions, with the Company having the option of suing for damages for a loss to the extent that such loss exceeds the value of the contractual penalty. Each Management Board member is entitled to compensation (in the form of a fixed sum) for compliance with the non-competition restrictions after the termination of his contract of employment equal to 12-times the average monthly remuneration received by each of the Management Board members prior to the termination of his employment. The compensation is payable in twelve monthly instalments.

Moreover, pursuant to their contracts of employment, the Management Board members use mobile phones and laptop computers for business-related purposes, while Szymon Piduch also uses a company car.

The members of the Management Board also receive discretionary bonuses from the Company which are granted pursuant to resolutions of the Supervisory Board based on the rules for the allotment of bonuses for achieving budget targets as previously adopted by the Supervisory Board.

Moreover, the members of the Management Board may not, without the consent of the Supervisory Board, assume the function of a management board or supervisory board member in any companies other than companies affiliated with the Company.

Agreements between members of the Management Board and the Subsidiaries

Aside from his contract of employment with the Company, Szymon Piduch concluded mandate agreements with CWN, Agro-Rydzyna and Pol-Food. Based on such agreements, he performs the duties of a member of the management board of such companies.

The agreements executed between Szymon Piduch and the Subsidiaries contain provisions regarding confidentiality and non-competition restrictions throughout the terms of the agreements and for 12 months after the expiry of the agreements, regardless of the reason therefor. The compensation for refraining from any competitive activities provided in the contract of employment with the Company comprises the compensation for refraining from any competitive activities with respect to the above-mentioned companies.

Aside from his contract of employment with the Company, Michał Krauze concluded a mandate agreement with Agro-Rydzyna. Under such agreement, he performs the duties of a member of the management board of Agro-Rydzyna. Agro-Rydzyna may grant Michał Krauze a discretionary bonus.

The agreement with Agro-Rydzyna contains a confidentiality clause and a non-competition clause applicable throughout the term of the agreement and for 12 months after the expiry of the agreement for any reason. The remuneration payable for refraining from any competitive activities provided in the contract of employment with the Company also constitutes the remuneration for refraining from any competitive activities with respect to Agro-Rydzyna. The members of the Management Board are also paid discretionary bonuses by the Subsidiaries.

The remuneration and other benefits obtained by the members of the Management Board from the Company and the Subsidiaries

The table below presents the value of the remuneration and other benefits received by each member of the Management Board from the Company and from the Subsidiaries for 2016 (irrespective of the grounds therefor).

Name	Remuneration received from the Company		Remuneration received from Subsidiaries	
	Basic remuneration under contract of employment	Additional remuneration comprising discretionary bonuses	Basic remuneration under civil law agreements	Additional remuneration comprising discretionary bonuses
	<i>(PLN thousand)</i>			
Szymon Piduch	69.9	400.7	306.6	112.5
Michał Krauze	67.5	133.6	118.8	55.8

Agreements between Management Board members and the Company do not contemplate any damages (other than above) if they resign or are released from their position without an important reason or if their dismissal or release transpires on account of a Company merger through acquisition.

There are no liabilities for pensions or benefits of a similar nature for former managers, supervisors or former members of boards of directors.

In addition to the benefits described above, at the end of 2016 the Company and the Subsidiaries do not have any contingent or deferred benefits vested in Management Board members, except for the benefits prescribed by the agreements regulating the rules of participation in the Company's incentive program and the incentive program established by Polish Sigma Group S.à r.l. with its registered office in Luxembourg, a shareholder in the Company as at the end of 2016. The detailed conditions of these programs have been presented in the Company's prospectus approved by the Polish Financial Supervision Authority on 17 March 2017 and in the Company's Financial Statements for 2016.

Remuneration and the principles of remunerating the members of the Supervisory Board

The table below presents the value of the annual remuneration received by each member of the Supervisory Board from the Company for 2016. The members of the Supervisory Board do not obtain any remuneration from the Subsidiaries.

Name	Remuneration received from the Company for 2016
	<i>(in thousands of PLN)</i>
Tomasz Biernacki	60.0
Michał Kędzia	—
Eryk Bajer	82.6
Maciej Polanowski	55.6
Michał Rusiecki	—
Pierre Detry	120.0
Piotr Nowjalis	99.6
Sławomir Jakszuk	83.4

The total value of the payments received from the Company by the above-mentioned members of the Supervisory Board for 2016 was PLN 501.2 thousand. Such payments included remuneration paid on account of the performance of duties of a member of the Supervisory Board. Moreover, the payments to Tomasz Biernacki comprised remuneration for advisory services rendered to the Company in connection with his function as the chairman of the Supervisory Board. The agreement on provision of advisory services by Tomasz Biernacki to the Company was terminated on 15 March 2017 with immediate effect.

8. EMPLOYEES AND ENVIRONMENTAL PROTECTION

8.1. Employees and other persons who cooperate on a permanent basis

The Dino Group employs employees on the basis of contracts of employment and mandates for the performance of specific tasks on the basis of civil law agreements. As at 31 December 2016, the Dino Group employed 10,640 persons under a contract of employment. In addition, as at 31 December 2016, 174 persons cooperated with the Dino Group based on other civil law agreements (mandate agreements, work product agreements and cooperation agreements with individuals being sole traders). The majority of the Dino Group's employees are blue-collar workers.

The table below presents information regarding the number of the Dino Group's employees employed on the basis of a contract of employment (on a full or part-time basis) as at the dates stated.

	As of 31 December		
	2016	2015	2014
Company	9,971	8,233	6,861
Dino Krotoszyn	229	191	133
Agro-Rydzyna	436	342	275
Pol-Food	4	4	0
Dino Group overall:.....	10,640	8,770	7,269

The number of persons who permanently cooperate with the Dino Group Companies on the basis of civil law agreements (mandate agreements, work product agreements and cooperation agreements with persons conducting business) were as follows: as of 31 December 2016 – 174 persons; as of 31 December 2015 – 136 persons; and as of 31 December 2014 – 144 persons.

As at the date of the Report, the Dino Group did not employ any temporary employees.

The majority of employees of the Dino Group are blue-collar workers, who comprise 88% of all employees. At the Company and other Dino Group Companies, in the years 2014-2016, there were 881 accidents at work (no serious or fatal accidents). In connection with accidents at work which occurred in the Dino Group Companies, as at 31 December 2016, two court proceedings are pending against the Company, although neither of such proceedings has the potential to materially adversely impact its business, the assessment of its assets and liabilities, its financial condition or the profit and loss account.

As at 31 December 2016, the provisions for pension and similar benefits for the Dino Group amounted to PLN 531 thousand. In addition, the Dino – Najbliżej Ciebie Foundation, the principal objective of which is, *inter alia*, providing social aid and supporting the employees of the Dino Group who are in financial distress.

As at the Date of the Report, there were two trade unions in the Company. As of 31 December 2016 a total of 150 persons from among 10,640 employees employed at the Dino Group were members of trade unions, which amounts to slightly more than 1% of the Dino Group employees.

At present, the Dino Group Companies are not party to any material proceedings concerning any employee claims or proceedings related to employment on any basis other than a contract of employment.

8.2. Environmental protection

In connection with the nature of the Dino Group's operations involving, *inter alia*, the sale of groceries and the production of meat products, the Dino Group Companies use installations that are a source of emissions of substances to the environment and generate hazardous and non-hazardous waste. The Dino Group Companies keep records of the generated waste and provide administrative authorities with information in accordance with the respective regulations. The waste produced by the Dino Group is collected by specialist entities holding permits for waste management.

In connection with their business, the Dino Group Companies specifically Agro-Rydzyňa, are subject to, *inter alia*, the Environmental Law, the Waste Act, the Water Law and the Waste Management Act as well as secondary environmental protection regulations. The quantity of produced waste and the volume of substances emitted to the air do not exceed any limits which require obtaining relevant permits. The Dino Group Companies have valid permits for the use of water.

The Dino Group pays fees for the use of the environment on account of the emission of gases and dust into the air and the discharge of sewage into water and soil, and on account of the management of packaging and packaging waste. In 2016 such fees amounted to PLN 35,629, in 2015 – PLN 13,314 and in 2014 – PLN 10,956. From 1 January 2014 until the Date of the Report no penalties were imposed on the Dino Group Companies in connection with the use of the environment.

The Management Board believes that there are no environmental protection issues of material importance for the business conducted by the Dino Group.

9. MANAGEMENT BOARD'S STATEMENTS

Management Board's Statement

The Management Board of the Dino Polska S.A. declares that the registered audit firm performing the audit of the Financial Statements of the Dino Polska S.A. for the year ended 31 December 2016 and Consolidated Financial Statements of the Dino Polska S.A. Group for the years ended 31 December 2014, 31 December 2015 and 31 December 2016 has been appointed pursuant to the binding regulations. The audit firm and the certified auditors performing the audit meet the requirements necessary for issuing an objective and independent audit opinion on the consolidated financial statement, pursuant to the binding provisions of the law and professional standards.

Szymon Piduch

President of the Management Board

Michał Krauze

Member of the Management Board

Krotoszyn, 2 May 2017

Management Board's Statement

The Management Board of the Dino Polska S.A. declares to the best of its knowledge that:

- The Financial Statement of the Dino Polska S.A. for the year ended 31 December 2016, including comparative information, have been prepared in accordance with the binding accounting policies and that these give a true, fair and clear view of the financial position and results of the Dino Polska S.A.,
- The Consolidated Financial Statement of the Dino Polska S.A. Group for the for the years ended 31 December 2014, 31 December 2015 and 31 December 2016 have been prepared in accordance with the binding accounting policies and that these give a true, fair and clear view of the financial position and results of the Dino Polska S.A. Group,
- The Consolidated report on the activities of the Dino Polska S.A. and Dino Polska S.A. Group for the year ended 31 December 2016 gives the true view of the Dino Polska S.A. and Dino Polska S.A. Group development, achievements and situation, including the main threats and risks.

Szymon Piduch

President of the Management Board

Michał Krauze

Member of the Management Board

Krotoszyn, 2 May 2017

SIGNATURES OF MANAGEMENT BOARD MEMBERS

Szymon Piduch – President of the Management Board

Michał Krauze – Member of the Management Board

Krotoszyn, 2 May 2017